ABANS ELECTRICALS PLC
ANNUAL REPORT 2024/25

SYNERGY OF MISSION

VISION

Attract and retain customers for life

MISSION

Always there to serve you better

SYNERGY OF MISSION

Our results this year reflect the strength of our people, systems, and shared commitment in delivering financial and non-financial outcomes that stand for synergies beyond the numbers. This year has demonstrated the power of unified action and disciplined performance. Continuous improvements in processes and systems, strengthening internal controls, effective communication across all operational divisions, and precise coordination across the value chain, enabled results that are greater than the sum of its parts. Capitalizing on favorable changes in the external environment, we enhanced our top line, and boosted our bottom line. The clarity of purpose and alignment across the organization defined our success in the financial year 2024/25.

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FINANCIAL INFORMATION

GOVERNANCE

SUPPLEMENTARY INFORMATION

FINANCIAL HIGHLIGHTS

		2025	2024	Change %
Operating Results				
Revenue	LKR '000	6,707,214	6,123,806	9.53
Gross Profit	LKR '000	1,605,269	1,376,778	16.60
Operating Profit	LKR '000	735,859	719,443	2.28
Profit before Taxation	LKR '000	714,914	569,981	25.43
Profit after Taxation	LKR '000	500,159	438,720	14.00
Gross Dividend Paid	LKR '000	51,106	25,553	100.00
Interest Coverage	No of Times	13.90	3.81	264.73
Gross Profit Margin	%	23.93	22.48	6.45
Operating Profit Margin	%	10.97	11.75	(6.62)
Net Profit Margin	%	7.46	7.16	4.09
Financial Position				
Total Assets	LKR '000	5,005,272	5,148,268	(2.78)
Total Debt (D)	LKR '000	132,349	886,883	(85.08)
Current Assets	LKR '000	3,539,030	3,786,229	(6.53)
Current Liabilities	LKR '000	1,991,023	2,539,124	(21.59)
Shareholders' Fund (E)	LKR '000	2,710,294	2,266,454	19.58
Gearing (D/D+E)	%	4.66	28.13	(83.45)
Current Ratio	No of Times	1.78	1.49	19.20
Return on Assets (ROA)	%	9.99	8.52	17.26
Return on Capital Employed (ROCE)	%	19.55	20.34	(3.92)
Shareholder Information				
Return on Equity (ROE)	%	18.45	19.36	(4.67)
Earnings per Share (EPS)	LKR	97.87	85.85	14.00
Dividend per Share - Paid (DPS)	LKR	10.00	5.00	100.00
Market Capitalization	LKR '000	1,976,509	815,134	142.48
Market Price as at 31st March	LKR	386.75	159.50	142.48
Price Earnings Ratio (P/E)	No of Times	3.95	1.86	112.69
No of Shares	Nos.	5,110,560	5,110,560	-
Net Assets per Share	LKR	530.33	443.48	19.58
Dividend Payout Ratio	%	10.22	5.82	75.60

Revenue
LKR **6.7** Bn
2023/2024 LKR **6.1 Bn**

PBT
LKR **714.9** Mn
2023/2024 LKR **570.0 Mn**

Net Profit Margin
7.5%
2023/2024 **7.2%**

Equity
LKR **2.7** Bn
2023/2024 LKR **2.3 Bn**

ROCE
19.6%
2023/2024 **20.3%**

ROA
10.0%
2023/2024 **8.5%**

EPS
LKR **97.8**
2023/2024 LKR **85.9**

FINANCIAL CALENDAR

1st Quarter Results 2024/2025	15th August 2024
2nd Quarter Results 2024/2025	13th November 2024
3rd Quarter Results 2024/2025	14th February 2025
4th Quarter Results 2024/2025	28th May 2025
Annual Report 2024/2025	29th August 2025
42nd Annual General Meeting	25th September 2024
43rd Annual General Meeting	25th September 2025

"The Company has once again achieved record-breaking profitability, marking the highest profitability in our history, for the second consecutive year. Our ability to sustain this momentum demonstrates more than simply favourable market conditions. It is the continued operational excellence and commitment to continuous improvement, disciplined financial management, and the unwavering dedication of our team that made it possible to capitalize on these opportunities."

Chairperson's Message

Against the backdrop of a robust national economic recovery, I am pleased to announce an excellent year of growth, and to present the Company's Annual Report and Audited financial statements for the financial year 2024/25, at the 43rd Annual General Meeting of Abans Electricals PLC.

The Company has once again achieved record-breaking profitability, marking the highest profitability in our history, for the second consecutive year. Our ability to sustain this momentum demonstrates more than simply favorable market conditions. It is the continued operational excellence and commitment to continuous improvement, disciplined financial management, and the unwavering dedication of our team that made it possible to capitalize on these opportunities. This strong foundation provides the basis to maintain our growth trajectory in the year ahead.

Operating Environment

During the current financial year, Sri Lanka's economy rebounded with a 5% GDP growth and continued to stabilize following two years of unprecedented challenges. This recovery was underpinned by the reintroduction of political and policy predictability following the election of a new majority government. The restoration of policy stability played a key role in sustaining favorable macroeconomic developments, such as the continued decline in inflation and interest rates, rupee appreciation, and increased worker remittances, all of which acted as positive tailwinds for business recovery and growth. Against this backdrop, the retail sector, which had been previously subdued due to weakened consumer demand, demonstrated a steady revival, boosting Abans Electricals' performance during the year.

In spite of this overall positive trajectory of the national economy, as a manufacturer, Abans Electricals encountered a number of bottlenecks during the year. Attracting and retaining skilled talent continues to be a challenge in the current market environment. The Company remains committed to addressing this by continually enhancing employee-related facilities and offering both financial and non-financial rewards to support, motivate, and retain our workforce.

In addition, our solar energy business faced extreme price competition due to the rapid growth of new entrants, while the frequent revisions to tariffs, as well as delays related to grid access and regulatory clearances, created uncertainty in the solar energy market. Nonetheless, the Abans Electricals team responded to these challenges by focusing on cost containment, customer centric solutions, and innovation, in order to mitigate the impacts.

Financial Performance

Abans Electricals increased its top line from LKR 6,123.8 Mn in the previous financial year, to LKR 6,707.2 Mn in the current financial year, with all three segments - manufacturing, services and solar systems – recording earnings growth.

While revenue from the manufacturing segment did not show significant growth, the Company achieved an increase in volume by passing on to its customers part of the price benefits derived from the positive shift in macroeconomic conditions, in the form of price reductions.

In the solar segment, we experienced an overall price decline during the year, due to increased market competition and the rupee appreciation. However, the Company successfully increased the installed system capacity, achieving growth in operational performance despite pricing pressures.

In the after-sales service segment, the Company undertook several initiatives to enhance the customer service experience. This included strengthening human resources to reduce service delays and investing in the renovation of service centers to improve service quality and customer experience. As a result of these efforts and the increase in service volumes, the Company recorded a substantial increase from its services segment.

We concluded the financial year 2024/25 by recording the highest profit in the Company's history with the bottom line reaching LKR 500.2 Mn, from LKR 438.7 Mn in the previous year. While gross profit and operating margins have remained relatively stable compared to the previous year, the improvement in overall profitability is primarily attributed to significant savings in finance costs. These savings were driven by two key factors – a reduction in market interest rates and the receipt of substantial customer advances, particularly from our solar segment. These advances were strategically utilized to reduce our loan exposure, thereby lowering our interest expenses.

Having reviewed the sustained strong performance during the year under review, the Board of Directors has recommended a dividend of LKR 15.00 per share for the year, subject to the approval of the shareholders at the Annual General Meeting.

IT Infrastructure

In the current increasingly cost competitive environment, technology integration is crucial to maintain price competitiveness. Therefore, during the current financial year, we continued our digitalization strategy by systematically replacing manual operations with digital solutions to enhance efficiencies and productivity. A key achievement was the full rollout of the Enterprise Resource Planning (ERP) system and the digitalization of our service operations, which are already delivering improvements in efficiency and customer experience.

Another effective strategy was to leverage digital opportunities. We enhanced our brand visibility on digital platforms by launching a new corporate website and upgrading our mobile application. These initiatives have improved customer interaction by enabling service job tracking and real-time feedback collection, helping us better understand and respond to evolving customer needs.

Governance

As a member of the Abans Group, good governance and regulatory compliance are fundamental principles that are never compromised. These standards are rigorously upheld through ongoing oversight by the Board of Directors, its sub-committees, and senior management. Throughout the year, all operations and business segments adhered strictly to relevant regulations and governance protocols. Robust internal controls were maintained to safeguard shareholder assets and uphold the strength and reputation of the Abans brand. Continuous risk monitoring, strong internal control systems, and regular external audits were integral to our operations. This firm commitment to ethical leadership and governance played a crucial role in securing sustainable growth during the year. The Board ensured full compliance with the corporate governance requirements outlined in Section 9 of the CSE Listing Rules. In line with these standards, a Nomination and Governance Committee was established during the year, completing the full set of mandatory Board Committees, and further strengthening our governance structure.

In addition, the successful implementation of the new ERP system during the year has enhanced transparency, provided better control over internal processes, and enabled faster, more informed decision making by providing timely access to critical information.

As another component of good governance, we are also currently exploring the adoption of sustainability reporting standards and we are in the process of evaluating the gaps between our current practices and the requirements of these standards in order to apply them effectively. Although these standards are not mandatory, we are committed to their gradual adoption, recognizing the importance of aligning our operations with Environmental, Social and Governance (ESG) best practices. As a responsible Company, we believe in minimizing our environmental footprint and integrating sustainability into our long-term strategy.

Challenges and Outlook

As we look to the future, we recognize several significant challenges that may hinder business growth. These arise from both internal developments within Sri Lanka and evolving external conditions. Externally, the potential imposition of U.S. tariffs on Sri Lankan exports could lead to a decline in export revenue, exerting pressure on the exchange rate—although the full impact remains uncertain. Additionally, rising geopolitical tensions in the Middle East may drive up global oil prices, increasing inflation and dampening demand for white goods. Domestically, the heightened demand for vehicle imports may also strain the exchange rate. Another pressing issue is access to skilled labor. Although the pace of talent migration has eased compared to the past two years, a shortage of skilled professionals persists, posing recruitment challenges for specialized roles. Furthermore, a growing trend among youth toward non-traditional career paths, such as digital content creation and remote employments, have further reduced the talent pool available for technical and specialized positions. As a manufacturer, the country's energy uncertainty is another cause for concern. The recent increase in tariffs by the Ceylon Electricity Board (CEB) could reduce demand for electronics goods, while lower rooftop solar tariff rates and delays in CEB approvals for new solar installations could slow growth in the solar energy segment. Although the Company has already secured several projects, these factors may affect our performance in the second half of the year, unless there is a concerted effort by the government to enhance infrastructure for renewable energy development.

However, I am confident Abans Electricals' far-sighted investments will provide a strong defense towards mitigating and managing these threats. Our cutting-edge ERP system, and digitalization initiatives are expected to boost productivity and efficiency next year, supporting performance enhancement. In addition, the steady growth in tourist arrivals and worker remittances are positive signs for the overall economy. However, these sectors too, could be impacted by increased tariffs.

Despite this rising unpredictability, we are well-prepared with a robust and flexible growth strategy aimed at sustaining long term value creation for all stakeholders. To maintain bottom-line growth, we will prioritize volume expansion in our manufacturing segment by offering competitive pricing to penetrate deeper into the market and increase our market share. Plans are also underway to scale up our injection molding operations, with the goal of supplying plastic components not only to Group companies but also to external clients, which will create a new revenue stream for Abans Electricals. We will continue to strengthen our after-sales services, ensuring faster and more responsive customer support to boost satisfaction. In the solar energy space, we are actively exploring new opportunities beyond rooftop installations to diversify and expand our renewable energy portfolio.

Acknowledgement

As we conclude an exceptionally successful year, I wish to acknowledge the individuals and relationships that made this year's achievements possible. My deepest thanks go to the Board of Directors for their strategic guidance, and I also extend my fullest appreciation to the management and entire staff for their contributions in achieving this historic best performance. Our customers are our lifeblood, and my sincere gratitude goes to all our customers for their continued trust in the Abans brand. As always, I am thankful to our business partners and other stakeholders for their ongoing support and we at Abans Electricals pledge to continue delivering increased value to all stakeholders in the coming year.

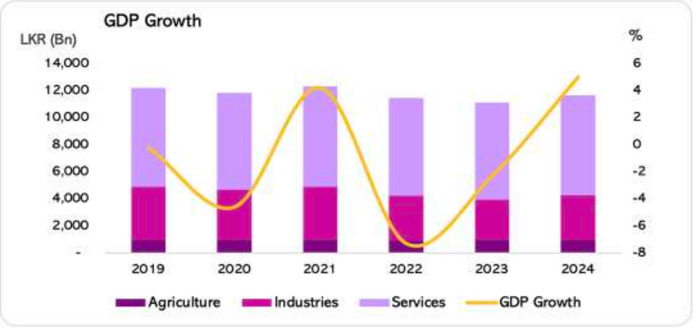
Sincerely,

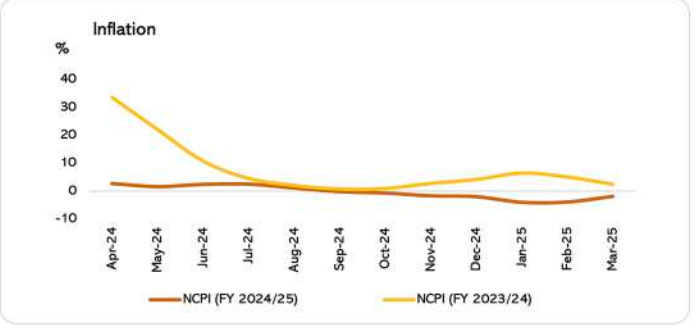
Aban Pestonjee
Chairperson
29th August 2025

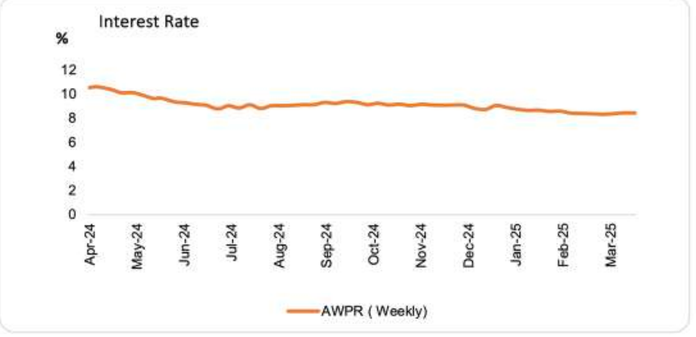
From Design to Deployment

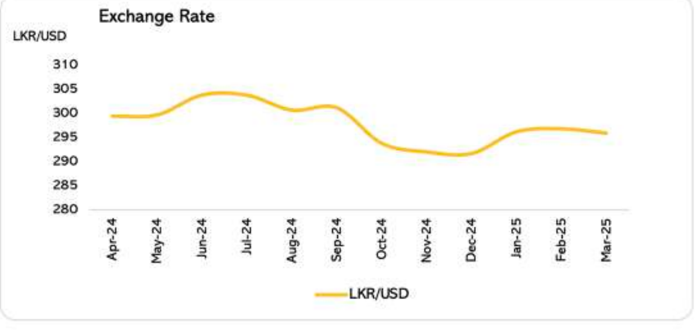
Delivering Excellence in Electrical Innovation

OPERATING ENVIRONMENT









Global Economy

Global economic volatility intensified during the current financial year, fueled by the proposed new US tariff regime and intensification of the Russian-Ukraine war and Middle Eastern conflicts. However, Sri Lanka's economy continued to gain stability, with key economic indicators demonstrating sustained signals of recovery. The gradual normalisation of economic indicators in the country was supported by the establishment of a majority government that injected political predictability into the broader equation, coupled with policy stability with regard to ongoing structural reforms.

Sri Lankan Economy

The past year underscored a robust turnaround in Sri Lanka's economic fundamentals, as highlighted by the successful conclusion of the IMF's Fourth Review, which commended the country's macroeconomic stabilisation efforts. In 2024, Sri Lanka also made steady progress under its Extended Fund Facility (EFF) agreement with the IMF, which began in March 2023. In February 2025 the IMF approved the third review of the US$2.9 Bn bailout, releasing US $334 Mn, which totaled to disbursements of US$1.3 Bn. In April 2025, the fourth IMF review was conducted and a staff-level agreement was reached pending the release of another US $344 Mn when it is approved by the IMF Executive Board.

Economic growth rebounded to 5% in 2024, signaling recovery after two years of contraction. This recovery was driven by revival in all three broad economic sectors of manufacturing, services, and agriculture, realigning the country's economy to a new growth trajectory. Additionally, the revenue-to-GDP ratio improved sharply to 13.5%, up from 8.2% in 2022, reflecting enhanced fiscal discipline and reform momentum. By the end of March 2025, gross official reserves rose to US$6.5 Bn, bolstering external sector stability.

The main economic indicators that directly impacted Abans Electricals' financial performance were the exchange rate, which is important in relation to the Company's import expenditure, market interest rates which impact the Company's finance costs, and the cost of living or inflation rate which causes fluctuations in consumer demand for the Company's manufactured products and other services. The changes to these material macro indicators are discussed in brief in this chapter, in order to present Abans Electricals' financial performance during the year in context of its wider operating environment.

Inflation Rate

The Central Bank maintained an accommodative monetary policy during the financial year 2024/25 in order to contain the rate of inflation and to encourage economic activities. Against this policy environment, Sri Lanka departed from the scenario of rising inflation of 2022 and 2023, and entered a period of declining inflation culminating in deflation. The inflation rate of 46.4% of December 2022 began to subside and by September 2024, deflationary pressures began to surface, mainly due to reductions in electricity tariffs and base effects, resulting in a deflation of 0.5% for the first time. In January 2025 the country continued to experience a deflation of 4% which started gradually reversing by declining to 2% by April 2025 and 0.7% year-on-year by May 2025. The rate of inflation is expected to turn positive in the third quarter of 2025.

Tariffs and Taxes

Due to the increased tax revenue collections, government revenue recorded a y-o-y growth of 32.2% in 2024. The increase in income taxes in 2024 was driven by the full impact of policy changes implemented in 2023 on personal and corporate income taxes, as well as the removal of the majority of VAT exemptions, reduction of the VAT registration threshold from Rs. 80 Mn per annum to Rs. 60 Mn per annum and the upward revision in the standard VAT rate to 18%, along with the removal of import restrictions and the revival of economic activities.

On April 1st 2025, tax relief measures were introduced. The taxable monthly income threshold was increased from Rs. 100,000 to Rs. 150,000 and individuals earning less than Rs. 1.8 Mn annually can now claim relief on the advance income tax (AIT) charged on interest or discounts from deposits, offering tax relief to lower-income earners.

However, from April 1st, 2025, a 15% tax was introduced on income from services provided to foreign countries, and stamp duty on lease and rental agreements has also been revised. Previously set at Rs. 10 per Rs 1,000 or part thereof, was doubled to Rs. 20.

Interest Rates

Market interest rates also trended downwards in 2024, as the Central Bank continued to ease policy rates. The Central Bank also made significant structural changes during the financial year of 2024/25. In November 2024, the Central Bank transitioned from its dual-interest rate corridor to a unified Overnight Policy Rate (OPR) in order to enhance transparency and improving the effectiveness of monetary policy transmission. The initial OPR was set at 8.0%, but previously in July 2024, the CBSL had implemented a 25 basis point cut, to support the country's ongoing economic recovery. In May 2025 the OPR was reduced by 25 basis points to 7.75%, to stimulate private sector credit growth while maintaining a path toward medium-term inflation stability. Consequently, both lending and deposit rates commenced a gradual decline, coupled with a normalised yield curve that significantly improved financing conditions across various sectors. This easing of interest rates made borrowing more accessible for businesses and consumers alike, facilitating investment and spending. Credit to the private sector from banks increased by 10.7% year on year in 2024 indicating a strong rebound in business and consumer activity. This surge in credit reflects growing confidence in the economic recovery and supports increased investment and consumption, vital for sustained economic growth.

Exchange Rate

Foreign reserves improved significantly, from less than US$ 20 Mn in mid-April 2022 to US$ 6.5 Bn by March 2025. The Sri Lankan rupee, which had depreciated to its lowest of LKR 370 to the USD in May 2022, appreciated to LKR 291.65 by December 2024, and was LKR 297.5 by April 2025. The Real Effective Exchange Rate (REER) rose from 70.2 in December 2022, to 76.7 by end-2024, signaling enhanced external competitiveness. Major economic activities such as tourism and remittances rebounded strongly, with 2.05 Mn tourist arrivals in 2024 generating US$ 3.17 Bn, and US$ 1.38 Bn earned in the first four months of 2025. Worker remittances also recovered, reaching US$ 693 Mn in March 2025, reflecting a 21.1% year-on-year increase. From January 2025 onward, the monthly current account recorded consecutive surpluses. In April 2025 alone, the current account remained positive despite a widening merchandise trade deficit due to a larger rise in imports (up 17.5% year on year) compared to exports (10.4% y/y). Key external drivers included tourism earnings and worker remittances, which continued to improve as tourism rebounded and expat flows strengthened. A positive balance of payments surplus of US$ 1.36 Bn was achieved by May 2024, supported by tourism and remittance inflows.

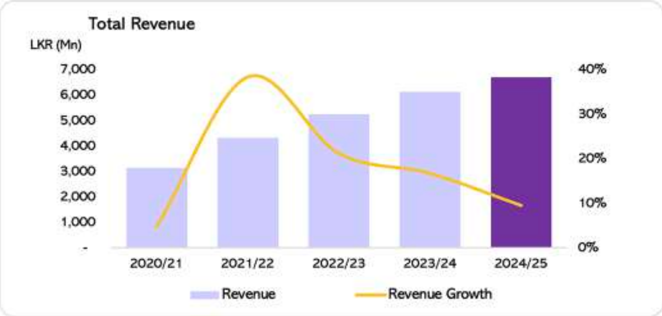
Economic Outlook

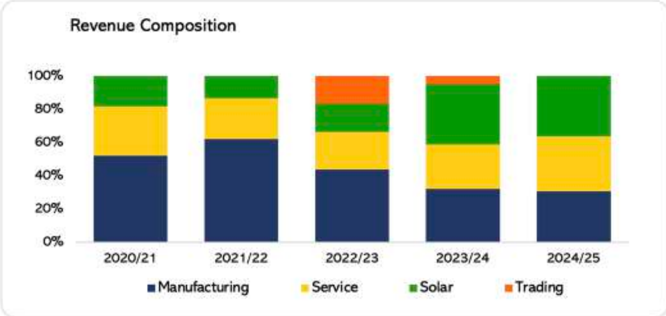
The World Bank in its June 2025 Global Economic Prospects report slashed growth forecasts for 2025 in nearly 70% of economies across all regions, citing heightened trade tensions and policy uncertainty. While not predicting a global recession, the Bank stated that global economic growth would slow to 2.3% in 2025, nearly half a percentage point lower than originally predicted at the start of 2025.

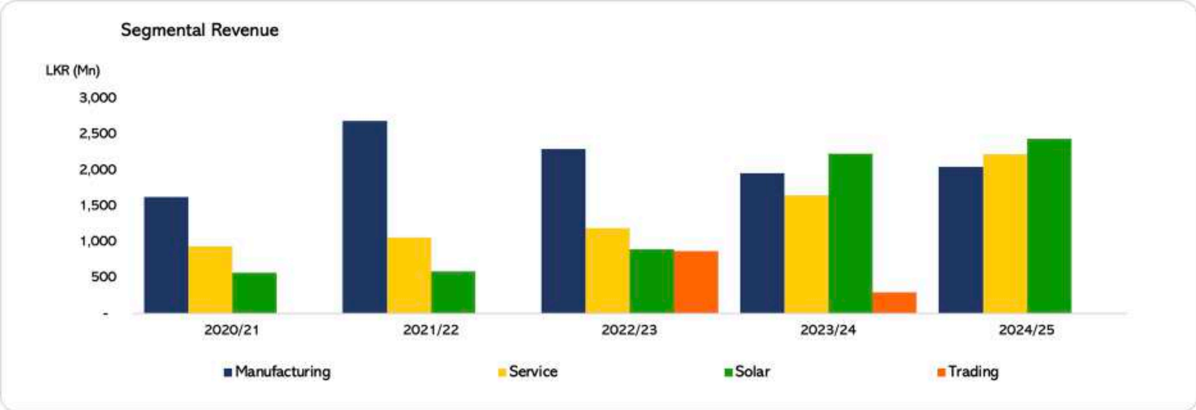
Following the fourth IMF review in April 2025, the IMF have emphasised that Sri Lanka's reforms must be continued to sustain economic recovery. However, Sri Lanka's growth outlook for 2025 to 2027 has been cut down considerably below the actual 2024 GDP growth. The World Bank in its June 2025 Global Economic Prospects report cut down Sri Lanka's economic growth to 3.5% in 2025, attributed to the lingering effects of the recent economic crisis, structural challenges, and heightened global economic uncertainty. The report also anticipates further moderation in growth to 3.1% in 2026-27 due to a slowdown in overall investment, though the impact may be eased by structural reforms.

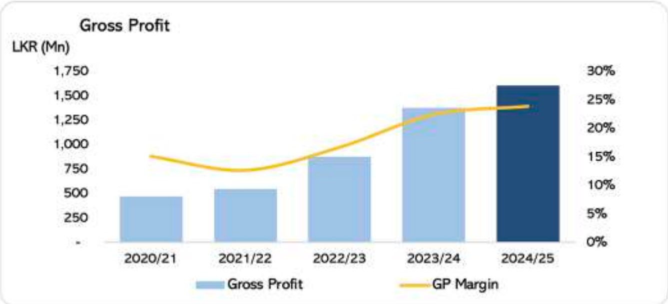
Nevertheless, the IMF's presence continues to anchor both investor sentiment and reform initiatives, fostering a sense of stability and encouraging necessary economic reforms. In addition, the current deflationary trend is expected to reverse in 2025, with inflation projected to stabilise around the Central Bank's target of 5%. Additionally, public sector wage increases, and selective tax relief measures are expected to stimulate economic activity. Investment opportunities are beginning to emerge with the resumption of infrastructure projects that promise to stimulate downstream economic activity.

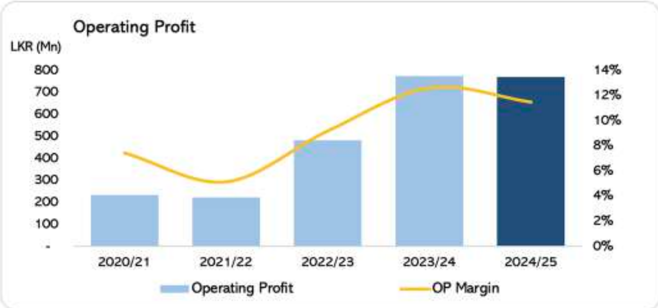
FINANCIAL CAPITAL

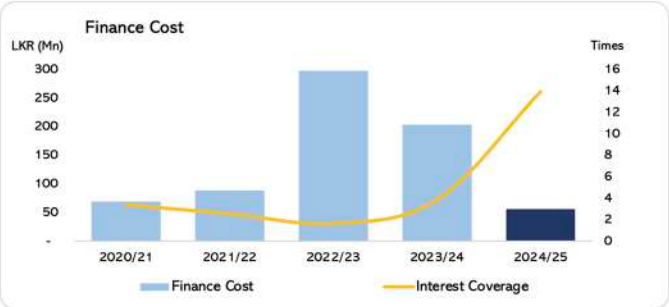


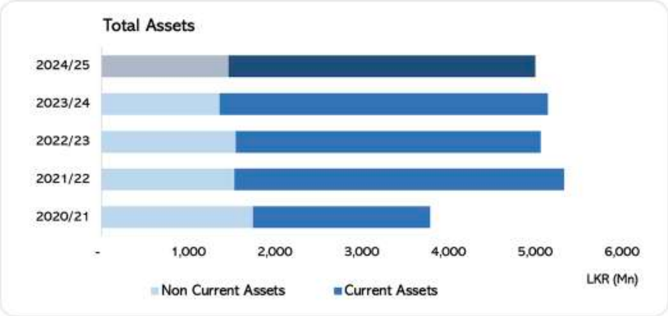


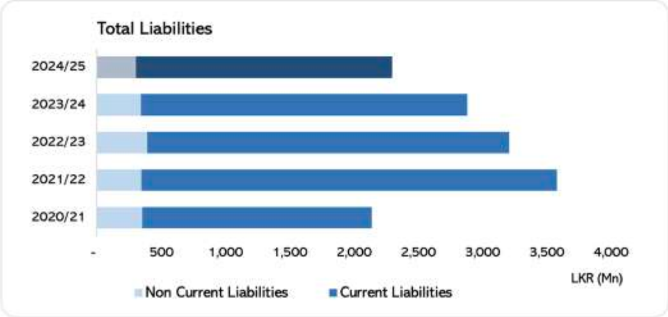




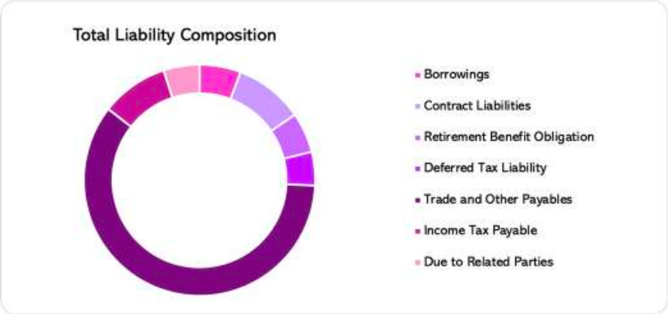


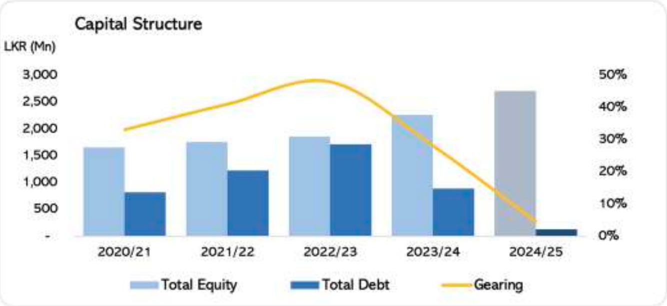


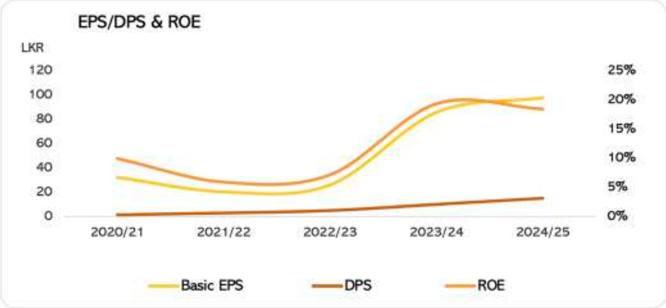

Total Assets
2024/25
2023/24
2022/23
2021/22
2020/21
-
1,000
2,000
3,000
4,000
5,000
6,000
LKR (Mn)
Non Current Assets
Current Assets

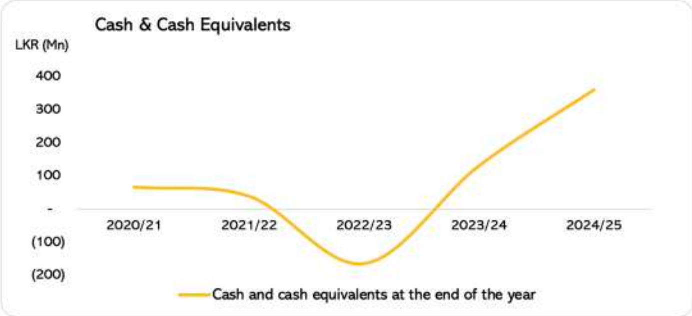

Total Liabilities
2024/25
2023/24
2022/23
2021/22
2020/21
-
500
1,000
1,500
2,000
2,500
3,000
3,500
4,000
LKR (Mn)
Non Current Liabilities
Current Liabilities


Total Asset Composition
PPE
Stocks
Trade and Other Receivables
Advances, Deposits and Prepayments
Due from Related Parties
Short Term Investments
Cash in Hand and at Bank
Other Assets


Total Liability Composition
Borrowings
Contract Liabilities
Retirement Benefit Obligation
Deferred Tax Liability
Trade and Other Payables
Income Tax Payable
Due to Related Parties


Capital Structure
LKR (Mn)
3,000
2,500
2,000
1,500
1,000
500
-
50%
40%
30%
20%
10%
0%
2020/21
2021/22
2022/23
2023/24
2024/25
Total Equity
Total Debt
Gearing


EPS/DPS & ROE
LKR
120
100
80
60
40
20
0
25%
20%
15%
10%
5%
0%
2020/21
2021/22
2022/23
2023/24
2024/25
Basic EPS
DPS
ROE


Cash & Cash Equivalents
LKR (Mn)
400
300
200
100
-
(100)
(200)
2020/21
2021/22
2022/23
2023/24
2024/25
Cash and cash equivalents at the end of the year

FINANCIAL CAPITAL

Overview of Financial Performance

At Abans Electricals, we continually monitor market dynamics to anticipate shifts in our operating environment, and to maintain both operational flexibility and financial stability. As Sri Lanka's economy began firming up towards the end of the financial year 2023/24, we responded proactively to market signals by aligning our financial resources towards optimising risk-adjusted returns within the current financial year.

Our financial strategy for the year was targeted to expand capacity, enhance profitability, and ensure long-term sustainability across our diversified business lines. This was achieved by pushing top line growth, augmenting profit margins, and shortening cash flow cycles. By maintaining a disciplined balance between strategic investments and prudent cost management, we optimized operational efficiency while improving liquidity and capacity, in order to capitalise on emerging market opportunities. This approach has strengthened our competitive advantage and enabled us to deliver consistent, sustainable value to our shareholders.

Revenue

Backed by appropriate financial strategies, the top line for the year increased from LKR 6.12 Bn to LKR 6.71 Bn, which is a 9.53% growth year-on-year. All three core business segments of manufacturing, services and solar installations contributed towards this growth, although the solar power sector in particular experienced numerous obstacles to growth, despite existing market potential.

Revenue from manufacturing activities increased by 4.64%, primarily driven by volume growth in sales supported by favorable macroeconomic factors such as the rupee appreciation, declining interest rates, and successful supplier negotiations. Notably, this sales growth was achieved despite downward pricing adjustments made to maintain price competitiveness. It reflects a recovery in market demand and ongoing improvements in our manufacturing efficiency.

Meanwhile, revenue from customer support services recorded a sharp 35.10% increase. This growth was supported by the renovation of service centers and the restructuring of service delivery management, which enhanced the operational efficiency of our customer care services and improved the overall customer experience. These internal improvements enabled our service centers to better respond to customer needs and handle higher service volumes.

Solar revenue grew by 9.26% during the year, alongside an increase in solar power connections to the national grid on behalf of our customers. Notably, we sustained solar revenue growth despite multiple market and regulatory challenges, including intense competition from new market entrants, changes to solar tariffs, and continued price reductions. We focused on commercial installations that enabled high cost-revenue benefits compared to smaller domestic installations.

Cost Management

Effective cost management was crucial to improving our bottom line in an environment marked by rising operational costs, increasing competition, and downward pressure on prices of white goods and solar power systems.

We continued to optimize our manufacturing processes during the year by streamlining production workflows to reduce cycle times and minimize waste. Regular maintenance of injection molding machines and assembly lines was carried out to prevent breakdowns and ensure consistent product quality. Additionally, we implemented recycling initiatives for plastic scraps and optimized the use of input raw materials to minimize environmental impacts while containing manufacturing costs.

In our solar business, cost management was facilitated through careful project planning and design. System size and layout were optimized to reduce waste and maximize energy output. Comprehensive site assessments and solar resource analyses were conducted to ensure optimal efficiency, including shading analysis, roof orientation, and solar irradiance measurements, enabling us to deliver cost-effective and efficient solutions to customers. We also selected reliable suppliers offering competitive pricing and warranties, thereby maintaining high product quality while ensuring price competitiveness.

In addition, careful cash flow management made it possible to slash our finance costs by 72.66%, or LKR 147.33 Mn, bringing total finance costs down to LKR 55.44 Mn in the current year, from LKR 202.77 Mn in the previous year.

Profitability

We achieved a 16.60% growth in gross profit, representing an increase of LKR 228.49 Mn, driven by a combination of revenue growth and effective cost management. Favorable exchange rate movements contributed to reductions in input costs, while targeted cost-saving initiatives further supported profitability. As a result, the gross profit margin recorded a slight improvement compared to the previous period from 23.93% to 22.48%.

Profit Before Tax (PBT) rose by 25.43% to LKR 714.91 Mn from LKR 569.98 Mn, reflecting a growth of LKR 144.93 Mn. However, despite the overall improvement in operational performance, the growth in Profit After Tax (PAT) was curtailed to 14.00%, due to the increased tax outlay. PAT increased by LKR 61.44 Mn to LKR 500.16 Mn, up from LKR 438.72 Mn.

Tax Expenditure

Tax expenses increased in the current financial year, from LKR 131.26 Mn to LKR 214.75 Mn, primarily due to the rise in taxable income, which was subject to income tax rate of 30%. For further details on the tax impact on the Company, please refer to Note 9 of the financial statements on page no. 88

Total Assets

Total assets of the Company declined by 2.78% during the year, while Property, Plant and Equipment increasing by 7.44% to LKR 1,394.53 Mn. This asset expansion includes key investments in plant and machinery aimed at enhancing our manufacturing capacity of plastic components. Domestic production of plastic components contributes towards cost efficiencies by reducing import costs, and also mitigates supply chain risks in our manufacturing operations.

We also invested towards expanding our IT infrastructure, including laptops and computers, to improve digital capabilities and support ongoing business growth.

Additional investments were also made in tools, equipment, motor vehicles, and other related assets. The growth of these strategically important assets will contribute towards sustained profit growth in the future.

Total Liabilities

During the year, the majority of outstanding debts were repaid using improved cash flow from sales collections, with a focus on settling import and short-term loans to minimize interest costs. Interest bearing loans and borrowings declined from LKR 886.88 Mn as at end March 2024, to LKR 132.35 Mn by end March 2025, which is a reduction of 85.08% year on year. Consequently, total liabilities declined by 20.36% from LKR 2,881.81 Mn to LKR 2,294.98 Mn, as both current liabilities and non-current liabilities declined by LKR 548.10 Mn and LKR 38.74 Mn, respectively.

Cash Flow

During the year, we remained focused on maximizing the efficiency of fund deployment to optimize the returns from our available financial resources. A key initiative was to shorten the cash conversion cycle by improving inventory management, accelerating the collection of receivables, and negotiating more favorable payment terms with suppliers. Our cash flows also benefited from more favorable credit terms with customers and the enforcement of a stringent collection process for ongoing and confirmed solar projects. As a result, cash and cash equivalents available to the Company increased by 175.26% year-on-year.

This has significantly strengthened the Company's working capital position and overall financial resilience. In addition, the ongoing decline in market interest rates, together with debt settlements funded by improved sales collections, contributed to a reduction in finance costs. The combined outcome of reduced finance costs and increased revenue, contributed towards boosting the bottom line and also increased our liquidity levels, which has freed up cash for faster purchase cycles and investments.

Changes to Financial Capital

The Company's financial capital structure comprises the two components of equity and debt. During the financial year, retained earnings increased by 27.53%, rising from LKR 1,611.96 Mn as at 31 March 2024, to LKR 2,055.80 Mn by 31 March 2025. This growth was primarily driven by the PAT of LKR 500.16 Mn.

A significant reduction in debt during the year further strengthened the Company's financial position. Improved cash flows from sales collections enabled the repayment of a substantial portion of outstanding borrowings, with a strategic focus on settling import-related and short-term loans to minimize interest expenses. As a result, interest-bearing loans and borrowings were reduced from LKR 886.88 Mn at the end of the previous year, to LKR 132.35 Mn by the end of the current year. Total current liabilities of the Company were reduced by 21.59% to LKR 1,991.02 Mn from LKR 2,539.12 Mn

Outlook for 2025/26

While we expect overall macroeconomic stability within Sri Lanka to continue, evolving global and domestic political and economic dynamics present potential risks to the Company. As an imports dependent business, we remain exposed to foreign exchange volatility, supply chain disruptions, and possible policy changes, particularly those related to solar energy and import tariffs, that could negatively impact costs and profitability in the financial year 2025/26.

Despite these challenges, we anticipate moderate growth to the bottom line, supported by rising consumer demand, a stable exchange rate, manageable inflation levels, and relatively affordable interest rates. The broader recovery of industries and businesses is also expected to bolster consumer incomes, contributing towards consumer demand. However, heightened competition in the white goods retail market is likely to persist, exerting downward pressure on retail prices and potentially compressing manufacturer margins. In addition, geopolitical risks such as the ongoing Middle East conflict could disrupt global supply chains and elevate input costs, posing further obstacles to sustained business growth.

Revenue
LKR **6.71** Bn
2023/24 LKR **6.12** Bn

Gross Profit
LKR **1.61** Bn
2023/24 LKR **1.38** Bn

Operating Profit
LKR **735.86** Mn
2023/24 LKR **719.44** Mn

Net Profit
LKR **500.15** Mn
2023/24 LKR **438.72** Mn

Tax Expense
LKR **214.75** Mn
2023/24 LKR **131.26** Mn

Total Assets
LKR **5.01** Bn
2023/24 LKR **5.15** Bn

Total Liabilities
LKR **2.29** Bn
2023/24 LKR **2.88** Bn

Total Equity
LKR **2.71** Bn
2023/24 LKR **2.27** Bn

MANUFACTURED CAPITAL

Our manufactured assets, which include our manufacturing, operational and service delivery infrastructure comprising buildings, plant and machinery and digital hardware, form the foundation of our business operations. Therefore, we continued to invest in strategic enhancement and expansion of these assets. These investments were carefully aligned with our goal of increasing capacity to meet the steady rebound in demand across key segments, including white goods, solar energy installations, and after-sales services.

Changes to Manufactured Capital

The Company's manufactured capital comprises a broad spectrum of resources and infrastructure, including land and buildings, plant and machinery, tools and equipment, vehicles, raw material inventories, and finished goods—each playing a vital role in sustaining our operational efficiency and service delivery capabilities.

The combined stock of our manufactured assets, which comprises raw materials, work-in-progress goods, goods in transit and finished goods, declined to LKR 1,586.65 Mn as at 31 March 2025, from LKR 1,631.68 Mn in the previous year.

In addition, our fixed asset base grew from LKR 2,046.69 Mn at the end of March 2024 to LKR 2,209.17 Mn by March 2025, due to strategic additions across multiple asset classes.

This includes substantial investments in plant and machinery, to expand our capacity for manufacturing plastic components. Our injection molding plant, which serves both our internal manufacturing needs and those of other companies within the Abans Group is a strategic project aimed at sustainable future growth. The plastic components produced through our plant are already creating a cost advantage for Abans retail in the prevailing environment of price competition in the white goods segment.

We also strengthened our IT infrastructure through targeted investments in computer equipment, including laptops, to boost system performance and enable scalable growth. These digital enhancements have been instrumental in elevating our after-sales service capabilities. Our island-wide network of authorized service centers is being increasingly digitized, which is reducing manual processes, accelerating response times, and enhancing customer convenience. Simultaneously, our centralized Enterprise Resource Planning (ERP) infrastructure is contributing towards improved cost controls and operational agility. We continued to proactively maintain our physical assets, with regular upgrades, replacements, and servicing of machinery and components, to sustain peak performance. Our raw material inventories continued to be sourced both from local as well as foreign suppliers. However, we continually reviewed the quality of products, parts, materials and suppliers in order to provide the best value for money solutions for our customers.

We invested over LKR 115.33 Mn in expanding and developing our manufacturing infrastructure, alongside LKR 19.59 Mn for tools. An additional LKR 25.92 Mn was channeled into IT related hardware, supplemented by routine investments in the upkeep of furniture, fittings, buildings, and vehicles.

Outlook 2025/26

The market dynamics of the 2024/25 financial year reflect a challenging dual trend of rising input costs, alongside increasing downward pressure on retail prices for both solar installations and white goods. This ongoing squeeze on profit margins is expected to intensify, as both domestic and commercial customers become more discerning, seeking greater value for money in their purchasing decisions. In this environment, it is imperative that we continue to drive cost efficiencies and elevate productivity across our operations to maintain our price competitiveness.

At the same time, we are committed to strengthening our customer value proposition. This will be achieved through thoughtful value additions, including the integration of eco-friendly, energy-efficient technologies, enhanced product features, and superior after-sales support that is both reliable and responsive. Our manufactured asset base will be continuously evaluated and strategically enhanced to support revenue growth and also to manage operational costs effectively. These efforts are aimed at sustaining profit growth by expanding the top line while firmly controlling the middle line.

Land & Buildings
LKR **971.53** Mn
2023/24 LKR **942.84** Mn

Plant & Machinery
LKR **778.87** Mn
2023/24 LKR **663.53** Mn

Furniture, Fittings, Fixtures & Office Equipment
LKR **198.16** Mn
2023/24 LKR **193.16** Mn

Computers
LKR **108.84** Mn
2023/24 LKR **82.92** Mn

Motor Vehicles
LKR **81.31** Mn
2023/24 LKR **93.85** Mn

Tools
LKR **65.66** Mn
2023/24 LKR **46.10** Mn

HUMAN CAPITAL

As a leading brand in the white goods manufacturing and renewable energy space, the technical skills and dedication of our people are vital to remain competitive. Our team comprises a range of specialists, with both expertise and experience in their respective domains, which collectively contribute to our sustainable operations and bottom-line growth. Therefore, we view our employees as a core competitive advantage and throughout the year, we made strategic investments in our human capital, focusing on training and development while also prioritizing employee retention and talent acquisition. In addition, all efforts were made to ensure employee safety and well-being, with all health and safety protocols strictly implemented and monitored in line with regulatory requirements.

Compliance at all times

Staying true to our longstanding reputation for integrity and compliance, we upheld full adherence to all applicable labor laws and regulations throughout the year. From timely remittances to the EPF, ETF, and gratuity payments, to meeting all statutory obligations we have remained highly cognizant of our legal obligations towards employees, as key internal stakeholders. As a responsible employer, we maintain a zero-tolerance policy on child labor, all factory and other operational aspects were continually monitored for health and safety standards, and all recruitments were conducted with diligence, ensuring we remain fully aligned with Sri Lanka's labor law framework in all aspects of the business. The range of labor regulations we comply with includes:

- The Wages Board Ordinance
- The Employees' Provident Fund Act
- The Employers' Trust Fund Act
- The Employment of Women, Young Persons and Children's Act
- The Maternity Benefits Ordinance
- The Shop and Office Employees (Regulation of Employment and Remuneration) Act
- The Workmen's Compensation Ordinance

Our Human Capital Base

Acquisition of New Talent

In order to sustain growth and expand production, during the year under review, Abans Electricals PLC welcomed a vibrant influx of new talent, with a total of 353 new recruits joining our workforce. Among these newcomers, 287 were male and 66 were women, reflecting our ongoing efforts to attract a diverse and skilled talent pool. This addition of professionals has contributed towards expanding our business capacity during the year and to support growth in the future.

New Employee Hires

Male	Female	Total
287	66	353

Total Employees

The total employees of Abans Electricals were 778 as at end March 2025, compared to 648 in the previous financial year. The team was mainly male with 652 men and 126 women.

Total Employees by Gender

Gender Wise	2024/25	2023/24
Male	652	554
Female	126	94
Total	**778**	**648**

Total Employees by Age

Age Wise	2024/25	2023/24
18-30	377	288
31-50	356	322
51+	45	38
Total	**778**	**648**

Our overall employee demographic remains youthful, with 377 employees falling within the 18 to 30 year bracket, and 356 employees within the 31 to 50 year age group. Our youthful team brings energy, innovation, and adaptability, qualities essential for driving the Company's future growth, while the inclusion of older more experienced personnel helps to maintain a blend of experience and stability in our operations.

Employees by Employment Category

Category Wise	2024/25	2023/24
Senior Management	13	10
Middle Management	78	62
Executive	104	88
Non-Executive	583	488
Total	**778**	**648**

In terms of organizational structure, the majority of our workforce consists of non-executive staff, numbering 583. This segment forms the backbone of our day-to-day activities and operational excellence. Complementing this are 104 executives, 78 middle management professionals, and 13 senior management leaders who provide strategic direction and stewardship. Together, this balanced mix of talent across all levels ensures that Abans Electricals remains agile, well-led, and ready to meet evolving industry challenges.

Employee Retention and Turnover

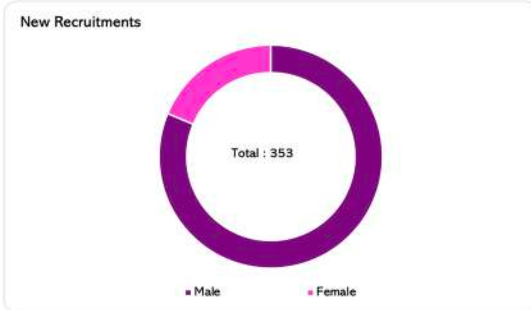
The human resource department of Abans Electricals is well aware that any organization is built on the strength and stability of its people. Therefore, we place great value on retaining our trained and experienced talent, and on nurturing long-term career growth opportunities to motivate employee loyalty. This year, we were proud to see a significant reduction in employee turnover, which dropped to 22.8%, compared to 41.9% in the previous year. The sharp rise in employee attrition in the previous financial year was mainly due to the widespread brain drain phenomenon witnessed within Sri Lanka's labor market since the economic crisis of 2022. Sri Lankan companies experienced a spike in human resource losses as employees sought greener pastures to survive the rising cost of living.

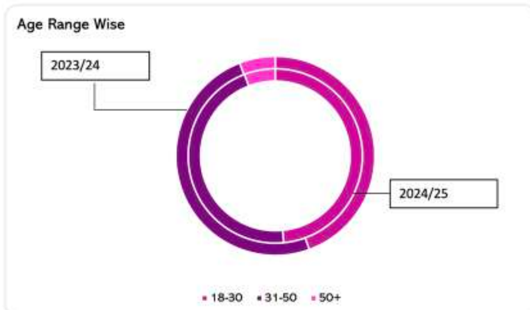
The sharp decline in attrition at Abans Electricals in the current financial year is a direct outcome of our focused efforts to retain employees by fostering a supportive and rewarding work environment. We have introduced a series of retention strategies that address both financial security and emotional well-being. These included:

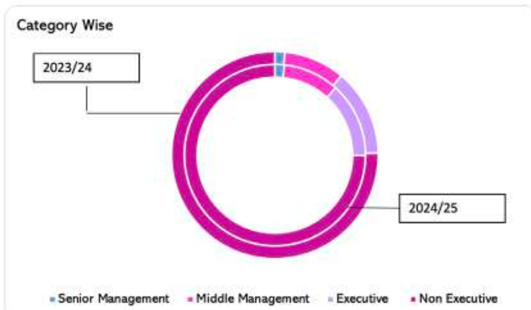
- Competitive financial rewards such as performance-based bonuses
- Career growth opportunities through structured promotions and professional development
- Grocery welfare packs designed to ease the burden of rising living costs
- A safe and respectful working environment, where employee health, dignity, and security are always prioritized

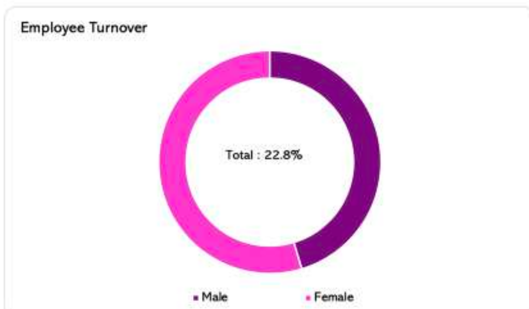
Employee Turnover

Male	Female	Total
22%	26.5%	22.8%









Employee Benefits

We have structured an employee benefits framework that goes well beyond regulatory requirements in order to reflect our commitment to the well-being and professional satisfaction of our workforce. In addition to offering competitive remuneration packages, we provide a comprehensive and thoughtfully designed suite of benefits aimed at recognizing performance through a range of incentive schemes, supporting physical health and wellness, and creating a supportive work environment.

Key components of our employee benefits include:

Incentives

- Performance Based Bonus – All categories
- Production Incentives – Technical staff
- Employee Sales Scheme for Abans Products – All categories
- Travelling Allowance – All categories without having fuel allowance
- Staff Transport – Staff category

Medical Support

- Employee Medical Scheme – All categories
- Health Insurance – All categories
- Employee Life Insurance – All categories

Meals

- Evening Snack – Production Staff
- Night Shift Meal – Production Staff

Welfare

- Death Donation – All Categories
- Sports Club – All Categories
- Uniforms – Production Staff
- Educational Aid Distribution – All Categories
- Welfare Pack Distribution – All Categories
- Savings Accounts Opening for Newborn Babies – All Categories

Training and Development

We remained committed to investing in the continuous training and skill development of our employees, aligning these efforts closely with both our strategic growth objectives and individual career development goals. Training needs across various employee categories were carefully identified through ongoing feedback from line managers and department heads, as well as through the analysis of training gaps highlighted during annual performance evaluations. Additionally, training requirements were determined through succession planning processes, ensuring that we prepare our workforce not only for current roles but also for future leadership positions.

The training programs conducted during the current financial year encompassed a diverse range of topics, designed to enhance both technical expertise and soft skills:

- Technical and Soft Skills Development Training
- Microsoft 365 Product Awareness
- Injection Molding Maintenance Training Program
- Electrical Training Workshop
- Training on Infrared Thermography in Solar PV Applications
- Solar PV System Training – Modules & Inverters
- Training on Medium Voltage Systems and Applications
- Advanced Training in Solar System Design and Deployment
- Fire Prevention and Emergency Response Training
- Training on Incoterms, International Payment Terms, and Import – Export Procedures

Performance Evaluations

At Abans Electricals PLC, we believe that continuous feedback and assessment are vital to individual and organizational growth. To this end, performance evaluations are conducted rigorously every quarter as well as annually. These assessments are based on clear, measurable Key Performance Indicators (KPIs) carefully developed by the Company to align employee objectives with our broader strategic goals. This structured evaluation process provides employees with valuable insights into their strengths and areas for improvement, fosters open communication between staff and supervisors, and supports a culture of accountability and excellence. It also serves as a foundation for identifying training needs, recognizing outstanding contributions, and guiding career development and succession planning.

Grievance Management

As a core aspect of employee satisfaction and motivation, we strongly uphold the principles of fairness, diversity, and equality. We aim to foster an environment where open and honest communication is valued at every level of management. Therefore, we maintain an ‘Open Door’ policy for employees to feel comfortable raising concerns directly with the Head of Human Resources, their Divisional Heads, or even the Chief Executive Officer, creating multiple channels for transparent and accessible dialogue. To further encourage candid feedback, we introduced a suggestion box located in a convenient and discreet area, allowing employees to submit grievances anonymously.

In addition to the above, during the year, we conducted awareness sessions to educate employees on the grievance handling procedures. Our structured grievance reporting system ensures that once an issue is raised, it is promptly forwarded to the HRBP for investigation. The HRBP works closely with management to resolve the matter effectively, and the resolution is communicated back to the employee. To ensure complete closure, follow-up feedback is gathered to confirm the employee’s satisfaction with the outcome. This comprehensive approach reflects our commitment to maintaining a respectful, fair, and supportive workplace where every voice is heard and valued.

Occupational Health and Safety Management

As a responsible employer, we maintain full compliance with all applicable health and safety regulations, with continuous monitoring of our health and safety applications and protocols for any gaps and to effect required improvements. This demonstrates our dedication to fostering a secure work environment by rigorously implementing safety standards to protect all grades of employees.

During the current financial year, we conducted comprehensive health and safety awareness sessions tailored for both technical and non-technical staff, equipping them with the knowledge and practices needed to maintain a safe workplace. Additionally, insights gained from audits and incident reports serve as valuable tools to refine our processes, driving ongoing enhancements and reinforcing our culture of safety excellence.

Employee Events

At Abans Electricals PLC, we believe that fostering a vibrant and connected workplace culture contributes towards better cooperation among operational functions and motivates all employees by creating a sense of oneness. Throughout the year, we organized a variety of events designed to celebrate achievements, promote wellness, encourage social interaction, and strengthen the bonds within our team. Some of these activities are presented below.

New Year Ceremony 2025

Our employees from all levels gathered on January 1st, 2025, to warmly welcome the New Year. The celebration included joyful exchanges of good wishes followed by a traditional pirith chanting ceremony to seek the blessings of the Triple Gem for the year ahead.

Service Appreciation 2024

The Company hosted a special ceremony to honor long-serving employees, recognizing those who have dedicated over five years to the organization. Awards and gifts were presented to commemorate milestones at 5, 10, 15, 20, 25 years, and beyond.

Eye Care Awareness Program and Clinic

This is a voluntary, free of charge initiative by the Company to contribute towards employee health and wellness. This event offered employees comprehensive eye examinations, vision screenings, and expert advice to promote ocular health.

Secret Santa 2024

Our annual Christmas celebration provided a festive atmosphere where employees could socialize, enjoy entertainment, and share holiday cheer.

Women’s Day Celebration 2025

We commemorated International Women’s Day, by honoring our women employees with red roses and conducted an awareness session on achieving work-life balance.

Annual Get Together

This year too, we conducted the Company’s annual get-together for employees. This popular event provides our staff with the opportunity to unwind, relax, and enjoy time away from their daily work routine, in a friendly and informal setting.

Shapes of Tomorrow

This event has been specially created to celebrate the academic achievements of children of employees who excelled in the Grade 5 Scholarship Examination, G.C.E. Ordinary Levels, and Advanced Level examinations.

Surya Mangalyaya

This is our traditional New Year celebration complete with traditional games, food and activities fostering cultural unity and joy among staff.

In addition to the above activities our team worked together to conduct a Poson Dansala, a Children’s Day – Art Competition and a Book Donation Program under the title of “Write to Grow,” which was aimed at encouraging the reading habit.

Plans for the Future

Our employees will remain a top priority as we continue to expand our business activities in the new financial year. Therefore, we remain committed to strengthen our human capital through continued investments into skill and capacity development, while improving health and safety standards. At the same time, we will continue to attract fresh talent and diverse experiences, enriching our workforce with new perspectives and capabilities. These initiatives will position us to build a stronger, more dynamic organization that supports growth, innovation, and employee fulfilment.

NATURAL CAPITAL

In the current financial year, we strengthened our sustainability commitment by continually reviewing our value chains to rectify existing resource consumption inefficiencies in order to minimize negative environmental impacts. We emphasized enhancing manufacturing efficiency and further strengthened our ongoing 3R (Reduce, Reuse, Recycle) activities across the Company by closely tracking resource usage, reducing consumption of resources and implementing responsible waste management practices. We have also already commenced the transition to solar power to reduce the use of fossil fuels and carbon footprint in our business operations. Looking ahead, we are also exploring the introduction of sustainability reporting to further enhance the transparency and quality of our environmental disclosures.

Compliance with Environmental Regulations

As a core component of our commitment to sustainable operations, Abans Electricals has continually monitored and complied with all applicable environmental laws and regulations pertaining to the Company through the Human Resources Department. Therefore, we did not incur any significant penalties or fines during the year in relation to non-compliance with environmental regulations or guidelines.

Environmental Conservation

Environmental stewardship remains a fundamental aspect of our sustainability strategy, and we are committed to conserving natural resources and minimising our ecological footprint. Therefore, while increasing our outputs during the year, we remained focused on minimising waste in the manufacturing process by implementing stringent quality controls and controlling resource consumption, particularly limited resources such as energy and water. The continued digitalization of manual processes has also reduced environmental impacts through enhanced efficiencies and lower wastage, while the deployment of our ERP system has significantly improved the use of input raw materials and other resources. These efforts have not only supported our growth trajectory but also helped mitigate the environmental impact of our operations.

Resource Conservation

Managing Water Consumption

Faced with the rising frequency of extreme weather patterns, we are increasingly conscious of the need for conserving finite and critical resources such as water. We have already implemented systems to continually monitor water use in our operations and during the year we continued to enforce water-saving measures and improved our wastewater recycling systems in line with environmental regulations, to prevent adverse impacts on water bodies through our operations.

We take proactive steps to prevent water wastage caused by leaks, contamination, and evaporation. This includes the installation of water-efficient fixtures designed to limit unnecessary water flow. In parallel, we promote a culture of water responsibility among employees by encouraging mindful usage at the workplace. Water consumption is closely tracked through regular reviews of monthly water bills to help us identify and address inefficiencies in real time. In addition, the waste recycling systems are regularly reviewed to conform to regulatory standards.

Managing Energy Consumption

We have consistently invested in the maintenance and upgrading of our machinery to better manage energy consumption, while integrating energy-efficient technologies across our manufacturing facilities to reduce reliance on electricity. All new machinery and equipment purchases now conform to energy saving and other efficiency criteria, while our manufacturing facilities are being reorganized to obtain more efficient lighting and energy consumption.

To further support our transition toward sustainable energy, we are adopting solar power solutions to meet a significant portion of our operational energy needs. This shift has helped us cut down on the use of fossil fuel-based electricity at our business locations. Electricity usage is tracked on a monthly basis, with detailed analysis of meter readings to monitor consumption patterns. In addition, we actively foster a culture of energy responsibility by promoting awareness among employees about energy efficiency and the importance of conservation in day-to-day operations.

3R Related Activities

Reduce

We have been reviewing our manufacturing processes to optimise material usage and minimize waste generation. Given that our operations rely on a wide range of raw materials and natural resources, reducing resource consumption remains a strategic priority, both to lessen environmental impacts and to enhance the cost efficiency of our operations.

To manage this effectively, we continuously assess and refine our production practices to ensure maximum efficiency. Our manufacturing equipment is carefully maintained and upgraded as needed to minimize the occurrence of defective products and reduce production-related waste. We adhere strictly to best manufacturing practices, including operating machinery at the recommended temperatures, maintaining accurate material ratios, and performing timely repairs and maintenance.

As part of our water conservation efforts, the water used during washing machine testing is cleaned and reused, reducing unnecessary consumption. These resource-efficient practices are embedded into our day-to-day operations, supported by ongoing employee training and awareness initiatives to reinforce sustainable behaviors across the organization.

Recycle

We practice careful segregation of recyclable materials such as plastics and metals. The damaged plastic components from our injection molding facility are fully recycled and reintegrated into the production cycle, significantly cutting down on plastic waste. We have also implemented a system to collect plastic components and scrap materials from our affiliate network, for reuse in manufacturing plastic parts or for resale, depending on suitability. Throughout this process, we maintain stringent quality control measures to ensure that all recycled materials used in production meet our required standards. During the year, we successfully crushed and recycled 37,068 kilograms of damaged plastic components, significantly reducing our contribution to landfill waste and mitigating overall environmental impact.

In addition, Styrofoam packaging from raw material shipments and customer-returned finished goods is redirected to one of our affiliated companies, where it is repurposed into new packing material for future use.

All non-hazardous waste that is unsuitable for reuse or recycling is properly segregated and handed over for municipal disposal in line with regulatory requirements.

Reuse

Wherever practical, we reused packaging materials such as cartons and pallets across our supply chain operations, cutting down on landfill and consumption.

In addition, we have established systems to collect and reuse recyclable materials including plastic components, carton boxes, Styrofoam, and plastic bags. This approach has extended the useful life of these materials, significantly minimizing waste generation.

Outlook for 2025/26

As we continue to expand our production and service-related activities, we remain alert to both existing and potential environmental impacts. Our focus is on proactively identifying these risks and taking appropriate measures to mitigate any negative outcomes. Our ongoing digitalization efforts will further support this goal by reducing the use of physical resources and streamlining operational efficiency. We are also committed to continuously upgrading our systems, machinery, and equipment to enhance resource efficiency, with particular emphasis on minimizing the consumption of natural resources.

SOCIAL & RELATIONSHIP CAPITAL

Our business operations are designed not only to generate economic value but also to contribute meaningfully to society. This is made possible through strong and collaborative relationships with our key stakeholders, who play an indispensable role in our continued success. As a provider of both products and services, our credibility and dependability are fundamental to maintaining our brand strength and fostering lasting relationships in today's competitive landscape. Placing our customers at the center of our strategy, we consistently strive to surpass their expectations and have continued to enhance our value proposition to meet evolving needs. Our local and international suppliers are vital contributors to our operational excellence, and we have actively nurtured these partnerships to ensure the delivery of high-quality products and uninterrupted service.

As a proud member of the Abans Group, one of Sri Lanka's most well-established brands, we are committed to reflecting its core values and high standards in every stakeholder interaction, reinforcing our promise of quality and integrity.

Regulatory Compliance

Abans Electricals PLC maintained full compliance with all applicable laws and regulations during the financial year 2024/25. All statutory payments were made promptly, and all required regulatory records and returns were submitted on time. The Company did not incur any significant fines or penalties for non-compliance or delays in meeting its regulatory obligation.

Stakeholder Engagement

Our key stakeholders play an essential role in our daily operations and long-term business continuity through their contributions and influence on the Company's strategic direction. Recognising their importance, we maintain regular engagement with each stakeholder group, ensuring that all interactions are conducted with professionalism and integrity.

A summary of our stakeholder engagements during the year is presented in the table below.

Stakeholder Group	Purpose of Engagement	How We Ensured Meaningful Engagement
Abans PLC (Significant Shareholder)	Maintain managerial control and providing operational assistance for affiliate Companies	Adhering to policies and controls imposed by the parent Company
Customers	To sell products and services	Providing high quality goods and services and after sales services
Suppliers	To purchase materials required for operations	Settling supplier payments on time, maintaining proper communications, and receiving quality material on time
Employees Please refer to the Human Capital chapter for details on our engagements with our employees during the year under review.	To perform tasks for the Company	Paying salaries on time, providing welfare facilities and supporting for career development
Regulators	To comply with rules and regulations	Ensuring adherence to the rules and regulations imposed by regulators
Providers of Financial Capital	To obtain financial assistance required by the Company	Ensuring on time interest and loan repayment

How We Created Value for Our Customers

Our customers are the foundation of our business success, and we recognize that delivering superior customer value is essential to thriving in today's highly competitive white goods market. To this end, we focused on enhancing customer value through high product quality and reliable, convenient after-sales services.

Our network of authorized service centers was optimized to improve service quality by streamlining operations and equipping each center to provide prompt, efficient support. We also introduced a range of value-added services to enhance the customer experience, including extended warranty options, online service booking, and real-time service updates to ensure transparency and customer satisfaction throughout the service process.

To further strengthen our after-sales capabilities, we provided continuous training to our technicians, enabling them to effectively troubleshoot and repair both locally assembled and internationally branded products. This has significantly contributed to building customer trust and reinforcing our competitive edge in the market.

Improvements to Customer Care

We have implemented systems to continuously monitor customer care standards, with the objective of facilitating consistently high-quality service delivery, while identifying gaps across the service chain. These insights are used to guide targeted training and other corrective actions to address any deficiencies.

During the year, several key improvements were introduced to elevate the customer service experience:

Faster Response Through Mobile Field App

Service technicians were equipped with mobile applications that generate real-time updates on job status, enabling more effective monitoring of service speed and quality. Through ongoing digital integration, we have also reduced manual paperwork and facilitated quicker diagnostics and issue resolution. As a result, our average service response time improved by 25% compared to the previous year, contributing to higher customer satisfaction, and reinforcing our market reputation as a reliable and trustworthy brand.

Enhanced Feedback Collection

Customer feedback plays a vital role in gauging satisfaction with our after-sales services and understanding evolving customer expectations. These insights not only inform product and service development but also highlight employee training needs. In the current year, we strengthened our feedback mechanism by introducing digital post-service surveys, enabling faster, more accurate assessments of service performance.

Employee Training in Customer Handling

To raise service standards, we conducted regular training sessions focused on customer service best practices and soft skills for our frontline staff and technicians. These initiatives aim to foster professionalism and empathy in every customer interaction.

Upgrades to the Service Center Network

We enhanced our service center network by integrating digital capabilities and streamlining administrative processes. These improvements have boosted employee morale, accelerated service delivery and enhanced overall operational efficiency, leading to a better customer experience.

Creating Value for Our Suppliers

We view our suppliers as strategic partners who play a vital role in supporting our business growth, and we engage with them based on mutual respect and trust. Therefore, we maintain a comprehensive supplier database backed by a detailed supplier registration system that classifies local and foreign suppliers, and individuals and companies, as well as their offerings. Throughout the year, we continued to expand our supplier network both locally and internationally, securing reliable sources for raw materials, parts, accessories, and solar installation components.

To streamline engagement and strengthen collaboration, we have established a structured vendor registration system, with separate processes for companies and individual suppliers. This makes registration more accessible and efficient, helping us maintain organized, transparent, and productive supplier relationships.

In the financial year 2024/25, Abans Electricals PLC shifted from sourcing certain solar accessories locally to importing them. This strategic change was implemented to enhance the quality and reliability of these components, ensuring better value and performance for our customers.

Investor Engagements

During the year, we maintained consistent and compliant investor engagement practices to ensure transparency with all categories of investors. Regular financial reporting and disclosures were submitted on time, providing investors with accurate and up-to-date information on the Company's performance. In addition, we organized the AGM with robust shareholder participation, offering a valuable platform for open dialogue between management and investors.

Corporate Social Responsibility (CSR)

Abans Electricals PLC also found the time to conduct an impactful CSR activity during the year by accommodating students from universities and technical colleges for factory visits. The program benefited students by facilitating a hands-on learning experience in industrial processes and by demonstrating how theoretical concepts are applied in real-world manufacturing settings.

Outlook for 2025/26

As customers become more discerning, after-sales support is a decisive factor influencing customer decisions when purchasing the same type of white goods. Therefore, we will enhance our competitive edge by upgrading technician training and certification programs in the upcoming financial year, to elevate our total value proposition. Additionally, we will expand our Fast Service Zones to further elevate the speed and quality of our service delivery, reinforcing our reputation for reliability.

Initiatives introduced during the year to improve the quality of the after sales services, have already motivated our network of after sales franchisees to increase the number of technicians working under them. This growth in our technician pool will enable faster service delivery, over a wider area. In addition, we plan to recruit new franchisees for the Uva and Southern Provinces, to expand service coverage further and ensure faster response times to customer requests.

INTELLECTUAL CAPITAL

Our intellectual capital base is a vital intangible asset that sustains our competitive advantage in the market, and in the year under review, we continued to build up this vital asset through investments into technical skills. By improving our service capabilities and online presence, we also augmented our brand image, as a reliable and trustworthy brand in the highly competitive sectors of white goods and solar energy.

Abans Electricals' intellectual capital base is an essential aspect of the Company's success as it represents years of organizational knowledge in our specialized business fields. The primary intellectual capital is the specialized technical knowledge within our employees pertaining to international procurements, manufacturing white goods, and installation of solar systems, as well as technical knowledge relating to after sales repairs and maintenance of our product range. Our operations are backed by a network of local and international suppliers and supplier relationships that have been built up over the years, which is another intangible asset supporting the business.

Improvements to Intellectual Capital

Retaining Specialized Skills

Retaining specialized skills within the Company is essential to maintain and grow the intellectual capital base of any organization. However, brain drain of trained and experienced personnel was a significant concern in the immediate aftermath of the 2022 economic crisis that resulted in leadership pipeline disruptions in Sri Lankan businesses. At Abans Electricals, this threat has now been addressed effectively through significant changes to human resource administration policies that have enabled the Company to retain and attract skilled personnel who are vital to support sustained business growth. In addition, during the year, we continued to invest in training and development for our personnel, which has strengthened our intellectual capital base.

Digital Training Modules and In-house Innovation Challenges

During the year, we introduced digital training modules and in-house innovation challenges to engage our teams in continuous improvement initiatives. These digital training programs comprised hands on training on how to maximize 365 Office tools combined with OneDrive and Power BI to drive productivity and obtain strategic business intelligence data.

Abans Brand

The renowned Abans brand, trusted for generations by Sri Lankan consumers, is another indispensable component of the intellectual capital of the Company. Abans Electricals makes all efforts to maintain the trust and credibility associated with the Abans brand, and in the current financial year, we did this by ensuring the quality of our products and services.

Abans Electricals' After Sales Service Brand

The Abans Electricals Service Center serves as the flagship brand for after-sales support across the Abans retail network. As demand for after-sales services grows nationwide, both for white goods and solar systems, the Abans Electricals Service Center brand is becoming increasingly more important as a subsidiary brand under the Abans brand umbrella. Therefore, maintaining a high-quality service brand image is vital for the entire Abans Group.

During the year, we continued to invest in enhancing the technical and soft skills of our after-sales teams to strengthen customer satisfaction through high-quality service interactions. In parallel, we expanded customer convenience by introducing and enhancing digital service solutions.

Improving Abans Electricals' After Sales Service System

A key focus area during the year was on enhancing our after-sales service delivery by strengthening internal systems and processes.

Centralized Customer Service Portal

To enhance the speed and quality of after-sales service delivery, and to ensure better oversight, a centralized customer service portal was introduced. The system manages product registration, warranty claims, and service scheduling, while also providing automated status updates to customers via SMS and email. This initiative has significantly strengthened the overall Abans after-sales brand perception across the country and contributed to the growth in service volumes by enabling more efficient scheduling and resource management.

Field Service Mobile Apps

Field service mobile apps were provided for technicians to log service details, reducing paper-based reporting and improving response time.

E-Invoice system

Another digital tool successfully implemented was the e-invoice system, which facilitates email-based invoices to customers. This not only reduces paper usage and supports environmentally friendly practices, but also enhances operational efficiency and accuracy. Most importantly, it improves customer convenience by providing instant access to invoices, simplifying record-keeping, and enabling quicker resolution of billing-related queries.

Systems and Processes

Abans Electricals owns customized systems and processes that are unique to the Company and are part of the Company's intellectual asset base. During the year, we continued to focus on innovations, digitization, and improvements to internal systems, to continually improve operational efficiencies. Our digital systems and ERP platform, which is being expanded across all operational areas, are key components of our intellectual capital base. These systems and processes are not only essential for daily operations but are a competitive advantage by facilitating the creation of unique customer value propositions.

During the current financial year, we continued our ongoing system and process improvement initiatives to enhance cost efficiencies and productivity in order to retain price competitiveness in the increasingly competitive white goods market and solar power sector.

Expanding the SAP ERP System

The SAP ERP system, custom-built for Abans Electricals, plays a critical role in strengthening oversight and streamlining operational efficiencies. It has been successfully implemented across key business functions, including raw material procurement, inventory management, manufacturing workflows, assembly line scheduling, and sales and distribution—covering order tracking, dispatch, and billing. Additionally, it supports enhanced financial management through improved oversight of accounts, cost centers, and budgeting processes. The expanded deployment of the system enables the Company to capture comprehensive operational changes in real time, facilitating faster, data-driven decision-making in response to evolving market dynamics.

Warehouse and Logistics Systems Integrated into ERP

During the year, we successfully integrated our warehouse and logistics systems into the SAP platform. This integration now provides real-time visibility into inventory and enables faster order fulfilment, directly enhancing inventory control and cost efficiency.

Organization Culture

In keeping with the Abans tradition, Abans Electricals is committed to cultivating an adaptive and sustainable organizational culture that remains highly responsive to evolving customer needs and external threats and opportunities. The Company recognizes that the tacit knowledge accumulated over years of practical experience forms a vital part of its intellectual capital. Accordingly, Abans Electricals is focused on expanding and strengthening this capital by promoting a performance-driven, knowledge-sharing culture within a safe, inclusive, and fulfilling work environment for employees at all levels. The Company also places strong emphasis on continuous learning, ensuring that institutional knowledge is effectively shared and passed on to future generations.

Outlook for 2025/26

We will continue to review internal systems across all functional areas to identify bottlenecks and enhance operational efficiency. As part of our digital transformation journey, we will deepen digital integration to improve customer value and support continuous learning. In response to the rising cost environment, we aim to develop cost-effective supply chains and introduce affordable, customer-centric products. This includes ongoing research and development initiatives focused on import substitution, ensuring that new products align with customer expectations while remaining competitively priced.

To support this strategy, we are committed to fostering an organizational culture that encourages continuous learning, innovation, and creative thinking. Additionally, we will actively promote knowledge transfer from experienced staff to the next generation, preserving and strengthening our intellectual capital base.

BOARD OF DIRECTORS

Aban Pestonjee
Chairperson

Saroshi Dubash
Managing Director

Rajaratnam Selvaskandan
Senior Independent
Non-Executive Director

Dinal Mario Rex Phillips
Independent Non-Executive Director

Kumar De Silva
Independent Non-Executive Director

Board of Directors

Mrs. Aban Pestonjee
Chairperson

A trailblazing figure in Sri Lanka's business landscape, Mrs. Aban Pestonjee is the founder of the Abans brand. Starting as a small home-based venture, she has given leadership to build the diversified Abans Group through her vision and entrepreneurial drive, founded on the philosophy of recognizing a need and fulfilling it. A pioneering woman entrepreneur in a traditionally male-dominated environment, she has served as a role model and source of inspiration for generations of Sri Lankan women in business.

Her exceptional accomplishments have earned her wide recognition both locally and internationally. One notable honour was being interviewed by Harvard Business School, with the transcript archived in the Baker Library for use by students in research and case studies. In 2021, she was also named one of Sri Lanka's most admired leaders at the Most Admired Companies Awards, organised by the International Chamber of Commerce Sri Lanka together with the Chartered Institute of Management Accountants.

Over the years, Mrs. Pestonjee has received numerous accolades. These include, the Global Strategy Leadership Award presented at the World Strategy Summit; Award of Excellence for Women Achievers for Outstanding Achievements, presented by the SAARC Women's Association and the Bronze Award, under the large business category at the Women Entrepreneur of the Year awards by the Women's Chamber of Industry and Commerce, both in the year 2000; the KOTRA Plaque of Appreciation presented in 2005, for forging strategic foreign economic ties between Korea and Sri Lanka; Leading Woman Entrepreneur of the World Award presented by the Princess of Thailand in 2006; Woman Entrepreneur of the Year Award by the Women's Chamber of Industry and Commerce at the Woman Entrepreneur of the Year 2017 Awards as well as the Gold Award in the Extra Large Business Enterprise Category and Sri Lanka's Entrepreneur of the Year Award at the Derana Sri Lankan of the Year Awards 2017.

In addition to her entrepreneurial achievements, Mrs. Pestonjee holds several key directorships within the Abans Group. These include Abans PLC, Abans Retail Holdings (Pvt) Ltd, Abans Environmental Services (Pvt) Ltd, Abans Land (Pvt) Ltd, Abans Construction and Engineering (Pvt) Ltd, Abans Lanka (Pvt) Ltd, Abans Tourist Hotel (Pvt) Ltd, ABS Gardner Dixon Hall International (Pvt) Ltd, Abans Investments (Pvt) Ltd, Abans Marketing (Pvt) Ltd, Crown City Developers (Pvt) Ltd, Abans Engineering (Pvt) Ltd, A B Manufacturing (Pvt) Ltd, and Colombo City Centre (Pvt) Ltd.

Dr. Saroshi Dubash
Executive Director/Managing Director

Dr. Saroshi Dubash is a seasoned business professional with extensive experience and a distinguished academic background. She holds a PhD in Philosophy, an MBA from the United States, and an Honours degree in Chemistry from the University of London.

At Abans Electricals PLC, Dr. Dubash plays a key leadership role, overseeing a broad spectrum of operations across the supply chain, including import purchasing, wharf clearance, warehousing, inventory management, distribution, and information systems. Her responsibilities also encompass critical support functions such as finance, human resources, training, and internal audit.

Beyond her role at Abans Electricals PLC, she serves as the Managing Director of Abans Logistics (Pvt) Ltd and holds directorships in several other companies within the Abans Group. These include Colombo City Centre (Pvt) Ltd, Abans Retail Holdings (Pvt) Ltd, Abans International (Pvt) Ltd, Abans Engineering (Pvt) Ltd, Abans Land (Pvt) Ltd, Abans Investments (Pvt) Ltd, Abans Marketing (Pvt) Ltd, A B Manufacturing (Pvt) Ltd, and Crown City Developers (Pvt) Ltd.

Dr. Saroshi Dubash, a respected and accomplished business leader, has held several prominent leadership roles throughout her career. She has served as Chairperson of the Women's Chamber of Industry and Commerce and has represented the organisation on the Board of the Ceylon Chamber of Commerce. Actively engaged in professional and international business communities, she is a member of Women in Logistics and Transport (WILAT), and serves on the committees of both the Australian New Zealand Business Committee and the Canadian Business Committee. In addition, Dr. Dubash is affiliated with the Sri Lanka Institute of Directors (SLID) and is a member of Women Corporate Directors (WCD), a global network of women serving on corporate boards.

Mr. Rajaratnam Selvaskandan

Senior Independent Non-Executive Director

Mr. Rajaratnam Selvaskandan is an Independent Non-Executive Director at Abans PLC, bringing with him over four decades of expertise in corporate and commercial law. His areas of specialization include mergers and acquisitions, banking and finance, investment structuring, and project development. He is qualified as an Attorney-at-Law in Sri Lanka and as a Solicitor in England & Wales, Canberra, and Hong Kong.

In his role as an Independent Non-Executive Director at Abans Electricals PLC, Mr. Selvaskandan contributes deep legal insight and strategic business judgement to the Board. He is dedicated to upholding the highest standards of corporate governance and ensuring that the company operates with transparency and integrity.

Admitted to the Supreme Court of Sri Lanka in 1982, Mr. Selvaskandan currently serves as a Senior Partner at Varners, a leading law firm in Sri Lanka, where he has been since 2004. Earlier in his career, he served as a State Counsel at Sri Lanka's Attorney General's Department and later spent over 20 years as a Partner at a prominent law firm in Hong Kong, gaining extensive international legal experience across both public and private sectors.

In addition to his roles at Abans PLC and Abans Electricals PLC, Mr. Selvaskandan is also a Director of CT Land Development PLC and serves on the boards of several other well-known companies, including Laugfs Gas PLC.

Mr. Dinal Mario Rex Phillips

Independent Non-Executive Director

Mr. Phillips, an expert in intellectual property, commercial arbitration, company law litigation, and sports law, was appointed to the Board in February 2018. He currently serves as Chairman of the Related Party Transactions Review Committee and is also a member of the Audit Committee, the Remuneration Committee and Nomination and Governance Committee. With over 31 years of legal experience, his counsel has played a vital role in supporting the company's business growth and strategic direction.

He continues to actively practice law at the Commercial High Court, handling a wide range of cases including injunctions, bank recoveries, insurance claims, family matters, and labour disputes. Mr. Phillips is a Member of The Court of Arbitration of the International Chamber of Commerce and a Founder Member of the Austrian Business Circle of Sri Lanka. His previous roles include serving as a Director of the National Development Bank PLC and as a long-standing member of the National Intellectual Property Advisory Commission for 12 years, during which he was elected Chairman on two occasions.

Mr. Kumar De Silva

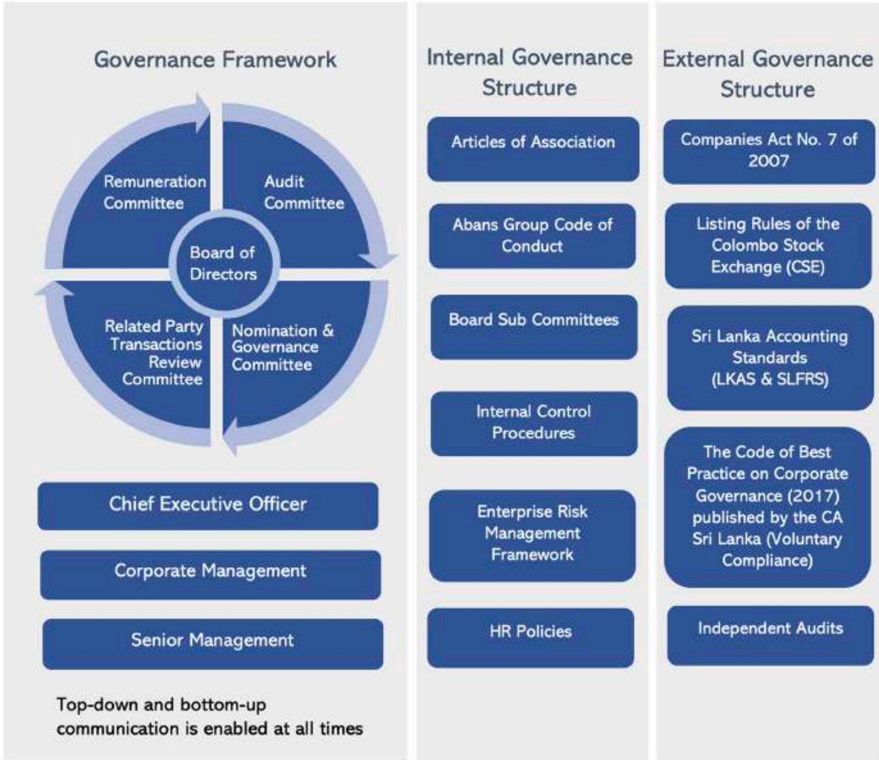
Independent Non-Executive Director

Appointed to the Board in February 2018, Mr. De Silva serves as Chairman of the Audit Committee ,the Remuneration Committee and Nomination and Governance Committee, while also being a member of the Related Party Transactions Review Committee.

With over 31 years of experience in business management and a strong specialization in marketing, Mr. De Silva has played a key role in driving business growth. His marketing expertise has been instrumental in shaping the company's strategic direction and expansion efforts.

Professionally, Mr. De Silva is a Fellow Member of the Chartered Institute of Management Accountants (UK), the Institute of Global Chartered Management Accountants (UK), and the Chartered Institute of Logistics and Transport (UK). He is also an Associate Member of the Chartered Institute of Marketing (UK), a Member of the Sri Lanka Institute of Marketing, and holds a Diploma in Marketing from the Chartered Institute of Marketing (UK).

CORPORATE GOVERNANCE



With Sri Lanka's economy gaining positive momentum and the country's retail sector showing strong signs of recovery throughout the 2024/25 financial year, the Board of Abans Electricals remained steadfast in fulfilling its responsibilities to shareholders and stakeholders alike, by facilitating sustainable value creation through the Company's businesses activities. The Board continued to provide strategic leadership, steering the Company through emerging risks and seizing new growth opportunities amid shifting market dynamics. Building on the strong oversight framework, rigorous governance and internal control mechanisms were maintained, emphasizing stringent financial controls to optimize cash flow management, as well as regular internal audits to ensure operational integrity and safeguard Company and shareholder interests. A strong focus was placed on maximizing resource efficiency and strengthening the customer value proposition, particularly in manufacturing white goods and in providing prompt and high quality after-sales support. These efforts supported the Company's goal of reinforcing its market reputation and capitalizing on the resurgence in consumer demand.

Statement of Compliance

The Board remained fully committed to upholding corporate governance standards, ensuring strict adherence to the requirements outlined in Section 9 of the CSE Listing Rules. In keeping with these obligations, a Nomination and Governance Committee was established in October 2024, completing the full complement of mandatory Board Committees, and further reinforcing the Company's governance framework.

As part of our ongoing efforts to enhance governance and transparency, we have also begun exploring the adoption of recognized sustainability reporting standards. A comprehensive assessment is currently underway to identify gaps between existing practices and the expectations of these frameworks, with the aim of adopting them in a structured and effective manner. While these standards are not yet compulsory, we are committed to their phased implementation, driven by our conviction that strong Environmental, Social, and Governance (ESG) practices are essential to long-term value creation. We continue to embed sustainability into our business strategy and actively work to reduce our environmental impact.

Throughout the 2024/25 financial year, Abans Electricals PLC remained in full compliance with all relevant legal and regulatory requirements, with no significant fines or penalties incurred by the Company for non-compliance or delays. The Company is fully compliant with the mandatory provisions of the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange. Additionally, where feasible, we voluntarily adhered to the principles of the Code of Best Practice on Corporate Governance, jointly issued by the Securities and Exchange Commission of Sri Lanka and the Institute of Chartered Accountants of Sri Lanka.

Governance Framework

Apart from the establishment of the Nomination and Governance Committee—which further enhanced our compliance and oversight capabilities—the Company's overall governance framework remained largely unchanged during the year. The Board of Abans Electricals PLC continued to operate under the broader governance oversight of its major shareholder, Abans PLC, which provided an additional layer of supervision in ensuring adherence to sound governance principles and effective risk management.

Internal Governance Structure

The internal governance structure of Abans Electricals has been designed to comply with all applicable regulations, while facilitating oversight of all operational aspects. The Board of Directors holds the highest level of authority in decision-making at Abans Electricals PLC. It is supported by dedicated Board Sub-Committees, to which specific functions are formally delegated, along with a network of Senior Management Committees. Oversight of internal controls and risk management is embedded in a structured framework of policies, processes, and systems designed to uphold governance standards throughout the organization.

Board of Directors

During the year under review, the Board comprised five (05) Directors, of whom three (03) served in the capacity of Independent Non-Executive Directors, ensuring an appropriate balance of independence and insight in Board proceedings.

Profiles of the Directors

Brief biographies of the Board members, including their qualifications and experience, are available on page 28 to 29 of this Annual Report.

Role of the Chairperson and Managing Director

The role of the Chairperson is separate from that of the Managing Director which is in line with best practices in Corporate Governance ensuring that no one Director has unfettered power and authority.

Role of the Senior Independent Non-Executive Director

Mrs. Aban Pestonjee, the Chairperson and Mrs. Saroshi Dubash, the Managing Director of Abans Electricals PLC are close family members.

Therefore, the Board of Directors of Abans Electricals PLC, by its resolution adopted by circulation on 29th November 2023, has appointed Mr. Rajaratnam Selvaskandan, Independent Non-Executive Director of the Company as the Senior Independent Director in terms of Section 9.6.3 (a) iii of the amended Listing Rules on Corporate Governance with effect from 29th November 2023. Also, Mrs. Aban Pestonjee has relinquished her position to the Company's Executive Chairperson with effect from 29th November 2023.

However, Mrs. Aban Pestonjee shall remain as Non-Executive Chairperson of the Company. The presence of the Senior Independent Non-Executive Director ensures none of the Board Members has unbound authority over decision-making, and Board discussions facilitate independent thought by individual Directors.

Statement of the Senior Independent Director

The Independence of each Director has been established based on the information and declarations submitted by them. The Board has concluded that all Independent Non-Executive Directors meet the criteria of Independence.

In accordance with regulatory standards, and beyond informal and unstructured communications, the Independent Directors convened a meeting excluding the Executive Directors.

These meetings were dedicated to discussing matters related to their duties and responsibilities as Non-Executive Directors. The challenges and risks arising from volatile global geo-political developments and local economic conditions were discussed and management and mitigation of these risks received special attention.

The feedback and recommendations regarding the discussed matters were appropriately communicated to the Chairperson and other Board members. The meeting minutes were shared with the Board for documentation and transparency purposes. In general, the Non-Executive directors are kept informed of key progressions and are facilitated with means to provide them with any clarifications as and when they arise.

The Non-Executive Directors also evaluated the performance of the Executive Members of the Board during the year.

The Senior Independent Director and Non-Executive Directors express their gratitude to the Chairperson, Managing Director, Group Chief Financial Officer and other members of the Board of Abans Electricals PLC for their transparency and cooperation on all matters where their input was requested by the Non-Executive Directors.

Rajaratnam Selvaskandan
Senior Independent Non-Executive Director
29th August 2025

Board Responsibilities

Throughout the year, the Board fulfilled its duties by engaging in thorough discussions and closely monitoring the Company's strategic and operational objectives. These responsibilities encompass both collective and individual accountability for shaping, executing, and overseeing the business strategy. The Board also ensures the development of robust systems that uphold information integrity, strengthen internal controls, support business continuity, and manage risk effectively.

In addition, the Board is responsible for ensuring adherence to legal requirements, regulatory frameworks, and ethical practices, while considering the interests of all stakeholders in its decision-making processes. It also plays a key role in establishing mechanisms for accurate and timely corporate reporting.

Directors are expected to exercise sound judgment both individually and as a group. They are empowered to seek internal or external professional advice on matters related to corporate governance, strategic direction, performance evaluation, setting benchmarks, and safeguarding the Company's resources.

Chairperson's Responsibilities

The Chairperson leads the Board and is responsible for ensuring its effectiveness in all aspects of governance. They guide the Board's deliberations, foster inclusive dialogue, and help facilitate informed, collective decision-making. As the public representative of the Board, the Chairperson communicates its views and commitments to external stakeholders.

Managing Director's Responsibilities

The Managing Director is responsible for formulating the Company's strategies and securing the necessary approvals. In addition, the Managing Director recommends budgets, monitors performance, and reports on the Company's progress to the Board. This role also involves managing financial and operational risks, identifying potential threats to the business, and ensuring full compliance with all relevant legal and regulatory requirements.

CEO's Responsibilities

The Chief Executive Officer (CEO) holds overall executive responsibility for the Company's operations and provides leadership to the management team to ensure the achievement of strategic goals, targets, and policies established by the Board.

Board Balance and Composition

The composition of the Board reflects a diverse mix of industry knowledge, skills, and professional backgrounds. This breadth of expertise allows for well-rounded deliberations and effective oversight, particularly during periods of economic uncertainty or change.

Financial Acumen

Financial expertise is assured through the presence of Board members with strong accounting and financial management credentials, including membership in professional accounting bodies. The Board is also empowered to seek external financial or technical advice when needed to make well-informed decisions.

Separation of Powers of Chairperson and CEO

In line with best practice in governance, the leadership structure clearly separates the roles of the Chairperson and the Chief Executive Officer. This division ensures that no single individual holds excessive influence, promoting balanced decision-making and accountability.

Board Meetings

The Abans Electricals Board convened four (4) times during the 2024/25 financial year, enabling periodic review of strategic priorities, operational performance, and emerging challenges.

Attendance at the Board Meetings

All Board and Sub-Committee meeting agendas and materials were circulated in advance to ensure informed participation. The attendance of individual Directors at the Board meetings held in 2024/25 is detailed below.

Directors' Remuneration

The Remuneration Committee oversees the process of determining compensation packages for Directors. This structured approach aims to attract and retain professionals with the necessary expertise to provide strategic leadership. Non-Executive Directors' remuneration is based on factors such as their responsibilities, time commitment, and industry experience. Details regarding the remuneration and benefits provided to Directors are disclosed in Note No. 8 & 31 of the financial statements.

	22/05/2024	14/08/2024	13/11/2024	11/02/2025
Mrs. Aban Pestonjee	✓	✓	✓	✓
Mrs. Saroshi Dubash	✓	✓	✓	✓
Mr. Kumar De Silva	✓	✓	✓	✓
Mr. D M R Phillips	✓	✓	✓	✓
Mr. Rajaratnam Selvaskandan	✓	✓	✓	✓

Appointments / Re-Election to Board

The responsibility for recommending appointments to the Board lies with the Nomination Committee. Board candidates are selected based on a structured evaluation process aligned with the Company's strategic goals. In matters of retirement and reappointment, the Company adheres to applicable regulatory requirements and the stipulations outlined in its Articles of Association.

Appraisal of the Board

Board performance is periodically assessed by the Chairperson and the Board itself. Evaluations take into account both internal dynamics and external operating conditions and are used to gauge how effectively Directors have achieved their individual and collective mandates.

Board Sub-Committees

To strengthen oversight and comply with regulatory expectations, the Board has delegated specific functions to four dedicated Sub-Committees, while retaining ultimate authority on all matters. These Committees are primarily composed of Independent Non-Executive Directors. The four Sub-Committees currently in place are:

- Audit Committee
- Remuneration Committee
- Related Party Transactions Review Committee
- Nomination and Governance Committee, formed effective 1st October 2024

Summaries of each Committee's responsibilities and composition can be found on pages 50 to 55 of this report.

Board Sub-Committee Composition

Audit Committee	Mr. Kumar De Silva – Chairman Independent Non-Executive Director
	Mr. D M R Phillips Independent Non-Executive Director
	Mr. Rajaratnam Selvaskandan* Senior Independent Non-Executive Director
Remuneration Committee	Mr. Kumar De Silva – Chairman Independent Non-Executive Director
	Mr. D M R Phillips Independent Non-Executive Director
	Mr. Rajaratnam Selvaskandan* Senior Independent Non-Executive Director
Related Party Transactions Review Committee	Mr. D M R Phillips – Chairman Independent Non-Executive Director
	Mr. Kumar De Silva Independent Non-Executive Director
	Mrs. Saroshi Dubash** Managing Director
Nomination and Governance Committee	Mr. Kumar De Silva – Chairman Independent Non-Executive Director
	Mr. D M R Phillips Independent Non-Executive Director
	Mr. Rajaratnam Selvaskandan* Senior Independent Non-Executive Director

* Appointed on 25th July 2024
** Appointed on 24th June 2024

Secretaries

In accordance with the provisions of the Companies Act, the Company has appointed Varners International (Private) Limited as its Company Secretary. Their responsibilities include ensuring compliance with the Companies Act and the regulatory framework set by the Colombo Stock Exchange. Additionally, they are tasked with facilitating Board processes by managing the preparation and safekeeping of Board meeting agendas, minutes, and related documentation.

Communication with Shareholders

Recognizing the central role of shareholders in upholding good corporate governance, the Board is committed to fostering transparency, accountability, and equitable access to information. The Company ensures timely and comprehensive disclosure of all material developments, enabling shareholders to make informed decisions and maintain confidence in the Company's governance and performance.

External Governance Structure

Abans Electricals operates within a robust framework of external governance that encompasses statutory laws, regulatory requirements, and industry best practices. This external governance environment supports the Company's commitment to integrity, compliance, and ethical conduct in all areas of operation.

The Company is obligated to adhere to a variety of laws and regulations in the course of its daily operations. This includes full compliance with the mandatory requirements of the Companies Act No. 07 of 2007 and the Listing Rules of the Colombo Stock Exchange. For a detailed account of the Company's compliance during the year under review, please refer to the Compliance Report on pages 34 to 48

Assurance

The Company carries out regular internal and external audits to gain multiple layers of assurance regarding the quality and effectiveness of its internal controls and financial reporting. These audits also serve to confirm compliance with corporate governance standards.

Internal Audit

The Company's operational and financial activities are subject to regular audits, supported by a comprehensive annual audit plan. These audits identify any deviations from established internal controls and recommend corrective actions where necessary. In addition, the Group's Internal Audit Department conducts independent reviews of the Company and reports directly to the Audit Committee.

External Audit

Independent external audits are carried out annually by auditors appointed by the Company. Messrs. Ernst & Young, Chartered Accountants, were appointed as the External Auditors of Abans Electricals PLC and have audited the Company's financial statements.

The External Auditors assess the adequacy and effectiveness of the Company's internal controls and offer reasonable assurance regarding the credibility, reliability, and integrity of the financial information presented.

Status of Compliance

Throughout the financial year, the Company adhered to all mandatory requirements under the Companies Act No. 07 of 2007 and the Listing Rules of the Colombo Stock Exchange. A comprehensive report on compliance is presented below.

Statement of Compliance under Section 7.6 of the Listing Rules of the Colombo Stock Exchange (CSE) on Annual Report Disclosure

Rule	Governance Requirement	Compliance Status	Reference/ Comment
I	Names of persons who were Directors of the Entity	✓	Refer page no. 27 - 29
II	Principal activities of the entity and its subsidiaries during the year, and any changes therein	✓	Refer page no. 64
III	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held	✓	Refer page no. 106
IV	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement	✓	Refer page no. 105 - 106
V	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of each financial year	✓	Refer page no. 65
VI	Information pertaining to material foreseeable risk factors of the Entity	✓	Refer page no. 56 - 63
VII	Details of material issues pertaining to employees and industrial relations of the Entity	✓	There are no material issues pertaining to employees and industrial relations.
VIII	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties	✓	Refer page no. 65
IX	Number of shares representing the Entity's stated capital	✓	Refer page no. 105
X	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings	✓	Refer page no. 105 - 106
XI	Financial ratios and market price information	✓	Refer page no. 5 & 105
XII	Significant changes in the Company's or its subsidiaries' fixed assets, and the market value of land, if the value differs substantially from the book value as at the end of the year	✓	Refer page no. 89 - 92
XIII	Details of funds raised through a public issue, rights issue and a private placement during the year	✓	There were no fundraising activities carried out to increase the stated capital
XIV	Information in respect of Employee Share Ownership or Stock Option Schemes	✓	There is no Employee Share Option Scheme, or Purchase Scheme
XV	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Listing Rules	✓	Refer page no. 35
XVI	Related Party transactions exceeding 10% of the equity or 5 per cent of the total assets of the Entity as per audited financial statements, whichever is lower	✓	Refer page no. 99

Statement of Compliance under Section 7.10 of the Listing Rules of the Colombo Stock Exchange (CSE) on Corporate Governance

Rule	Governance Requirement	Compliance Status	Reference/ Comment
7.10.1 Non-Executive Directors (NED)			
a/b/c	At least 2 members or 1/3 of the Board, whichever is higher should be NEDs	✓	Three out of five Board members are NEDs
7.10.2 Independent Directors			
a	2 or 1/3 of NEDs, whichever is higher shall be "independent"	✓	All NED are independent
b	Each NED to submit a signed and dated declaration of his/her independence or non-independence	✓	NEDs have submitted signed confirmation of their independence.
7.10.3 Disclosures Relating to Directors			
a/b	Board shall annually determine the independence or otherwise of NEDs	✓	The Board has determined that the criteria for independence has been met for NEDs
c	A brief resume of each Director should be included in the annual report including the Directors' experience	✓	Refer page no. 28 - 29
d	Provide a resume of new Directors appointed to the Board along with details	✓	Refer page no. 28 - 29
7.10.4 Criteria for Defining Independence			
a to h	Requirements for meeting the criteria to be an Independent Director	✓	The Board as a whole decides on selection criteria
7.10.5 Remuneration Committee (RC)			
a.1	Remuneration Committee shall comprise of NEDs, a majority of whom will be independent	✓	Refer page no. 52
a.2	One NED shall be appointed as Chairman of the Committee by the Board of Directors	✓	Refer page no. 52
b	Remuneration Committee shall recommend the remuneration of the CEO and the Executive Directors	✓	Refer page no. 52
c.1	Names of Remuneration Committee members	✓	Refer page no. 52
c.2	Statement of Remuneration policy	✓	Refer page no. 52
c.3	Aggregate remuneration paid to EDs and NEDs	✓	Refer page no. 87
7.10.6 Audit Committee (AC)			
a.1	Audit Committee (AC) shall comprise of NEDs, a majority of whom should be independent	✓	Refer page no. 50
a.2	A NED shall be the Chairman of the committee	✓	Refer page no. 50
a.3	CEO and CFO should attend AC meetings	✓	Refer page no. 50
a.4	The Chairman of the AC or one member should be a member of a recognized professional accounting body	✓	Refer page no. 28, 29 & 50

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
b	Functions of the AC	✓	Refer page no. 50 - 51
b.1	Overseeing of the preparation, presentation and adequacy of disclosures in the financial statements in accordance with SLFRS/LKAS	✓	Refer page no. 50
b.2	Overseeing the compliance with financial reporting requirements, information requirements as per laws and regulations	✓	Refer page no. 50
b.3	Overseeing the process to ensure the internal and risk management controls, are adequate, to meet the requirements of the SLFRS/LKAS	✓	Refer page no. 50
b.4	Assessment of the independence and performance of the Entity's External Auditors	✓	Refer page no. 51
b.5	Make recommendations to the Board pertaining to External Auditors	✓	Refer page no. 51
c.1	Names of the Audit Committee members shall be disclosed	✓	Refer page no. 50
c.2	Audit Committee shall make a determination of the independence of the External Auditors	✓	Refer page no. 51
c.3	Report on the manner in which Audit Committee carried out its functions.	✓	Refer page no. 51

Statement of Compliance under Section 9 of the Revised Listing Rules of the Colombo Stock Exchange (CSE) on Corporate Governance, effective as at 1st April 2024

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
9.1	**Corporate Governance Rules**		
9.1.3	A statement confirming compliance with Corporate Governance Rules	✓	Refer page no 30
9.2	**Policies**		
9.2.1	Establishment of the policies listed from a to i	✓	The Company has established and continues to maintain the policies on Board and Board Sub Committees, Corporate Governance, Nominations, Remuneration, Internal Code of Business Conduct, Risk Management and Internal Control, Relations with Shareholders and Investors, Environment, Social Governance and Sustainability and Anti Bribery and Whistleblowing policy.
9.2.2	waivers from compliance with the Internal Code of business conduct and ethics or exemptions	✓	
9.2.3	(a) List of policies that are in place in conformity Rule 9.2.1 above, on website (b) Changes to policies	✓	
9.2.4	Make available all policies to shareholders upon a written request	✓	
9.3	**Board Committees**		
9.3.1 b/c/d	Minimum required Board Committees	✓	Refer page no 33
9.3.2	Compliance with the composition, responsibilities and disclosures required in respect of the Board Committees	✓	Refer page no 50 - 55

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
9.4	**Meeting procedures and the conduct of all General Meetings with shareholders**		
9.4.1	Records of all resolutions and the following information upon a resolution being considered at any General Meeting shall be maintained	✓	The Secretaries to the Company maintains all records and information regarding resolutions considered at General Meetings.
9.4.2 a/b/c	Communication and relations with shareholders and investors	✓	The Company publishes all corporate disclosures, announcements and financial statements on the CSE website. Shareholders can communicate with the directors at the AGM and via post.
9.5	**Policy on matters relating to the Board of Directors**		
9.5.1	Availability of a formal policy governing matters relating to the Board of Directors	✓	The Company maintains a Policy on matters relating to the Board of Directors.
9.5.2	Statement of compliance with the requirements of the policy referred to in Rule 9.5.1	✓	
9.6	**Chairperson and CEO**		
9.6.1	Requirement for a SID if the positions of Chairperson and CEO are held by the same individual	✓	The Chairperson and CEO are held by two different individuals.
9.6.2	Market announcement on the rationale behind the appointment of a SID	✓	Refer page no 31
9.6.3 a-d	Requirement for a SID	✓	Refer page no 31
9.6.3 e	SID shall make a signed explanatory disclosure demonstrating the effectiveness of their duties	✓	Refer page no 31
9.6.4	Rationale for the appointment of a SID set out in the Annual Report	✓	Refer page no 31
9.7	**Fitness of Directors and CEO**		
9.7.1-9.7.5	Requirement to meet the fit and proper criteria stipulated by the CSE and related disclosures	✓	Directors have submitted general disclosure and declaration.
9.8	**Board Composition**		
9.8.3 i - viii	Requirements for meeting the criteria to be an ID	✓	The Chairperson and the Board evaluate the independence of each Director.
9.8.5 a/b/c	The Board shall annually determine the independence of IDs and names of the Directors who are determined to be 'independent'	✓	The Chairperson and the Board evaluate the independence of each Director.

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
9.9 Alternate Directors			
	Appointment of Alternate Directors to be in accordance with the Rules and such requirements to be incorporated into the Articles of Association	✓	No alternate Directors appointed
9.10 Disclosures relating to Directors			
9.10.2/ 9.10.3	Market announcement upon the appointment of a new director and any	✓	Market announcements were made through the CSE
9.10.4 a-i	Details in relation to the Board members	✓	Refer page no 27 - 29
9.11 Nominations and Governance Committee			
9.11.1	Establishment of a Nominations and Governance Committee that conforms to the requirements set out in Rule 9.11	✓	Refer page no 54 - 55
9.11.2	Establish and maintain a formal procedure for the appointment of new Directors and re-election of Directors to the Board through the Nominations and Governance Committee	✓	Refer page no 54 - 55
9.11.3	The Nominations and Governance Committee shall have a written terms of reference clearly defining its scope, authority, duties and matters pertaining to the quorum of meetings.	✓	Refer page no 54 - 55
9.11.4	Composition	✓	Refer page no 54 - 55
9.11.5	Functions	✓	Refer page no 54 - 55
9.11.6	The Annual Report of Listed Entities shall contain a report of the Nominations and Governance Committee signed by its Chairperson	✓	Refer page no 54 - 55
9.12 Remuneration Committee			
9.12.3	The Remuneration Committee shall establish and maintain a formal and transparent procedure for developing policy on EDs and individual Directors	✓	Refer page no 52
9.12.4	Remuneration for NEDs shall be based on a policy of non-discriminatory pay practices to ensure the independence	✓	The Chairperson and the Board decides the remuneration for NEDs
9.12.5	The Remuneration Committee shall have written terms of reference clearly defining its scope, authority, duties and matters pertaining to the quorum of meetings	✓	Refer page no 52
9.12.6 (2)	Where the parent company and the subsidiary are Listed Entities, the Remuneration Committee of the parent company may function as the Remuneration Committee of the subsidiary	✓	The Company has established an independent committee
9.12.6 (3)	An ID shall be appointed as the Chairperson of the Remuneration Committee	✓	Refer page no 52
9.12.7	Functions	✓	Refer page no 52
9.12.8 a	Names of Remuneration Committee Chairperson and members	✓	Refer page no 52
9.12.8 b	Statement of Remuneration policy	✓	Refer page no 52
9.12.8 c	Aggregate remuneration paid to EDs and NEDs	✓	Refer page no 87

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
9.13 Audit Committee			
9.13.2	The Audit Committee shall have written terms of reference clearly defining its scope, authority and duties	✓	Refer page no 50 - 51
9.14 Related Party Transactions Review Committee			
9.14.2 (1)	Related Party Transactions Review Committee shall comprise of a minimum of 3 members, majority of whom should be IDs and an ID shall be appointed as the Chairperson	✓	Refer page no 53
9.14.2 (2)	Where the parent company and the subsidiary are Listed Entities, the Related Party Transactions Review Committee of the parent company may function as the Related Party Transactions Review Committee of the subsidiary	✓	The Company has established an independent committee
9.14.3	Functions	✓	Refer page no 53
9.14.4	General Requirements	✓	Refer page no 53
9.14.5	Review of Related Party Transactions by the Related Party Transactions Review Committee	✓	Refer page no 53
9.14.6	Shareholder Approval	✓	There were no transactions during the year 2024/2025 required shareholder approval
9.14.8 (1)	Details pertaining to Non-Recurrent Related Party Transactions	✓	Refer page no 99
9.14.8 (2)	Details pertaining to Recurrent Related Party Transactions	✓	Refer page no 99
9.14.8 (3)	Report of the Related Party Transactions Review Committee	✓	Refer page no 53
9.14.8 (4)	Declaration by the Board of Directors as an affirmative statement of compliance with the rules pertaining to Related Party Transactions, or a negative statement otherwise	✓	Refer page no 65
9.14.9 (1)/(2)	Shareholder approval for acquisition and disposal of substantial assets	✓	There were no acquisition or disposal of substantial assets during the year 2024/2025 required shareholder approval
9.14.9 (4)/ (5)/ (6)	Competent independent advice on acquisition and disposal of substantial asset	✓	There were no acquisition or disposal of substantial assets during the year 2024/2025 required competent independent advice

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
9.16 Additional Disclosures			
(i)	Directors have disclosed all material interests in contracts and have refrained from voting when materially involved	✓	Refer page no 65
(ii)	Directors have conducted a review of the internal controls and obtained reasonable assurance of their effectiveness and adherence	✓	Refer page no 66
(iii)	Directors are aware of laws, rules and regulations and their changes. particularly to Listing Rules and applicable capital market provisions	✓	Refer page no 67
(iv)	Disclosure of material non-compliance with laws and regulations and fines imposed by relevant authorities where the entity operates	✓	During the year under review, there were no material fines incurred

Statement of Compliance Pertaining to the Companies Act No. 7 of 2007

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
168 (a)	The nature of the business together with any change thereof	✓	Refer page no. 77
168 (b)	Signed financial statements of the Group and the Company	✓	Refer page no. 73 - 104
168 (c)	Auditors' Report on financial statements	✓	Refer page no. 69 - 72
168 (d)	Accounting policies and any changes therein	✓	Refer page no. 77 - 86
168 (e)	Particulars of the entries made in the Interests Register	✓	Refer page no. 65
168 (f)	Remuneration and other benefits paid to Directors of the Company	✓	Refer page no. 87
168 (g)	Corporate donations made by the Company	✓	Refer page no. 87
168 (h)	Information on the Directorate of the Company and its subsidiaries during, and at the end of the accounting period	✓	Refer page no. 65
168 (i)	Amounts paid/payable to the External Auditor as audit fees and fees for other services rendered	✓	Refer page no. 87
168 (j)	Auditors' relationship or any interest with the Company and its Subsidiaries	✓	Refer page no. 50 - 51
168 (k)	Acknowledgement of the contents of this Report and signatures on behalf of the Board	✓	Refer page no. 74

Compliance with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka in 2017

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
A.1	An effective Board should direct, lead and control the Company	✓	Refer page no 27 - 29
A.1.1	Regular Board meetings, provide information to the Board on a structured and regular basis	✓	Board meetings on quarterly basis and refer page no 32 for meeting attendance
A.1.2	Role and Responsibilities of the Board	✓	Refer page no 31
A.1.3	Act in accordance with laws of the country Independent professional advice	✓	Refer page no 30
A.1.5	Independent judgement	✓	Each Director brings independent judgment to bear on issues that are discussed at the Board and by having meetings of the Board equal opportunity is available for Directors to express their views independently.
A.1.6	Dedicate adequate time and effort to matters of the Board and the Company	✓	Four (04) Board meetings were held. All Non-Executive Directors have attended a majority of the meetings and have devoted their time adequately and refer page no 32 for Director participation levels at meeting.
A.1.7	Calls for resolutions by at least 1/3rd of Directors	✓	Any Director can call for a resolution to be presented to the Board if deemed necessary.
A.1.8	Board induction and Training	✓	The Directors are given the opportunity to have sufficient exposure, expertise in their relevant areas to fulfil their duties and responsibilities owing to the Board.
A.2	Chairman and CEO	✓	Refer page no 31 - 32
A.3	Chairman's role in preserving good corporate governance	✓	Refer page no 31
A.4	Availability of financial acumen	✓	Refer page no 32
A.5	**Board balance**		
A.5.1	The Board should include sufficient number of NEDs	✓	Three (03) NEDs out of five (05)
A.5.2	If the Board includes only 3 NEDs, they should be independent	✓	All NEDs are independent.
A.5.3	Independence of Directors	✓	All NEDs are independent in terms of the criteria defined by CSE Listing Rules 9.8.3 on Corporate Governance, fulfill the minimum guidance prescribed by the code.

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
A.5.4	Annual declaration of independence by Directors	✓	Each NEDs of the company has made written submissions as to their independence as per Schedule J of the code.
A.5.5	Annual determination of independence of NEDs	✓	Based on the written submissions made by the following NEDs as per code, the Board deems the said Directors "Independent" as at 31st March 2025. • Mr. Kumar De Silva • Mr. Dinal Phillips • Mr. R. Selvaskandan
A.5.6	Alternate Directors	✓	No Alternate Director was appointed during 2024/2025
A.5.7	Senior Independent Non-Executive Director	✓	Refer page no 31
A.5.8	Confidential discussion with the Senior Independent Non-Executive Director	✓	Refer page no 32
A.5.9	Annual meeting with NEDs	✓	No meeting of Non-Executive Directors was held during the period.
A.5.10	Recording of dissent in minutes	✓	Company Secretary records any concerns raised by the Directors during the year in Board minutes with sufficient details.
A.6	Supply of Information	✓	Agenda together with high-quality information is circulated seven days prior to the Board meeting to discharge the Board obligations effectively as a practice.
A.6.1	Management's obligation to provide appropriate and timely information	✓	Board receives adequate information from the Management in a timely manner. The Board receives regular reports and presentations on strategies and developments in relation to its business lines and performance.
A.6.2	Adequate time for effective Board meetings	✓	Executive Directors constantly brief the Board on the functional areas of Revenue, Finance and Recoveries that they oversee. The Board deals with the Managing Director or the heads

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
			of those respective departments, on other functional matters, when necessary.
A.7	Appointments to the Board and Re-election	✓	Nomination Committee was formed in October 2024 to advise the Board on new appointments and re-elections.
A.7.1	Establishing a Nomination Committee, Chairman and Terms of Reference	✓	All new appointments to the Board are considered and recommended by the Board as a whole in an objective and transparent manner
A.7.2	Annual assessment of Board composition	✓	Board as a whole carried out an annual assessment of the Board's Composition to assess the level of skills, experience, qualifications, and knowledge of the Board members to address the growing strategic needs of the Company.
A.7.3	Disclosures on appointment of new directors	✓	All new Board appointments as it happens are communicated to shareholders via the Colombo Stock Exchange.
A.9	Appraisal of Board and Sub-Committee Performances	✓	The performance of the Board and sub-committee is reviewed and evaluated by the Board and Chairperson on self-appraisal basis
A.9.1-3	Appraisal of Board Performance	✓	As explained in principle A.9 above.
A.10	Annual Report to disclose specified information regarding Directors	✓	Information pertaining to all Directors is made available to the shareholders through the Annual Report
A.10.1	Disclosure of information in respect of Directors	✓	Refer page no 27- 29
A.11	Appraisal of the CEO	✓	The Board of Directors should at least annually assess the performance of the CEO.
A.11.1	Target/Goals for the CEO	✓	CEO is entrusted by the Board to conduct day to day operations effectively to attain broad strategic targets/goals
A.11.2	Evaluation of the performance of the CEO	✓	The performance of the CEO is evaluated in relation to the achievement of business targets.

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
B. Directors Remuneration			
B.1	Remuneration Procedure	✓	No Director is involved in deciding his or her own remuneration package.
B.1.1	Remuneration Committee	✓	Refer page no 52
B.1.2/1.3	Composition of the Remuneration Committee	✓	Refer page no 52
B.1.4	Remuneration of Non-Executive Directors	✓	The Board has the authority on deciding the Non-Executive Directors' remuneration packages which is a collective decision. The Non-Executive Directors are paid a fee for attending Board or other Committee meetings or carrying out other Non-Executive duties based on responsibilities assigned.
B.1.5	Consultation of the Chairperson and access to professional advice	✓	When deciding on remuneration of Executive Directors, the Committee also obtains advice from the Managing Director as necessary.
B.2	Level and make-up of Remuneration	✓	Refer page no 52
B.2.1	Level and make-up of the remuneration of the Executive Directors	✓	The Remuneration Committee assesses the sufficiency of remuneration of Executive Directors to ensure a strategy of retention. Executive Directors including performance is evaluated annually and suitable remuneration levels are decided by the Committee.
B.2.2	Comparison of remuneration with other Companies	✓	Refer page no 52
B.2.3	Comparison of remuneration with other Companies in the Group	✓	Executive Directors represent other companies within the group.
B.2.4	Performance-related payments to the CEO	✓	Please refer principal B.2 and Code B.2.1 above.
B.2.5	Executive share options	✓	There was no executive share options scheme offered to any Director during 2024/2025.
B.2.6	Deciding the Executive Directors' Remuneration	✓	Please see comments given in Principle B.2 for details on Executive Director Remuneration.

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
B.2.7	Performance Related Remuneration to Directors	✓	Not applicable to the Board.
B.2.8	Early termination not included in the initial contract	✓	In an event of early termination of a director, remuneration will be concluded based on the scenario.
B.2.9	Remuneration of Non-Executive Directors	✓	Non-Executive Directors are paid a fee for their services as mentioned in Code B.1.4.
B.3	Disclosure of Remuneration	✓	The Remuneration Committee operates within agreed terms of reference and is committed to the principles of accountability and transparency
C. Relations with Shareholders			
C.1	Constructive use of the AGM and Other General Meetings.	✓	AGM will be held on 25th September 2025 and all shareholders are encouraged to participate at the AGM
C.1.1	Use of proxy votes	✓	Proxy forms are made available in the Annual report that is released with adequate prior notice to all shareholders in accordance with Companies Act.
C.1.2	Separate resolution for all separate issues	✓	Company passed separate resolutions for the adoption of the “Report of the Directors” and “Statement of Financial report and the Report of the Auditors” included in the Annual Report.
C.1.3	Availability of all Board Sub-Committee Chairmen at the Annual General meeting	✓	All Board members which include Chairmen of all the Board Sub-committees, namely, Audit Committee, Remuneration Committee, and Related Party Transactions Review Committee are presented at the AGM to answer any questions coming under the purview of their committee.
C.1.4	Adequate notice of the Annual General Meeting	✓	For the previous financial period, the Annual report of FY2023/24 was submitted to the CSE on 29th August 2024. AGM was held on 25th September 2024
C.1.5	Procedures of voting at General Meetings	✓	Voting procedures at the General Meetings are circulated to the shareholders

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
C.2	Communication with shareholders	✓	Extensive financial and non-financial information of Company's activities are provided to shareholders through the Annual Report and the Interim Reports published on a quarterly basis.
C.2.1	Channel to reach all shareholders of the Company	✓	Formal communications with the shareholders are conducted through Notices to shareholders, Annual Report, Quarterly Financial Statements, and general meetings of shareholders. All the financial information such as Annual Reports, Interim Reports are made available to shareholders via CSE website.
C.2.2	Policy and methodology for communication with shareholders	✓	The Communication Policy is implemented by publishing of corporate disclosures, announcements and publications at CSE web site and AGM.
C.2.3	Implementation of the policy and methodology for communication with shareholders	✓	Please Refer Code – C.2.2 above.
C.2.4 / 2.6	Contact person in relation to shareholders' matters	✓	As per the general practice of the Company, main point of contact for the shareholders for their concerns and clarification is the Board of Directors
C.2.5	Process to make all Directors aware of major issues and concerns of shareholders	✓	Material issues and concerns of the shareholders are communicated to the Board by company management and Executive Directors via quarterly meetings, emails or phone.
C.2.7	The process of responding to shareholder matters	✓	According to the Company "Communication Policy", all shareholder-related material matters are handled promptly and attentively by the Board upon being informed
C.3	Major and Material Transactions	✓	The Board has established a process to capture and disclose any material transactions proposed that would alter or vary the net asset position of Company either through its audited financial statements or in interim publication or by making announcement to the Colombo Stock Exchange.
C.3.1	Major transactions	✓	Refer note no 30 on page no 99

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
D.	**Accountability and Audit**		
D.1	**Financial Reporting**		
D.1.1	Statutory and Regulatory Reporting	✓	The Board should present a balance & understandable assessment of the Company's financial position, performance & prospects
D.1.2	Directors' Report in the Annual Report	✓	Refer page no 64 - 66
D.1.3	Statement of Directors' and Auditors' responsibility for the Financial Statements	✓	Refer page no 67, 69 - 72
D.1.4	Management Discussions and Analysis	✓	Refer page no 10 - 26
D.1.5	Declaration by the Board that the business as a Going Concern	✓	Refer page no 66
D.1.6	Summoning an Extra Ordinary General Meeting (EGM) to notify serious loss of capital	✓	A situation of a serious loss of capital is unlikely to arise
D.1.7	Related party transactions	✓	Refer note no 30 on page no 99
D.2	**Internal Control**		
D.2.1	Annual evaluation of the risks facing the Company and the effectiveness of the system of internal Controls	✓	Refer page no 50 - 51 & 56 - 63
D.2.2	Internal audit function	✓	Group Internal Audit division which is centrally located provides independent and objective assurance with respect to the adequacy of the design and operating effectiveness of internal controls and governance process across the Company.
D.2.3	Review of the process and effectiveness of risk management and internal controls by the Audit Committee	✓	Refer page no 50 - 51
D.2.4	Responsibilities of Directors in maintaining a sound system of internal control	✓	Refer page no 66
D.3	**Audit Committee**		
D.3.1	Composition of the Audit Committee	✓	Refer page no 50
D.3.2	Review of Objectivity of the External Auditor	✓	Refer page no 50
D.3.3	Terms of Reference of the Audit Committee	✓	Refer page no 50 - 51
D.3.4	Disclosures of the Audit Committee	✓	Refer page no 50 - 51
D.4	**Related Party Transactions Review Committee**		
D.4.1	Definition of Related Parties & Related Party Transactions	✓	Refer page no 53
D.4.2	Composition	✓	Refer page no 53
D.4.3	Terms of Reference with Authority and Duties	✓	Refer page no 53

Rule	Governance Requirement	Compliance Status	Reference/AEL Comment
D.5	**Code of Business Conduct and Ethics**		
D.5.1/ 5.2/5.3	Code of Business Conduct and Ethics	✓	High standards in business conduct and ethics are an integral part of Abans Group' culture. In keeping with Group's practiced value system, an organization-wide human resource policy document is in place which defines clear HR policies and procedures to the employee. The Group HR has devised a formal document incorporating human resource procedures including aspects on employee conduct.
D.5.4	Affirmation by the Chairperson that there is no violation of the Code of Conduct and Ethics	✓	The Chairperson's affirmation that she is not aware of any violation of the Code of Conduct and Ethics violations to requirements of the company on specified business conduct and ethics is given in the "Chairperson's Statement.
D.6	Corporate Governance Disclosures	✓	The Board of Directors upholds adopting sound corporate governance practices while improving overall governance year on year.
D.6.1	Disclosure of Corporate Governance	✓	Refer page no 30 - 48
E.	**Institutional Investors**		
E.1	Shareholders' voting	✓	Institutional shareholders are required to make considered use of their votes and are encouraged to ensure their voting intentions are translated into practice.
E.1.1	Institutional shareholders	✓	The Company has the ordinary share listing status in Colombo Stock Exchange, Main Board since 1983.
E.2	Evaluation of Corporate Governance initiatives	✓	Matters relating to governance are communicated effectively to all shareholders via the Annual Report and through AGM. Views and other material matter of shareholders are subsequently taken up at Board meetings as necessary.
F.	**Other Investors**		
F.1 F.1.1	Investing / Divesting Decision Individual shareholders	✓	Individual shareholders are encouraged to carry out adequate analysis and seek independent advice prior to making investments or divestments directly in shares of the Company.
F.2	Individual shareholders voting	✓	Individual shareholders are encouraged to participate in the Annual General Meeting and to exercise their voting rights.

Abans
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SERVING YOU FIRST
ONE TEAM GOAL

EXPERT CARE FOR YOUR AIR

REPORT OF THE AUDIT COMMITTEE

An Audit Committee has been formally established through a charter to provide structured support to the Board of Directors in statutory compliances and strategic decision making. Its primary role is to ensure effective oversight in critical areas such as internal and external audits, the integrity and robustness of internal control systems, and the accuracy and reliability of financial reporting. By doing so, the Committee plays a vital role in strengthening transparency, accountability, and overall corporate governance practices within Abans Electricals PLC.

Roles and Responsibilities

The Audit Committee plays a vital role in supporting the Board's oversight responsibilities, particularly in the areas of financial statement integrity, internal controls, risk management, and regulatory compliance. It also evaluates the performance, qualifications, and independence of the External Auditors, and oversees the effectiveness of the internal audit function carried out by the Group Internal Audit Department. The Committee operates within clearly defined guidelines.

Its key responsibilities include:

- Reviewing quarterly and annual financial statements to ensure accuracy, transparency, adherence to accounting standards, and compliance with relevant laws and regulations.
- Overseeing the internal control framework and assessing the efficiency of existing internal control measures.
- Evaluating the risk management system to support the Company's risk mitigation efforts.
- Supervising internal audit processes, ensuring the adequacy and effectiveness of internal audit practices.
- Managing the external audit process, including recommendations on the appointment, reappointment, or removal of External Auditors.
- Providing general oversight on the financial reporting process and assurance mechanisms.

Composition

In accordance with the Listing Rules of the Colombo Stock Exchange, the Audit Committee comprised three (03) Independent Non-Executive Directors:

- Mr. Kumar De Silva – Chairman
- Mr. D.M.R. Phillips
- Mr. R. Selvaskandan

Detailed profiles of the Committee members can be found on pages 28 to 29 of this Annual Report.

M/S Varners International (Pvt) Ltd served as the Secretary to the Committee.

All Non-Executive Directors on the Committee meet the independence criteria stipulated by the Colombo Stock Exchange (CSE) Listing Rules and the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

Meetings

The Committee convened four (04) times during the financial year under review, as detailed in the accompanying table.

As necessary, the Committee invites participation from other Board Directors, members of senior management, and the External Auditors to support its deliberations and decision-making processes.

	20/05/2024	08/08/2024	07/11/2024	11/02/2025
Mr. Kumar De Silva	✓	✓	✓	✓
Mr. D M R Phillips	✓	✓	×	×
Mr. R Selvaskandan*	N/A	✓	✓	✓

* Appointed as a member of Audit Committee on 25th July 2024

Reporting of Financial Statements

The Audit Committee, along with other Board members, management, and internal auditors, reviewed the quarterly and annual financial statements before their release. This process ensured that all disclosures complied with Sri Lanka Accounting Standards and applicable statutory and regulatory frameworks. The Committee also examined any changes in accounting policies and matters requiring significant judgment.

The Board was updated quarterly on the Committee's activities through verbal briefings and official meeting minutes.

Reporting on Risk and Controls

A Risk-Based Audit approach was followed to evaluate the strength of the Company's internal controls in addressing key business risks. The Committee maintained regular oversight of this process, ensuring that the controls in place were effective and aligned with risk management objectives.

Reporting on Internal Audits, Risk and Controls

Stringent oversight of operations was maintained during the year through a series of four (04) internal audits. The Committee reviewed and monitored the effectiveness and efficiency of the Internal Audit process by working closely with the Group Chief Internal Auditor. This included tracking audit outcomes, assessing resource requirements of the audit function, and providing guidance to senior management on corrective actions for significant findings.

Operations with higher risk profiles were audited more frequently, and key findings were prioritized based on their risk level. The Committee ensured that internal audit recommendations were addressed by senior management and shared relevant internal audit reports with the External Auditors.

Reporting on External Audits

The Committee supported the Board by advising on the appointment of External Auditors and the determination of audit fees. It also evaluated the independence of the External Auditors and the quality of the audit process, including the scope and non-audit services provided.

To promote transparency and objectivity, the External Auditors discussed their audit approach, scope, and independence with the Committee. The audited financial statements were reviewed in detail, and in the interest of auditor independence, discussions were held in the absence of management before finalizing the statements.

The Committee recommended to the Board that Messrs. Ernst & Young, Chartered Accountants, be reappointed as External Auditors for the financial year ending 31st March 2026, subject to shareholder approval at the upcoming Annual General Meeting.

Conclusion

Throughout the year, the Audit Committee effectively carried out its mandate by continuously reviewing and guiding the Company's financial practices. Based on its oversight activities, the Committee concluded that the financial reporting framework, internal controls, and compliance processes were satisfactory.

The Committee acknowledges the strong cooperation and support received from the Board, management, and both internal and external auditors. I extend my gratitude to the Committee members and all others who contributed to fulfilling the Committee's responsibilities.

Kumar De Silva
Chairman - Audit Committee
29th August 2025

REPORT OF THE REMUNERATION COMMITTEE

Abans Electricals has established a Remuneration Committee in accordance with a formal Charter, which outlines its authority, responsibilities, and objectives. The primary function of the Committee is to support the Board of Directors in formulating and implementing a fair, competitive, and performance-oriented remuneration framework. This includes making informed recommendations on compensation structures that attract and retain talent while aligning with the Company's strategic direction. The Committee is empowered to propose reward mechanisms that reflect market standards and incorporate performance-based incentives across key roles in the organization.

Key Objectives

- While Non-Executive Directors do not receive remuneration beyond standard Directors' fees for attending Board meetings, the Committee is responsible for recommending appropriate compensation packages for Executive Directors and Key Management Personnel. These recommendations are made within the guidelines provided by the Board and are consistent with the Abans Group's Compensation and Benefits Policy. Market benchmarks and industry comparators for similar roles are reviewed to ensure competitiveness and equity.
- A central objective of the Committee is to uphold a strategic and future-focused remuneration framework. Regular reviews of compensation structures are conducted to ensure the Company remains attractive to high-caliber professionals. The aim is to recruit, motivate, and retain Executive Directors and key leadership personnel who are critical to driving long-term corporate strategies.
- The remuneration structure for employees is differentiated by job profile and typically includes a base salary, fixed allowances and benefits (forming the guaranteed component), and a variable pay component. The Company's variable pay system fosters a performance-driven culture aligned with strategic goals and corporate governance practices. Clear Key Result Areas (KRAs) are communicated to employees, and performance is evaluated through an objective, transparent appraisal process that determines incentive-based compensation.

Remuneration Policy

The Company's Remuneration Policy is a strategic enabler of its business goals, serving as a foundation for building an effective and competitive compensation system. It plays a vital role in attracting and retaining employees whose skills and leadership are essential for successful strategy execution. The policy also promotes a high-performance culture by linking rewards to results and encouraging innovation.

Furthermore, the policy supports employee development by recognizing and rewarding excellence, fostering talent growth, and providing avenues for career advancement. It ensures that compensation practices remain relevant and responsive to both internal business needs and external market dynamics.

Composition

The Remuneration Committee is comprised of three (03) Independent Non-Executive Directors, appointed by the Board of Directors:

- Mr. Kumar De Silva – Chairman
- Mr. D.M.R. Phillips
- Mr. R. Selvaskandan

Meetings

During the financial year under review, the Committee convened five (05) times to discuss and review matters related to compensation strategy and policy implementation. Details regarding attendance at these meetings are provided below.

	16/05/2024	03/06/2024	07/08/2024	06/11/2024	11/03/2025
Mr. Kumar De Silva	✓	✓	✓	✓	✓
Mr. D M R Phillips	✓	✓	✓	✓	✓
Mr. R Selvaskandan*	N/A	N/A	✓	✓	✓

* Appointed as a member of Remuneration Committee on 25th July 2024

M/S Varners International (Private) Limited served as Secretaries of Remuneration Committee.

Conclusion

In carrying out its responsibilities, the Remuneration Committee carefully considered the prevailing economic climate, current market trends, and evolving employee expectations. These factors were taken into account in shaping its recommendations to the Board concerning remuneration strategy for the year.

The Committee acknowledges the importance of aligning human resource practices with evolving market needs and has recommended enhancements to HR technologies to support efficient and data-driven talent management. Overall, the Committee is satisfied with the ongoing improvements in the Company's recruitment, performance appraisal, and remuneration systems. These enhancements contribute to building a resilient and competitive workforce, aligned with Abans Electricals' long-term goals.

Kumar De Silva
Chairman - Remuneration Committee
29th August 2025

REPORT OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

In order to maintain oversight and transparency of any related party transactions, Abans Electricals PLC has established a Related Party Transactions Review Committee, in conformance with the requirements of the Securities and Exchange Commission (SEC) of Sri Lanka and the Colombo Stock Exchange (CSE). Acting on behalf of the Board, the Committee ensures the Company's adherence to the SEC's Code on Related Party Transactions, as well as the CSE's Listing Rules. Additionally, the Committee incorporates best practices as recommended by the Institute of Chartered Accountants of Sri Lanka in the execution of its duties.

Policies and Procedures

The Company has formulated a Related Party Transactions Policy to offer clear guidance and support the effective operations of the Committee. A defined list of persons and entities considered "Related Parties," has been compiled and is available.

Scope of the Committee

The responsibilities of the Committee are precisely outlined in accordance with the directives issued by the SEC and CSE. The Committee is responsible for assessing related party transactions and reporting its findings to the Board. Accordingly, its scope includes:

- Monitoring relationships with related parties to ensure regulatory compliance
- Reviewing and approving related party transactions, excluding those exempted by regulatory rules
- Deciding whether certain transactions require Board or shareholder approval
- Establishing internal guidelines for recurrent transactions to guide senior management
- Maintaining impartiality by ensuring that Directors involved in a related party transaction do not take part in the discussions, unless explicitly invited by the Committee solely to provide relevant details
- Ensuring prompt and comprehensive disclosure to the market and in the Company's Annual Report
- Seeking expert knowledge or professional advice, where required, to evaluate any related party transaction thoroughly
- Requesting and receiving necessary information from management, staff, or external sources in relation to any transaction involving a related party

Composition

During the financial year 2024/25, the Committee consisted of three (03) members, including two (02) Independent Non-Executive Directors and one (01) Executive Director.

- Mr. D. M. R. Phillips – Chairman
- Mr. Kumar De Silva
- Mrs. Saroshi Dubash

Meetings

The Committee convened on four (04) occasions, once every quarter throughout the year. Attendance details are provided below.

	20/05/2024	08/08/2024	13/11/2024	11/02/2025
Mr. Kumar De Silva	✓	✓	✓	✓
Mr. D M R Phillips	✓	✓	✓	✓
Mrs. Saroshi Dubash*	N/A	✓	✓	✓

* Appointed as a member of Related Party transactions Review Committee on 24th June 2024

M/S Varners International (Pvt) Ltd, served as Secretary to the Committee.

Review of Related Party Transactions

Under the current business structure, Abans PLC serves as the primary customer of the Company, purchasing a significant portion of its manufactured and assembled products. In addition, the Company handles repair, maintenance, and technical support for household electrical and electronic goods sold by Abans PLC. As such, most of the recurrent related party transactions involved sales of products and provision of after-sales services to Abans PLC. Therefore, final sale prices were determined through negotiations between both parties.

Upon reviewing all relevant details, the Committee concluded that these transactions were routine, essential for day-to-day operations, and did not offer preferential treatment to the related party in terms of pricing or other conditions. The Committee's recommendations and insights were shared with the Board each quarter through verbal briefings and by the submission of meeting minutes.

Declaration

The Board's formal declaration regarding adherence to the rules on related party transactions appears on page 99 of this Annual Report.

I would also like to extend my gratitude to all Committee members for their valuable contributions throughout the year.

D. M. R. Phillips
Chairman - Related Party Transactions Review Committee
29th August 2025

NOMINATION AND GOVERNANCE COMMITTEE REPORT

In compliance with the new Listing Rule 9.11 of the Colombo Stock Exchange, the Board of Abans Electricals PLC appointed a three member, Nominations & Governance Committee, with effect from 01st of October 2024. The Committee's core responsibility is to support the Board in matters concerning the selection and appointment of directors, evaluating Board effectiveness, and upholding strong corporate governance standards. Its role is to ensure that both the Board and its sub-committees consist of competent, independent, and suitably qualified individuals, while also maintaining governance practices that reflect the highest level of integrity and professionalism.

The Role of the Committee

The Nominations and Governance Committee is mainly responsible for the following:

- Evaluate the structure, size, and composition of the Board and its Committees to ensure the effective discharge of duties and responsibilities.
- Implement and maintain an effective process for the periodic evaluation of the Board and Managing Director's performance.
- Formulate a succession plan for the Board of Directors and Key Management Personnel.
- Implement and maintain a formal, transparent procedure for evaluating, selecting, and appointing Directors.
- Assess the appointment of Directors to the Board and its committees.
- Establish and maintain selection criteria for Directors, considering business nature and industry-specific requirements.
- Advise on the re-appointment or re-election of current Directors.
- Assess and recommend the corporate governance framework of Abans Electricals PLC.
- Regularly review and update Abans PLC's Corporate Governance Policies/ Framework to align with regulatory and legal developments, following best practices.
- Obtain reports from Management on compliance with the Abans Electricals PLC's corporate governance framework and applicable laws, highlighting any deviations or non-compliance and their justifications.

The Composition of the Committee

The members of the Committee during the year under review are as follows:

- Mr. Kumar De Silva – Chairman
- Mr. D M R Phillips
- Mr. Rajaratnam Selvaskandan

Meetings

As the Committee was constituted in October 2024, the Committee met only once during the year under review, in November 2025. The Executive Directors, Secretary and relevant individuals attended the meeting by invitation, when the committee requested their presence. The attendance of the members at the meeting was as follows:

	11/03/2025
Mr. Kumar De Silva	✓
Mr. D M R Phillips	✓
Mr. Rajaratnam Selvaskandan	✓

Re-Election of Directors

The Company has received a special notice from the shareholder of the Company communicating its intention to move a resolution at the Annual General Meeting for the re-election of Mrs. Aban Pestonjee, who is over 70 years of age, as provided in the Companies Act No.07 of 2007.

It is also resolved to re-elect Mr. Rajaratnam Selvaskandan, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Rajaratnam Selvaskandan, as a Director of the Company.

Disclosures

At Abans Electricals PLC, the Board values diversity in experience, skills, and gender, recognizing its importance for effective decision-making and strong governance. This diversity, including cultural and geographical representation, enables the Board to approach challenges with a broad perspective, aligning both global trends and local needs to support Abans Electricals PLC's long-term success. Brief profiles of the Board members are given on pages 28 to 29 of the Annual Report.

The Directors of Abans Electricals PLC meet the independence criteria outlined by Section 9.8 of CSE Listing Rules, ensuring they are free from any relationships that could affect their ability to exercise independent judgment. This commitment upholds the Company's strong governance standards and ensures that decisions are made in the best interest of the shareholders and stakeholders. The Company complies with the Corporate Governance requirements outlined in the Listing Rules of the Colombo Stock Exchange. Detailed information regarding the adherence to these requirements can be found on pages 34 to 40 of the annual report, where a comprehensive overview of the policies, practices, and governance structures in place to ensure alignment with the regulatory standards set by the Exchange is provided.

Conclusion

The newly appointed Nominations and Governance Committee is committed to effectively fulfilling its role in overseeing Board composition, director appointments, and succession planning, while ensuring alignment with governance best practices. The Committee has looked at maintaining diversity, independence, and compliance, all of which have contributed to the Board's effectiveness. Moving forward, the Committee will continue to uphold high standards of governance to support the Company's long-term success.

On behalf of the Nomination and Governance Committee,

Mr. Kumar de Silva
Chairman – Nomination and Governance Committee
29th August 2025

ENTERPRISE RISK MANAGEMENT

Overview of Risk Landscape in 2024/25

While major macroeconomic risk factors indicated signs of stabilization during the financial year 2024/25, Abans Electricals continued to navigate a shifting risk landscape inherent to its position as an import-dependent manufacturer. A key regulatory change impacting our financial performance, was the removal of VAT exemptions for the solar energy sector, replaced by an 18% VAT on all related sales. This policy reversal dampened market demand and slowed the growth of solar energy adoption, directly affecting revenue streams in that segment.

The Company also faced continued headwinds from import restrictions on intermediate manufacturing goods and components, along with global shipping disruptions and domestic logistical bottlenecks. Fluctuating energy costs and periodic power shortages further strained production efficiency, and increased cost pressures. Meanwhile, a tightening labor market, driven by skilled worker shortages, increased wage pressures, and migration trends, posed additional challenges in workforce retention and operational continuity.

Despite these constraints, Abans Electricals implemented a proactive and adaptive risk mitigation strategy to safeguard profitability and strengthen long-term resilience. Key measures included targeted upskilling of staff through local and international training, strategic workforce retention initiatives, and the deployment of work-life balance programs. Inventory planning was optimized to ensure supply chain continuity, and ongoing investments were made to enhance operational efficiency.

Our risk management framework was rigorously applied throughout the year, with regular monitoring and review of critical business functions to minimize disruptions and manage exposure. These actions enabled the Company to respond swiftly and effectively to emerging challenges, preserving financial stability and positioning the business for sustainable growth in a complex operating environment.

Risks and Responses in 2024/25

Type of Risk	Risk Ranking	Response
Economic & Business Risk		
Changes in Government Policies and Regulations Changes to national policies and regulations on local manufacturing and import of non-essential goods. The easing of import restrictions on consumer durable products and revision of import duty structure were favourable towards imports negatively impact on local manufacturing. Effective January 1, 2024, a Value Added Tax (VAT) rate of 18% was imposed on the sale of solar systems and related accessories. Upward revisions in tariffs by the Ceylon Electricity Board (CEB) may reduce demand for electronic goods, while lower rooftop solar tariff rates and delays in CEB approvals for new solar installations could hinder growth in the solar segment.	FY 2024/25 – High FY 2023/24 – High	Continuous dialogues and negotiations were maintained with key government institutions, various industry associations and trade chambers. Contingency plans were developed to respond swiftly to regulatory changes, including alternative sourcing, emergency response protocols, and crisis management strategies. Building supply chains under favourable terms to face frequently changing national and import regulations. Continuously reviewed the price impact of imported goods which are direct substitutes for locally manufactured products.

Type of Risk	Risk Ranking	Response
Purchasing Power of Consumers Even though the economy showed signs of stability and lower inflation, consumers continued to be careful with their spending. However, there was a noticeable increase in consumer spending during the year.	FY 2024/25 – Medium FY 2023/24 – High	Continuous review of pricing strategies to remain competitive. Negotiating with suppliers to reduce purchase costs and for more favourable purchasing terms. Implementing cost reduction initiatives throughout the value chain.
Market Risk		
Market Competition White goods retail and solar installations experienced new entrants and rising competition during the year which led squeezed margins. Consumer preferences have shifted toward energy saving products and personalized, technology-driven solutions.	FY 2024/25 – Medium FY 2023/24 – Medium	Increasing digital marketing to improve visibility Deploying new pricing strategies, marketing approaches and reward schemes Build customer trust through digital campaigns promoting sustainable, energy-saving, and eco-friendly solutions.
Reputational Risk Uncontrollable events or negative public perception can damage the Company's reputation including unavailability and quality concerns regarding products, and delays in service delivery.	FY 2024/25 – High FY 2023/24 – High	Policies and procedures to cope with negative publicity were rigorously implemented and business was conducted by prioritizing ESG requirements: • We focused on business ethics, integrity and quality of products and services • The Code of Conduct, governance practices and risk management programs, policies, procedures, and training were observed • The strategy on after sales services of Abans was continuously reviewed. • We focused on a customer centric culture and maintained neutrality towards non-economic events.
Financial Risk		
Currency Risk Fluctuations in foreign currency exchange rates affect the Company's import costs, which in turn impact the overall cost of production. During the year, Sri Lanka's foreign exchange risk has subsided. During 2024–2025, Sri Lanka could stabilize its foreign exchange reserves, supported by improved export performance, increased remittances, and inflows from multilateral and bilateral financing arrangements.	FY 2024/25 – Medium FY 2023/24 – Medium	Considered anticipated exchange rate fluctuations in costing and pricing strategies. Monitor and forecast exchange rate movements to place import purchase orders and negotiate settlement terms. Utilize exchange rate dips to optimize inventory levels and place new orders at the right time.

Type of Risk	Risk Ranking	Response
Liquidity Risk Liquidity risk refers to the availability of sufficient funds to meet short and medium-term capital and funding obligations. During the year, liquidity risks have normalized. The current ratio of the Company improved to 1.82 from, 1.51 last year, and 1.26 in the previous year.	FY 2024/25 – Medium FY 2023/24 – Medium	The liquidity position was regularly reviewed and working capital risk was managed effectively Negotiated with financial institutions to obtain extensions for existing import loans and to restructure borrowings under favorable terms Undrawn, commuted credit facilities were maintained to meet short, medium and long term funding requirements, and any unforeseen commitments
Credit Risk/ Repayment Delays When a counterparty does not meet its obligations, it can lead to a financial loss. Abans PLC is the main client of the Company, while the balance are corporate clients, government, and individual customers.	FY 2024/25 – Medium FY 2023/24 – Medium	Manage credit exposure by conducting ongoing credit reviews, assessing creditworthiness and monitoring debtor aging. Regularly monitored debt follow up and collection process and necessary actions were initiated against long outstanding debtors Implemented contractual agreements with customers whenever necessary and significant payments were secured by bank guarantees and letters of credit facilities Company credit policy was shortened and tightened, and credit terms were allowed only for selected customers
Interest Rate Risk Changes in interest rates lead to increase or decrease the cost of borrowing. During the year, Central Bank of Sri Lanka has gradually lowered interest rates to support economic recovery, manage inflation, and maintain financial stability.	FY 2024/25 – Medium FY 2023/24 – Medium	Closely monitored the treasury management function to optimize and reduce borrowing costs Maintained a strong relationship with lenders and leveraged the strength of the Abans Group to negotiate favourable terms of credit.
Operational Risk		
Supply Chain Risk The Company engages with a large pool of international and local suppliers and failure of such key suppliers and service providers could interrupt business operations. Global supply disruptions and domestic logistics constraints further intensified supply chain challenges.	FY 2024/25 – High FY 2023/24 – Medium	Adhere to rigorous supply chain practices and invest in improving processes to increase efficiency. Advanced purchase orders were placed to secure adequate stocks Procurement and distribution plans were continually reviewed Alternative sourcing avenues were sought Strong, long-lasting relationships are maintained with both foreign and local suppliers for preferential treatment.

Type of Risk	Risk Ranking	Response
Information Technology Risk The Company has continued to digitize its processes. Therefore, any significant system failure will disrupt operations and impede the decision-making process.	FY 2024/25 – Medium FY 2023/24 – Medium	IT related policies and procedures for network and information security are available Databases and critical information were regularly backed up Investments were made in advanced cyber security software and infrastructure IT infrastructure and information security controls were improved due to increased trends in cyber infiltrations
People Related Risk Failure to retain key staff could result in skill gaps that could prevent achievement of Company objectives. Skilled labor shortages, rising wage expectations, and migration trends created gaps in workforce availability. Retaining key talents became increasingly difficult in a competitive labor market.	FY 2024/25 – Medium FY 2023/24 – Medium	All attempts were made to recruit the best people with the right skills A performance based reward system, succession planning and career development programs have been implemented Remuneration packages are periodically evaluated to correspond with industry pay rates Procedures are in place to handle grievances and staff complaints Employee welfare activities were expanded and financial support was provided when required
Health and Safety Risk Risks to employees' psychological and physical health arising from to socio-economic conditions and business operations, could reduce productivity.	FY 2024/25 – Medium FY 2023/24 – Medium	Security facilities for premises were enhanced Adequate preliminary level medical facilities are provided, and insurance policies are available for all employees Stringent health and safety measures have been implemented across all operations and personal protective equipment is provided Conducting awareness programs on psychological wellbeing

Improvements to Risk Management

We maintained strict vigilance over our risk management framework by continually reviewing its effectiveness with regard to proactively complying with regulatory changes as well as identifying emerging risks, while monitoring existing risks. The expansion of our ERP system has contributed significantly in managing risks more efficiently. In addition, our risk management system has been strengthened to comply with the SLFRS Sustainability and Climate change disclosure standards.

Risk Planning

- Detailed risk mitigation plans were developed that outlined specific actions, responsibilities, timelines, and resources required to address identified risks
- Thorough post-incident reviews were conducted to learn from past experiences and enhance future risk management strategies

Monitoring

- Real-time monitoring of Key Risk Indicators (KRIs) was increased to detect emerging risks promptly.
- Senior management and the Board of Directors were regularly updated on risk status and mitigation activities

Feedback

- Feedback mechanisms were established to solicit input from stakeholders, employees, and external parties to improve risk management practices

Strategic Objectives of Risk Management

The Company has aligned its risk management framework with its compliance and strategic objectives to ensure proactive identification and mitigation of risks that could disrupt the execution of its strategic and operational plans. The effectiveness of our risk management process is demonstrated by the Company's consistently strong performance and high degree of compliance.

- Identify, evaluate, monitor and manage significant risks
- Define the risk appetite and align with business strategies and plans
- Facilitate efficient management of resources for business growth
- Create a risk management culture

Risk Governance

Ultimate accountability for risk management rests with the Board of Directors, as the highest governing authority of the Company. The Board is supported by the Audit Committee, which plays a key role in overseeing the identification, assessment, and management of significant risks, in addition to monitoring internal controls and liaising with internal and external auditors.

The Board is also responsible for shaping the Company's risk governance framework by defining the risk appetite, setting risk-related objectives, and approving the overall risk management strategy. It regularly reviews and strengthens the Company's risk policies and procedures to ensure that risk oversight remains aligned with evolving business needs and regulatory expectations.

Risk Management Process

Risk Identification :

Risks are identified by engaging with stakeholders, including significant shareholders, suppliers, employees, government, and others and by continually monitoring economic variables which directly impact demand and supply dynamics.

Risk Measurement and Prioritization :

Risks are assessed and prioritized based on impact and likelihood of occurrence

Risk Mitigation :

Based on risk return dynamics, we respond to risks by either accepting, avoiding, or by adopting necessary actions for mitigation.

Risk Reporting :

Ongoing reports are communicated to the Board and Audit Committee

Culture and Controls

The Company fosters a strong culture of risk ownership by promoting accountability at all levels of the organization. Regular training and awareness programs are conducted to equip employees with the knowledge and tools necessary to identify and manage risks effectively. Risk identification and communication are actively encouraged across all staff grades, ensuring that responsibility for risk management extends beyond the Board and senior management to every individual within the organization.

Managing Sustainability and Climate Change Related Risks

Sustainability and Climate Related Risks

Sustainability and Climate related Risks	Description of Risk	Current Effects on Business Model and Value Chain	Anticipated Effects on Business Model and Value Chain	Response to Manage the Risk
Social Risks				
Employee Dissatisfaction	Paying below minimum wage or not offering fair compensation for overtime, and a lack of protective equipment, inadequate safety training, and exposure to hazardous materials can result in supply chain and business disruption	No impact currently as this risk is controlled through our HR administration systems	No significant impacts are anticipated	Develop and enforce clear labor and safety standards Train workers and supervisors on rights, safety procedures, and ethical practices Collaborate with certified suppliers who meet social compliance standards
Physical Risks				
Boiling	Prolonged exposure to high temperatures can cause problems for the manufacturing segment in a business. It can reduce machine efficiency, increase electricity consumption for both machinery and factory cooling, and negatively impact worker productivity. This can increase operational costs and decrease sales volumes.	Cost of preventive measures have increased	Cost reduction is anticipated	Invest in energy-efficient machinery, proper cooling system and preventive maintenance for equipment. Solar power use will be increased, to curtail electricity costs.

Sustainability and Climate related Risks	Description of Risk	Current Effects on Business Model and Value Chain	Anticipated Effects on Business Model and Value Chain	Response to Manage the Risk
Physical Risks				
Water Stress	Water stress can lead to reduced income for a company because it hampers production capacity and forces the company to spend more on acquiring water.	No significant impacts at present	No significant impacts are anticipated	We regularly train employees and run awareness programs to teach them how to save water and use it responsibly We installed flow meters at each production step to better track and report water usage
Urban floods	Floods can stop factory operations because buildings might be unsafe, there's no power, or workers can't report to the work. Roads and bridges can also be damaged, causing problems with transport and supplies. If flooding happens often, repair and maintenance costs will impact profit and loss	No significant impacts in the current year	Cost of preventive measures in the future	Funds have been allocated from CAPEX budget for prevention actions such as building renovations.
Transition Risks				
Changing climate laws, evolving customer preferences, and growing expectations from stakeholders	Abans Electricals PLC needs to carefully evaluate transition risks to keep up with changing climate laws, evolving customer preferences, and growing expectations from stakeholders.	No significant impacts were experienced in the current year	We anticipate rising preventive costs	Implement ISO standards such as ISO 14001 Upgrade machinery to more energy-efficient models Redesign products using sustainable materials. Use data analytics to optimize production processes and forecast risk. Invest in R&D to develop low-carbon or eco-friendly alternatives.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

The Board of Directors of Abans Electricals PLC is pleased to welcome all shareholders to the 43rd Annual General Meeting and to present the Board's annual report, along with the audited financial statements for the financial year ended 31st March 2025. This integrated annual report has been compiled to enhance transparency and good governance by providing material information on financial and non-financial developments during the year, which are described under the capital reports contained within this report. In order to ensure accuracy of data, the information herein has been compiled and reviewed by the relevant senior management and the report was formally approved by the Board of Directors on 29th August 2025

Principal Activities

The Company's core operations remained unchanged during the year under review. These activities primarily include the manufacturing, assembly, and installation of selected consumer durables; providing repair and maintenance services for a range of household electrical and electronic products; and the installation of rooftop Solar PV Systems. These services are managed under two distinct operational divisions outlined below.

(a) Manufacturing Division

Within this division, the Company manufactures a variety of consumer durable goods, marketed under the "Abans" brand as well as through partnerships with well-known global brands. The division is also responsible for the installation of rooftop Solar PV Systems and the production of certain plastic refrigerator components.

(b) Service Division

The Service Division focuses on the installation, maintenance, repair, and after-sales service of household and electrical appliances sold through the Abans Group network.

Review of Business Operations

In order to present a comprehensive and contextual picture of the Company's operations during the year to all stakeholders, this report offers a detailed overview of the Company's business activities and performance that extends beyond the audited financial statements. In addition, the Chairperson's statement presents an overview of operations and financial status of the Company by the end of the financial year 2024/25. Please refer to the Management Discussion and Analysis section for detailed descriptions of both financial outcomes as of March 2025 and the current status of non-financial capital.

Financial Statements and the Report of the Auditors

		2024/2025	2023/2024
Revenue	LKR '000	6,707,214	6,123,806
Profit/(loss) before Tax	LKR '000	714,914	569,981
Tax saving/(expense)	LKR '000	(214,755)	(131,261)
Profit/(loss) after tax	LKR '000	500,159	438,720
Total comprehensive income (Net of tax)	LKR '000	494,946	434,591
Profit available for appropriation	LKR '000	2,055,803	1,611,962
Ordinary dividend per share (Paid)	LKR	10.00	5.00

The financial statements form a core part of this annual report, summarizing the financial status of the Company as at the end of March 2025, for the benefit of shareholders and other interested parties. These statements are available on pages 73 to 104. The Board affirms that the Company has adhered to all relevant legal and regulatory requirements, as well as best practices, in the preparation of these statements. In accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS), the statements have been certified by the respective divisional Heads of Finance and duly approved by two Directors, in line with the Companies Act. The Independent Auditors' Report on the financial statements is provided on pages 69 to 72.

Accounting Policies

The key accounting policies applied in the preparation of the Financial Statements are detailed in the Notes accompanying the statements. During the current financial year, the Company made no notable changes to its previously adopted accounting policies.

Dividends

The Board of Directors has proposed a final dividend of LKR 15.00 per ordinary share for the financial year ended 31st March 2025. This recommendation follows a comprehensive financial review in accordance with Section 56(2) of the Companies Act No. 7 of 2007. The Board has confirmed that the Company meets the solvency requirements stipulated in Section 57 of the same Act. Independent certification from the auditors has also been obtained to affirm this position.

Capital Expenditure

Total capital expenditure incurred during the financial year amounted to LKR 201,865,631 in comparison to LKR 41,139,874 in the 2023/24 financial year. For a detailed breakdown of related transactions and movements, please refer to Note 12 in the financial statements. There were no further additions to intangible assets (FY 2023/24 – Nil), with comprehensive information provided in Note 15.

Valuation of Land, Buildings and Investment Properties

As of the end of the financial year, the carrying value of land and buildings stood at LKR 965.20 Mn compared to LKR 942.84 Mn recorded in the previous year.

Details regarding the valuation of the Company's land, buildings, and investment properties are presented in the table below.

Land Location	No. of Buildings	Perches	Market Value LKR	Revalued Date
Colombo 06	1	39.58	484,000,000	31.03.2023
Ratmalana	3	95.21	244,936,100	31.03.2023
Kandy	1	18.70	92,000,000	31.03.2023
Boralesgamuwa	-	83.10	75,800,000	31.03.2023
Negombo	1	31.10	46,100,000	31.03.2023
Panadura	-	44.90	51,750,000	31.03.2025

Investments

Details of the Company's long-term investments as at 31st March 2025 are presented in Note 16 of the financial statements.

Stated Capital

As at 31st March 2025, the Company's stated capital remained unchanged at LKR 186,732,000. The breakdown and movement of stated capital during the year are outlined in the Statement of Changes in Equity and further detailed in Note 22 of the financial statements.

Revenue Reserves

The Company's retained earnings stood at LKR 2,055.80 Mn as at 31st March 2025, compared to LKR 1,611.96 Mn as at 31st March 2024. The changes and composition of revenue reserves are shown in the Statement of Changes in Equity.

Share Information

Comprehensive information about the Company's shares and shareholders as of 31st March 2025 can be found on page 105 of this annual report. This includes details on shareholder composition and distribution, earnings per share, dividends, net asset value, share price movement, market capitalization, public shareholding percentage, and the number of public shareholders.

Major Shareholders

The top 20 shareholders of the Company, along with their respective shareholding percentages, are listed on page 106 of this report.

Equitable Treatment of Shareholders

Upholding the principle of equitable treatment of shareholders continues to be a core governance practice of the Company. This standard has been consistently maintained throughout the year.

Information Pertaining to the Board of Directors

Brief profiles of the Board members are included under the 'Board of Directors' section of this report. Additional governance related disclosures — such as retirement, re-election, and Board performance reviews — are provided in the Corporate Governance chapter.

Directors' Interests

Disclosures regarding Directors' interests in Company contracts are included in Note 31 to the financial statements. All Directors have submitted self-declarations to identify related parties. No Director holds a direct or indirect interest in any other current or proposed contracts of the Company.

Directorate and Shareholdings

Name	Beginning of the Year No of Shares	End of the Year No of Shares
Mrs. Aban Pestonjee	293,438	293,438
Mrs. Saroshi Dubash	334,628	334,628
Mr. Kumar De Silva	NIL	NIL
Mr. D M R Phillips	NIL	NIL
Mr. Rajaratnam Selvaskandan	NIL	NIL

Directors' Remuneration

Information relating to the remuneration and other benefits received by the Directors is provided in Note 08 and Note 31 of the financial statements.

Related Party Transactions

During the financial year, the Company remained in full compliance with Rule 09 of the Colombo Stock Exchange Listing Rules pertaining to related party transactions. Details of these transactions are presented in Note 30 to the financial statements.

All such dealings were conducted in line with the requirements of CSE Listing Rule 9.3.2 and the Code of Best Practice on Related Party Transactions, as issued under Section 13(c) of the Securities and Exchange Commission Act.

Employment

Further information on the Company's human resources and HR policies can be found in the Human Capital chapter of this report.

Corporate Governance

The Company has consistently upheld strong corporate governance practices and ensured adherence to all relevant legal and regulatory requirements. Please refer to the Corporate Governance chapter for a detailed outline of the governance framework and compliance status.

Board Sub-Committees

The Board has appointed four formally constituted sub-committees, each of which met regularly during the year. Additional details on these committees can be found in the Corporate Governance chapter, and their individual reports are presented on pages 50 to 55.

Donations

During the year, the Company made donations amounting to LKR 387,000 compared to LKR 62,000 in previous year.

Statutory Payments

To the best knowledge of the Directors, all taxes, levies, duties, and contributions due from the Company — including those payable on behalf of employees — have been duly settled or appropriately accounted for as of the reporting date.

Compliance with Laws and Regulations

The Directors confirm that, to the best of their knowledge and belief, the Company has not undertaken any activities in violation of applicable laws and regulations during the financial year and that the Company is compliant with all applicable regulations.

Risk Management and Internal Control

The Company has continued to strengthen its risk management and internal control systems to safeguard assets and ensure the achievement of strategic goals. A comprehensive overview of the Company's risk management practices during the year is available in the Risk Management Report on pages 56 to 63.

Events Subsequent to the Balance Sheet Date

There have been no events occurring after the balance sheet date that would require adjustment to, or disclosure in, the financial statements, other than those stated in Note 33 to the financial statements.

Major Transactions

No significant transactions having a material impact on the Company's financial position occurred during the year, apart from those disclosed within this Annual Report.

Going Concern

The Board is confident that the Company possesses adequate financial and operational resources to continue as a going concern for the foreseeable future. Accordingly, the financial statements have been prepared on that basis.

Independent Auditors

The Board of Directors has resolved to appoint Messrs, Ernst & Young, Chartered Accountants, as the Company's Auditors. A resolution for their appointment, along with authorisation for the Board to determine their remuneration, will be presented at the Annual General Meeting, as per Section 158 of the Companies Act No. 07 of 2007. The Audit Committee continues to oversee matters related to the Auditors, including their appointment, independence, effectiveness, and fees.

Reports to the Public

The Company has maintained transparency through timely disclosures, ensuring stakeholders have access to accurate and up-to-date information. This includes the release of quarterly financial statements and the annual report, enabling stakeholders to make informed assessments of Company performance.

Annual General Meeting

Notice is hereby given that the 43rd Annual General Meeting of Abans Electricals PLC will be held at 10.30 am on 25th September 2025

This Annual Report has been presented to the Board and signed on behalf of the Board of Directors,

Mrs. Aban Pestonjee
Chairperson

Mrs. Saroshi Dubash
Managing Director

Varners International (Private) Limited
Company Secretaries

29th August 2025

THE STATEMENT OF DIRECTORS' RESPONSIBILITY

Statement of Compliance

The Board of Directors of Abans Electricals PLC affirms that the Company has adhered to the following regulatory requirements during the financial year:

- In accordance with Sections 150(1), 151, 152(1), and 153 of the Companies Act No. 7 of 2007, the Board accepts full responsibility for preparing the Company's financial statements in line with Sri Lanka Accounting Standards (SLFRS/LKAS).
- Under the same legal framework, the Directors are accountable for the consistent selection and application of appropriate accounting policies, as well as for exercising reasonable and prudent judgment in making estimates. Where applicable, any material deviations have been clearly disclosed and justified.
- The Board is also required to ensure the Company has sufficient resources to support the going concern assumption in the preparation of financial statements.
- In keeping with both the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange, the Directors are obligated to ensure the financial statements include all relevant disclosures and required details.
- The Directors are charged with maintaining a robust internal control environment designed to detect and prevent fraud or financial misconduct, and to protect the Company's assets. They are also responsible for ensuring all transactions are properly authorized and accurately recorded.
- It is the responsibility of the Directors to grant the external auditors full access to carry out their assessments and express an opinion on the financial statements.

The Directors believe they have fulfilled their obligations as outlined above. Further, the duties and responsibilities of the Independent Auditors regarding the financial statements are detailed in their report, which is prepared in compliance with the Companies Act No. 7 of 2007 and applicable Sri Lanka Accounting Standards (SLFRS).

The financial statements have been compiled in accordance with SLFRS/LKAS. The Statement of Profit or Loss and Other Comprehensive Income accurately reflects the Company's performance for the year, while the Statement of Financial Position fairly represents the Company's financial standing as of the reporting date. These statements are fully compliant with the Companies Act and SLFRS.

The Company's Audit Committee met periodically with both internal and external auditors to monitor the audit process, review internal control mechanisms, and oversee financial reporting practices. Upon the Committee's review and recommendation, the Board approved the Interim Financial Statements prior to their publication. Additionally, internal audits were carried out at regular intervals to verify that policies and procedures were being adhered to consistently.

Compliance Report

The Board of Directors of Abans Electricals PLC confirms that, to the best of their knowledge, all taxes, statutory levies, and dues payable by the Company — including those related to employees — that were due as of the reporting date, have either been settled or appropriately accounted for.

Mrs. Aban Pestonjee
Chairperson

Mrs. Saroshi Dubash
Managing Director

29th August 2025

Abans
SOLAR
INNOVATIVE SOLAR SOLUTIONS
FOR A BETTER TOMORROW
YOUR RELIABLE PARTNER IN
SOLAR ENERGY

Shape the future
with confidence

Ernst & Young
Chartered Accountants
Rotunda Towers
No. 109, Galle Road
P.O. Box 101
Colombo 03, Sri Lanka

Tel: +94 11 246 3500
Fax: +94 11 768 7869
Email: eysl@lk.ey.com
ey.com

INDEPENDENT AUDITOR'S REPORT

TO THE SHAREHOLDERS OF ABANS ELECTRICALS PLC

Report on The Audit of The Financial Statements

Opinion

We have audited the financial statements of Abans Electricals PLC ("the Company") which comprise the Statement of Financial Position as at 31 March 2025, Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements of the Company give a true and fair view of the financial position of the Company as at 31 March 2025 and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics for Professional Accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming Auditor's opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Key Audit Matter	How Our Audit Addressed the Key Audit Matter
Existence and Carrying Value of Inventories As at 31 March 2025, the carrying value of inventories amounted to Rs. 1,437 Mn after considering a provision of Rs. 149 Mn for slow moving inventory, as disclosed in Note 4.5 and 17 to the financial statements. Existence and carrying value of inventories was a key audit matter due to: - Materiality of the reported inventory balance which represented 29% of the Company's total assets; - Inventories being held at multiple locations comprising warehouses and service centres; and - Judgements applied by the management in determining the provision for slow-moving inventories as disclosed in Note 4.5 to the financial statements.	Our audit procedures included the following key procedures: - observed physical inventory counts at selected locations and reconciled the count results to the inventory listings compiled by management to support amounts reported as at the year end - tested, whether Inventory was stated at the lower of cost and net realizable value, by comparing cost with subsequent selling prices of such items - assessed the reasonableness of management judgements applied in determining provision for slow-moving inventory. Our procedures included testing the accuracy and completeness of inventory age reports used in the estimation of provision for slow moving inventory. We also evaluated the adequacy of the disclosures in Note 4.5 and 17 to the financial statements.
Revenue The Company derived its revenue of Rs. 6,707 Mn from sale of consumer durable goods and provision of repair & maintenance services, as disclosed in note 5 and 4.1 to the financial statements. Revenue was a key audit matter due to: - the materiality of revenue reported for the year; and - the increase of 10% it represents, over the previous year.	Our audit procedures included the following key procedures: - evaluated the design and tested the relevant key controls relating to the sales of goods and provision of repair & maintenance services. Our procedures included testing the general IT control environment and the relevant key IT application controls relating to the most significant IT systems relevant to revenue - performed analytical procedures to understand and assess the reasonableness of reported revenue - tested the revenue transactions by reviewing the sales invoices, delivery notes & service contracts. Our procedures included testing revenue cut-off at the period-end date to determine whether transactions are recorded in the proper period and to the proper accounts - assessed whether income recognised over the period from service contracts, is in line with the Company's accounting policy for revenue recognition. We also assessed the adequacy of related disclosures in Note 4.1 and 5 to the financial statements.

Other Information Included in the 2025 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Management and Those Charged with Governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4184.

29th August 2025

Colombo

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 MARCH 2025

	Note	2025 Rs.	2024 Rs.
Revenue	5	6,707,213,593	6,123,805,633
Cost of sales		(5,101,944,946)	(4,747,027,356)
Gross profit		**1,605,268,647**	**1,376,778,277**
Other income	6	80,369,713	46,881,781
Change in fair value of investment property	14	2,450,000	2,300,000
Marketing and distribution expenses		(364,883,505)	(264,055,669)
Administrative expenses		(587,346,242)	(442,461,058)
Operating profit		**735,858,613**	**719,443,331**
Finance cost	7.1	(55,440,063)	(202,767,029)
Finance income	7.2	34,495,482	53,304,766
Profit before taxation	8	**714,914,032**	**569,981,068**
Tax expenses	9	(214,754,804)	(131,260,634)
Profit for the year		**500,159,228**	**438,720,434**
Other comprehensive income - Net of tax			
Items that will not be reclassified subsequently to comprehensive income:			
Actuarial gain or loss on defined benefit obligations - Net of tax		(5,213,431)	(4,129,436)
Gain on revaluation of property, plant and equipment - Net of tax			
Other comprehensive income for the year - Net of tax		**(5,213,431)**	**(4,129,436)**
Total comprehensive income for the year		**494,945,797**	**434,590,998**
Earnings per share - basic/ diluted	10	97.87	85.85
Dividends per share (Paid)	11	10.00	5.00

STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2025

	Note	2025 Rs.	2024 Rs.
Non Current Assets			
Property, plant and equipment	12	1,394,533,709	1,297,921,235
Right of use assets	13	19,958,005	14,818,305
Investment property	14	51,750,000	49,300,000
Total Non Current Assets		**1,466,241,714**	**1,362,039,540**
Current Assets			
Inventories	17	1,437,490,318	1,503,252,489
Trade and other receivables	18	363,319,446	720,829,904
Advances, deposits and prepayments	19	444,834,511	266,260,746
Amounts due from related parties	20	571,781,464	791,351,485
Investment in short term deposits	16.1	361,183,286	364,693,439
Cash in hand and at bank	21	360,420,850	139,840,806
Total Current Assets		**3,539,029,875**	**3,786,228,869**
Total Assets		**5,005,271,589**	**5,148,268,409**
Capital and Reserves			
Stated capital	22	186,732,000	186,732,000
Revaluation reserve	22.1	467,759,623	467,759,623
Retained earnings		2,055,802,541	1,611,962,344
Total Equity		**2,710,294,164**	**2,266,453,967**
Non Current Liabilities			
Interest bearing loans and borrowings	23.1	20,612,610	30,176,067
Contract liabilities	28	46,334,285	41,906,545
Retirement benefit obligation	24	128,787,364	106,204,862
Deferred tax liability	25	108,219,832	164,403,113
Total Non Current Liabilities		**303,954,091**	**342,690,587**
Current Liabilities			
Trade and other payables	26	1,372,882,923	1,350,529,953
Income tax payable	27	215,863,918	132,612,595
Contract liabilities	28	174,902,280	115,185,538
Amounts due to related parties	29	115,637,439	84,088,702
Interest bearing loans and borrowings	23.2	111,736,774	856,707,067
Total Current Liabilities		**1,991,023,334**	**2,539,123,855**
Total Liabilities		**2,294,977,425**	**2,881,814,442**
Total Equity and Liabilities		**5,005,271,589**	**5,148,268,409**

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

I certify that these financial statements comply with the requirements of the Companies Act no. 07 of 2007.

Cyril Manatunga
Head of Finance
Manufacturing Department

Tharindu Abhayawardena
Head of Finance
Service Department

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board of Directors by ;

Aban Pestonjee
Chairperson

Saroshi Dubash
Managing Director

Colombo
29th August 2025.

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2025

	Stated capital Rs.	Revaluation reserve Rs.	Retained earnings Rs.	Total equity Rs.
Balance as at 1 April 2023	**186,732,000**	**490,365,165**	**1,180,318,604**	**1,857,415,769**
Net profit for the year	-	-	438,720,434	438,720,434
Other comprehensive income for the year	-	-	(4,129,436)	(4,129,436)
Transfer of reserve on disposal	-	(22,605,542)	22,605,542	-
Final dividend 2022/2023	-	-	(25,552,800)	(25,552,800)
Balance as at 31 March 2024	**186,732,000**	**467,759,623**	**1,611,962,344**	**2,266,453,967**
Net profit for the year	-	-	500,159,228	500,159,228
Other comprehensive income for the year	-	-	(5,213,431)	(5,213,431)
Final dividend 2023/2024	-	-	(51,105,600)	(51,105,600)
Balance as at 31 March 2025	**186,732,000**	**467,759,623**	**2,055,802,541**	**2,710,294,164**

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 MARCH 2025

	Note	2025 Rs.	2024 Rs.
Net profit before taxation	8	714,914,032	569,981,068
Adjusted for:			
(Profit)/ loss profit from sale of property, plant and equipment	6	(7,720,803)	(1,716,786)
Depreciation and amortisation	8	82,859,344	80,297,537
Amortization of right of use asset	8	11,992,218	5,279,550
Defined benefit plan costs	24	25,158,252	26,023,555
Finance expenses	7.1	55,440,063	202,767,029
Interest income	7.2	(34,495,482)	(53,304,766)
Bad debts (reversal) / provisions	18.1	47,267,013	7,925,144
Provision for slow moving inventory	17.1	20,732,145	37,869,525
Change in fair value of investment property	14	(2,450,000)	(2,300,000)
Impairment of financial investment	-		11,454,000
Deferred income	28.1	(168,357,470)	(20,902,089)
Cash flow from operating activities before working capital changes		**745,339,312**	**863,373,765**
(Increase) / decrease in trade and other receivables		310,243,445	(477,620,824)
(Increase) / decrease in deposits, advances and prepayments		(178,573,765)	26,063,044
(Increase) / decrease in inventories		45,030,026	2,493,627
(Increase) / decrease in amounts due from/to related companies		251,118,758	100,458,847
Increase / (decrease) in trade and other payables		254,854,923	560,883,749
		1,428,012,699	**1,075,652,210**
Tax paid	27	(185,452,434)	(66,005,454)
Interest paid		(53,455,053)	(215,967,161)
Gratuity paid	24	(10,023,509)	(20,356,333)
Net cash flows (used in) / from operating activities		**1,179,081,703**	**773,323,262**
Investing activities			
Interest income	7.2	34,495,482	53,304,766
Purchase of property, plant and equipment and intangible assets	12	(179,503,176)	(41,139,874)
Proceeds from disposal of property, plant and equipment		7,752,159	93,383,632
Net investment in fixed deposits		3,510,153	44,728,219
Net cash flows (used in) / from investing activities		**(133,745,382)**	**150,276,744**
Financing activities			
Dividend paid		(51,105,600)	(25,552,800)
Repayments of long term loans	23.3	(15,000,000)	(41,850,000)
Repayments of lease liabilities	23.4	(17,945,995)	(16,999,381)
Net movement in short term loans		(731,804,202)	(543,862,734)
Net cash flows (used in) / from financing activities		**(815,855,796)**	**(628,264,915)**
Net increase / (decrease) in cash and cash equivalents		229,480,526	295,335,092
Cash and cash equivalents at the beginning of the year		130,940,324	(164,394,768)
Cash and cash equivalents at the end of the year		**360,420,850**	**130,940,324**
Cash and cash equivalents at the beginning of the year			
Cash at bank and in hand		139,840,806	54,884,113
Bank overdrafts		(8,900,482)	(219,278,881)
		130,940,324	**(164,394,768)**
Cash and cash equivalents at the end of the year			
Cash in hand and at bank	21	360,420,850	139,840,806
Bank overdrafts	23.2	-	(8,900,482)
		360,420,850	**130,940,324**

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2025

1. CORPORATE INFORMATION

1.1 General

Abans Electricals PLC is a public limited liability Company incorporated and domiciled in Sri Lanka and is listed on the Colombo Stock Exchange. The registered office of the Company is located at 498, Galle Road, Colombo 3 and the principal place of business is situated at 126, Airport Road, Ratmalana, and 506B Galle Road, Colombo 06.

1.2 Principal Activities and Nature of Operations

The principal activities of the Company are manufacturing and assembling household electrical and electronic appliances and providing repairs, maintenance and technical services for similar types of appliances and installation of roof top Solar PV systems.

1.3 Parent Entity

The Company does not have an identified Parent. However, Abans PLC has a significant influence over the Company through the holding of a 48% equity stake.

1.4 Date of Authorization for Issue

The financial statements of the Company for the year ended 31 March 2025 were authorized for issue by a resolution of the Board of Directors on 29 August 2025.

1.5 Directors' Responsibility Statement

The Board of Directors acknowledges their responsibility for financial statements as set out in the "Annual Report of the Board of Directors".

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The financial statements of the Company (statement of financial position, statement of profit or loss and other comprehensive income, statement of changes in equity, statement of cash flows together with accounting policies and notes) are prepared in accordance with Sri Lanka Accounting Standards (LKASs and SLFRSs) as issued by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No.07 of 2007.

2.2 Basis of Measurement

The financial statements have been prepared on a historical cost basis, except for the defined benefit obligation, land and buildings and financial assets which are measured as explained in the respective notes in the financial statements.

2.3 Functional and Presentation Currency

The financial statements are presented in Sri Lankan Rupees, which is the Company's functional currency and presentation currency. All financial information presented in Sri Lanka Rupees is rounded to the nearest rupee unless otherwise stated.

2.3.1 Foreign Currency

Transactions in foreign currencies are initially recorded by the Company at their respective functional currency spot rate at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date. Differences arising on settlement or translation of monetary items are recognised in profit or loss. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated or Loss, in which case the increase is recognised in the statement of profit or loss.

2.4 Comparative Information

The presentation and classification of the financial statements of the previous years have been amended, where relevant for better presentation and to be comparable with those of the current year.

2.5 Going Concern

The Directors have made an assessment of the Company's ability to continue as a going concern by considering the factors of the recent economic crises and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Company. Therefore, the financial statements continue to be prepared on the going concern basis.

2.6 Changes in Accounting Policies

The accounting policies adopted by the Company are consistent with those used in the previous financial year. The Company has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

2.7 Materiality and Aggregation

In compliance with LKAS 01 on presentation of financial statements, each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the statement of profit or loss and other comprehensive income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

3. SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of financial statements requires the application of certain critical accounting assumptions relating to the future. Further, it requires the management of the Company to make judgments, estimates and assumptions that affect the reported amounts of income, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability in future periods. Hence, actual experience and results may differ from these judgments and estimates.

In the process of applying the Company's accounting policies, management has made the following judgments, estimates and assumptions which have the most significant effect on the amounts recognized in the financial statements:

a) Taxation

The Company is subject to income taxes and other taxes including value added taxation, Excise duty and Social Security Contribution Levy. Significant judgment was required to determine the total provision for current, deferred and other taxes.

The Company recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and, deferred tax amounts in the period in which the determination is made.

b) Useful Lifetime of the Property, Plant and Equipment, Intangible Assets

The Company reviews the residual values, useful lives and methods of depreciation of assets as at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

c) Fair Value Measurement of Property, Plant and Equipment (Land and Buildings) and Investment Property

Property, plant and equipment and investment property of the Company are measured at fair value for the purposes of preparing the financial statements. Company management determines the main appropriate techniques and inputs required for measuring the fair value. In determining the fair value of the property, plant and equipment and investment properties, management uses observable market data and as appropriate, the Company uses an external valuer qualified to do the valuation. Information regarding the required valuation techniques and inputs used to determine the fair value of investment property are disclosed in Note 14

d) Impairment Losses on Financial Assets – Trade Receivables

The Company determines the impairment losses on trade receivables based on expected loss model. This involves significant judgments in determining the future losses expected to be derived, due to the default in future payments, by the debtors.

e) Defined Benefit Plans

The cost of defined benefit plans is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future.

These include the determination of the discount rate, future salary increases, mortality rates etc. Due to the complexity of the valuation, the underlying assumptions and their long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the yield of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future salary increase rate of the Company.

4. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies applied by the Company in preparation of its financial statements are included below.

4.1 Revenue Recognition

The Company recognizes revenue from contracts with customers when control of the goods or services is transferred to the customer at an amount that reflects the consideration that the Company is to be entitled in exchange for those goods or services. Determining the timing of the transfer of control of goods or services, at a point in time or over time, requires judgements taking into consideration the nature of goods or services that Company offers.

When contracts include multiple deliverables. Where the contracts include multiple performance obligations, the transaction price will be allocated to each performance obligation based on the standalone selling prices. Where these are not directly observable, they are estimated based on expected cost-plus margin.

Sale of Goods

Revenue from the sale of goods is recognised at the point in time when control of the goods is transferred to the customer, usually on delivery of the goods. Sales are measured at the fair value of the consideration received or receivable excluding amounts collected on behalf of third parties (e.g. Sales taxes).

Rendering of Services

Revenue from rendering of services is recognised when the service is performed.

Revenue Recognised Over the Period

The Company recognises revenue from free services/maintenance over time, using an input method to measure progress towards satisfaction of the free services/maintenance over time. Company recognizes the deferred revenue arisen from future free services/maintenance and charges it to the revenue subsequently as above mentioned.

4.1.1 Contract Liabilities

Advances received from the customers for the future maintenance services are recognized as deferred service income at the time of related payment is made by the customers. This has been categorized as a contract liability as per SLFRS 15. Upon the delivery of such maintenance services the related consideration is recognized in the revenue.

Deferred Income

The service income of the Company is recognized over the warranty period, since the Company is obliged to provide service for the agreed warranty period.

4.1.2 Interest Income

Interest income is recognized using the Effective Interest Rate (EIR) method.

4.1.3 Dividend Income

Dividend income is recognised in the statement of profit or loss and other comprehensive income on an accrual basis when the Company's right to receive the dividend is established.

4.1.4 Other Income

Other income is recognized on an accrual basis.

4.1.5 Gains and Losses

Gains and losses on disposal of an item of property, plant & equipment are determined by comparing the net sales proceeds with the carrying amounts of property, plant & equipment and are recognized net within "other income" in profit or loss.

4.2 Expenditure Recognition

Expenses are recognized in the statement of profit or loss and other comprehensive income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in running the business and in maintaining property, plant and equipment in a state of efficiency has been charged to the statement of comprehensive income.

For the purpose of presentation of the statement of comprehensive income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the Company's performance.

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the statement of profit or loss and other comprehensive income.

4.2.1 Finance Costs

Finance costs comprise interest expense on borrowings and financial leases that are recognised in the statement of profit or loss. The interest expense component of finance lease payments is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective assets. All other borrowing costs are expensed in the period they occur. Borrowing costs consist of interest and other costs that the Company incurs in connection with the borrowing of funds.

4.3 Taxation

4.3.1 Current Tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted as at the reporting date.

Current income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Profit or Loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

4.3.2 Deferred Tax

Deferred tax is provided using the liability method on temporary differences at the end of reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax liabilities are recognised for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint arrangements, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future

Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised, except:

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint arrangements, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised, or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

4.3.3 Sales Tax

Expenses and assets are recognised net of the amount of sales tax, except:

- When the sales tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the sales tax is recognized as part of the cost of acquisition of the asset or as part of the expense item, as applicable
- When receivables and payables are stated with the amount of sales tax included

The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the Statement of Financial Position.

4.3.3.1 VAT on Financial Services

VAT on Financial Services is calculated in accordance with VAT Act No. 14 of 2002 and subsequent amendments thereto.

4.4 Non-financial Asset

4.4.1 Property, Plant and Equipment

Recognition and Measurement

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 - property, plant & equipment. Initially property, plant and equipment are measured at cost.

Cost Model

The Company applies the cost model to property plant and equipment except for freehold land and building.

Revaluation Model

The entity applies the revaluation model for the entire class of freehold land and freehold buildings for measurement after initial recognition. The fair value of land and buildings is determined based on the valuations carried out by independent valuers. When current market prices of assets of similar nature are available, such evidence is taken into account in determining the fair values of such assets. Such properties are carried at revalued amounts, less any subsequent accumulated depreciation on buildings and any accumulated impairment losses charged subsequent to the date of revaluation.

When an asset is revalued, any increase in the carrying value is recognised in statement of profit or loss and other comprehensive income and accumulated in equity under revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the income statement, in which case the increase is recognised in the statement of profit or loss and other comprehensive income to the extent of the decrease previously expensed. A decrease in the carrying value arising on the revaluation is recognised in the profit or loss and any decrease that offsets a previous surplus on the same asset is recognised in other comprehensive income to the extent of any credit balance available in the revaluation surplus in respect of that asset and any excess is recognised as an expense in the profit or loss. Any balance remaining in the revaluation reserve in respect of an asset, is transferred directly to retained earnings on retirement or disposal of the asset.

Subsequent Measurement

Subsequent expenditure incurred for the purpose of acquiring, extending, or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business is treated as capital expenditure and such expenses are recognized in the carrying amount of an asset. The costs associated with day-to-day servicing of property, plant and equipment.

Depreciation

Depreciation is calculated using the straight–line method to write down the cost of property, plant and equipment to their residual values over their estimated useful lives. Depreciation is charged from the date of purchase to the date of disposal on pro-rata basis. Land is not depreciated. The rate of depreciation is based on the estimated useful life.

Category of asset	Useful life	
	2025	2024
Buildings and installations	Over 40 years	Over 40 years
Plant and machinery	Over 10 years	Over 10 years
Furniture and fittings	Over 10 years	Over 10 years
Fixtures and fittings	Over 10 years	Over 10 years
Office equipment	Over 10 years	Over 10 years
Tools	Over 10 years	Over 10 years
On loan assets	Over 5 years	Over 5 years
Motor vehicles	Over 4 years	Over 4 years
Computer equipment	Over 4 years	Over 4 years

The asset's residual values, useful life and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

De-recognition

Property, plant and equipment are de-recognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'other operating income' in the statement of profit or loss and other comprehensive income in the year the asset is de-recognised.

4.4.2 Investment Properties

Investment properties are properties held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes. Investment properties are initially measured at cost and the fair value model is used for subsequent measurement in accordance with Sri Lanka Accounting Standard (LKAS 40) –Investment Property. The cost of the investment property comprises of its purchase price and any directly attributable expenditure and changes to fair value recognized in Profit or loss

4.4.3 Intangible Assets – Computer Software

Basis of Recognition

An intangible asset is recognized if it is probable that future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

All computer software costs incurred, licensed to be used by the Company, which are not integrally related to associated hardware, which can be clearly identified, reliably measured and it's probable that they will lead to future economic benefits, are included in the statement of financial position under the category intangible assets and carried at cost less accumulated amortization and any accumulated impairment losses.

Subsequent Expenditures

Subsequent expenditures on software assets are capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Amortization

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful life of software is estimated as four years.

Amortisation methods, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

De-recognition

An intangible asset is de-recognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of such intangible assets is included in profit or loss when the item is derecognised.

4.4.4 Leases

Lease Liability

The Company assesses whether a contract is or contains a lease, at inception of the contract. The Company recognises a right-of-use asset and a corresponding lease liability with respect to all lease arrangements in which it is the lessee.

The Company as a lessee

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease. If this rate cannot be readily determined, the lessee uses its incremental borrowing rate.

Lease payments included in the measurement of the lease liability comprise:

- Fixed lease payments (including in-substance fixed payments), less any lease incentives receivable;

The lease liability is presented in Note 23 to the financial statements.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The Company remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

The lease term has changed or there is a significant event or change in circumstances resulting in a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.

A lease contract is modified, and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured based on the lease term of the modified lease by discounting the revised lease payments using a revised discount rate at the effective date of the modification.

The Company did not make any such adjustments during the periods presented.

Right of Use Assets

The Company recognises right of use assets when the underlying asset is available for use. Right of use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right of use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Company is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use assets is depreciated on a straight-line basis over the shorter of its estimated useful life or the lease term. Right of use assets are subject to impairment. The Company did not have any short - term or low - value lease assets.

The right-of-use assets are presented as a separate line in the statement of financial position.

The Company applies LKAS 36 to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as described in the 'Impairment of non–financial assets' policy.

4.5 Inventories

Inventories are valued at the lower of cost and net realisable value (NRV). NRV is the estimated selling price in the ordinary course of business, less the estimated costs of completion and estimated costs necessary to make the sale. Costs incurred in bringing inventories to their present conditions and locations are accounted using the following cost formula;

Raw materials:	At actual cost on FIFO (first-in first-out) basis
Work-in-progress:	At actual cost of direct materials (excluding packing materials) and an appropriate proportion of direct labour

Manufactured finished goods:	At actual cost of direct material, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity
Purchased finished goods:	At actual cost on first-in first-out basis
Consumables and spares:	At actual cost on first-in first-out basis
Goods in transit:	At actual cost

4.6 Financial Instruments – Recognition and Measurement

4.6.1 Financial Assets

Financial assets are initially recognised at fair value plus directly attributable transaction costs. However, when a financial asset measured at fair value through Profit or Loss is recognised, the transaction costs are expensed immediately. Subsequent remeasurement of financial assets is determined by their categorisation, which is revisited at each reporting date. The settlement date is used for both initial recognition and subsequent derecognition of financial assets, as these transactions are generally under contracts with terms which require delivery within the time frame established by regulation or convention in the marketplace (regular-way purchase or sale)

The classification of financial assets is generally based on the business model in which a financial asset is managed and its contractual cash flow characteristics. On initial recognition, a financial asset is classified and as measured either:

- At Amortised Cost
- At Fair Value through Other Comprehensive Income (FVOCI); or
- At Fair Value through Profit or Loss (FVTPL)

All financial assets not classified as measured at amortised cost or FVOCI are measured at FVTPL. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI, as at FVTPL, if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Subsequent Measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (Debt instruments)
- Financial assets at fair value through Other Comprehensive Income (FVTOCI)
- Financial assets at fair value through profit or loss

However, the financial assets of the Company are limited to the categories of financial assets at amortised cost (Debt instrument) and financial assets fair value through other comprehensive Income (FVOCI)

a) Equity Investments at FVOCI

These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss

Companies Financial Assets Classified Fair Through OCI which is in other investments Note 16.

b) Financial Assets at Amortised Cost (Debt Instruments)

The Company measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The Company's financial assets at amortised cost include cash and short-term deposits, trade and other receivables and other financial assets

4.6.2 Impairment of Financial Assets

The Company recognizes expected credit losses for trade receivables. The ECL allowance is based on the credit losses expected to arise over the life of the asset. For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Company considers a financial asset in default when contractual payments are 365 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

4.6.3 Financial Liabilities at Amortised Cost

Financial liabilities are initially recognised at the fair value of consideration received, less directly attributable transaction costs.

Subsequent to the initial measurement, financial liabilities are recognised at amortised cost. The difference between the initial carrying amount of the financial liabilities and their redemption value is recognised in the statement of profit or loss and other comprehensive income over the contractual terms using the effective interest rate method. This category includes trade and other payables, as well as other financial liabilities.

Financial liabilities at amortised cost are further classified as current and non-current depending on whether these will fall due within 12 months after the reporting date or beyond.

Financial liabilities are derecognised (in full or partly) when the obligation specified in the contract is either discharged, cancelled, expired or replaced by a new liability with substantially modified terms.

a) Loans and Borrowings (Financial Liabilities at Amortised cost)

This is the category most relevant to the Company. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit or loss. This category generally applies to interest-bearing loans and borrowings. For more information, refer to Note 23

4.6.4 Derecognition of Financial Assets and Financial Liabilities

a) Derecognition of Financial Assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Company also derecognises the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The Company has transferred the financial asset, if and only if, either:

- The Company has transferred its contractual rights to receive cash flows from the financial asset

Or

- It retains the rights to cash flows but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement.

b) Derecognition of Financial Liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

4.7 Cash and Bank Balances

Cash and bank balances are defined as cash-in-hand and balances with banks.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and at banks net of outstanding bank overdrafts. Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

4.8 Stated Capital

Ordinary shares are classified as equity. The equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments.

4.9 Employee Benefits

4.9.1 Defined Benefit Plan – Gratuity

The Company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which an obligation to pay gratuity arises only on completion of 5 years of continued service. The Company's obligations under the said Act are determined based on an actuarial valuation, using the projected unit credit method, carried out by a professional actuary. Actuarial gains and losses recognized in the other comprehensive income. The liability is not externally funded.

4.9.2 Defined Contribution Plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the Statement of comprehensive income as in the periods during which services are rendered by employees.

a. Employees' Provident Fund

The Company and employees contribute 12% and 8% respectively on the salary of each employee to the approved Provident Fund.

b. Employees' Trust Fund

The Company contributes 3% of the salary of each employee to the Employees' Trust Fund.

4.10 Impairment of Non-Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount. An asset's recoverable amount is higher of asset's or cash generating unit's (CGU) fair value less costs to sell and its value in use.

It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

Impairment losses of continuing operations, including impairment on inventories, are recognised in the Statement of Profit or Loss in those expense categories consistent with the function of the impaired asset, except for a property previously revalued where the revaluation was taken to other comprehensive income.

In this case, the impairment is also recognised in other comprehensive income up to the amount of any previous revaluation. For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Company estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss unless the asset is carried at a revalued amount, in which case the reversal is treated as a revaluation increase.

4.11 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the statement of profit or loss and other comprehensive income net of any reimbursement.

4.12 Cash Flow Statement

The cash flow statement has been prepared using the indirect method, as stipulated in LKAS 7- statement of cash flows. Cash and cash equivalents comprise net of cash in hand, cash at bank and bank overdrafts.

4.13 Segmental Information

For management purposes, the Company has organized two operating segments based on Operating Divisions, as follows:

- Manufacturing
- Services

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses which, in certain respects, are measured differently from operating profits or losses in the financial statements. Income taxes are managed on a Company basis and are not allocated to operating segments.

Transfer prices between operating segments are on an arm's length basis in a manner similar to transactions with third parties.

4.14 Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability,

or

- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1- Quoted (unadjusted) market prices in active markets for identical assets or liabilities

Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3- Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

4.15 Effect of Accounting Standards Issued but Not Yet Effective

The following SLFRS have been issued by the Institute of Chartered Accountants of Sri Lanka that have an effective date in the future and have not been applied in preparing these financial statements.

SLFRS 17 - Insurance Contracts

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace SLFRS 4 Insurance Contracts (SLFRS 4) that was issued in 2005. SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. The core of SLFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2026, with comparative figures required. Early application is permitted, provided the entity also applies SLFRS 9 and SLFRS 15 on or before the date it first applies SLFRS 17. However, SLFRS 17 will be neither affected nor applied to the Company since Company has not been engaged in Insurance contracts.

Lack of Exchangeability - Amendments to LKAS 21

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

The amendments also require disclosure of information that enables users of its financial statements to understand how the currency not being exchangeable into the other currency effects, or is expected to affect, the entity's financial performance, financial position and cash flows.

The amendments will be effective for annual reporting periods beginning on or after 1 January 2025. Early adoption is permitted but will need to be disclosed. When applying the amendments, an entity cannot restate comparative information.

The amendments are not expected to have a material impact on the Group's financial statements.

	Note	2025 Rs.	2024 Rs.
5. Revenue			
Manufacturing department	5.1	4,872,129,347	4,836,168,205
Service department	5.2	1,835,084,246	1,287,637,428
		6,707,213,593	**6,123,805,633**
5.1 Manufacturing department			
Over the period		104,509,656	94,535,159
Point in time		4,767,619,691	4,741,633,046
		4,872,129,347	**4,836,168,205**
5.2 Service department			
Over the period		63,847,814	112,341,115
Point in time		1,771,236,432	1,175,296,313
		1,835,084,246	**1,287,637,428**
6. Other income			
Scrap and sundry parts sales		42,119,965	25,562,450
Transport, warehouse and other income		24,174,582	16,000,620
Insurance claim		553,900	1,821,217
Interest on employee loans		40,286	36,362
Profit from sale of property, plant and equipment		7,720,803	1,716,786
Rent income		2,461,536	1,353,000
Revenue grant		182,650	-
Sundry income		3,115,991	-
Mobile phone reimbursement income		-	391,346
		80,369,713	**46,881,781**
7 Net finance cost			
7.1 Finance cost			
Term loan interest		4,261,782	8,895,623
Overdraft interest		642,740	12,592,155
Interest on import and short term loans		46,998,071	177,566,907
Interest on employee loans		1,421	29,748
Lease interest		3,536,049	3,682,596
		55,440,063	**202,767,029**
7.2 Finance income			
Interest income		34,495,482	53,304,766
		34,495,482	**53,304,766**
Net finance cost		**20,944,581**	**149,462,263**
8. Profit before taxation			
Profit from operations is stated after charging all expenses including the followings :			
Directors remuneration		4,409,496	3,292,337
Depreciation and amortisation	12.1	82,859,344	80,297,537
Depreciation of right of use assets	13	11,992,218	5,279,550
Staff costs (excluding defined contribution plan and defined benefit plan)		559,609,182	414,160,890
Defined contribution plan cost		74,121,962	56,416,796
Defined benefit plan cost	24	25,158,252	26,023,555
Charity and donations		387,000	62,000
Auditor's remuneration - audit services		1,886,192	1,600,000
Auditor's remuneration - non audit services		699,961	617,014
Legal fees		-	37,603

9. Tax expenses

	Note	2025 Rs.	2024 Rs.
Income tax expense			
Current year		248,874,198	172,832,083
(Over) / under provision for the last year		19,829,559	(9,026,259)
	9.1	**268,703,757**	**163,805,824**
Deferred tax expense			
Origination / (reversal) of deferred tax assets		(52,856,374)	(21,621,185)
Origination / (reversal) of deferred tax liabilities		(1,092,579)	(10,924,005)
		(53,948,953)	**(32,545,190)**
Tax expense		**214,754,804**	**131,260,634**

9.1 Reconciliation of accounting profit and taxable income

	Note	2025 Rs.	2024 Rs.
Profit for the year		500,159,228	438,720,434
Current tax expense	27	268,703,757	163,805,824
Origination / (reversal) of deferred tax assets		(52,856,374)	(21,621,185)
Origination / (reversal) of deferred tax liabilities		(1,092,579)	(10,924,005)
Profit before tax		**714,914,032**	**569,981,068**
Tax rates applicable		30%	30%
Income tax at 30%		214,474,210	170,994,320
Total income tax for the year		**214,474,210**	**170,994,320**
Tax effect on disallowable expenses		10,551,707	49,106,978
Tax effect on allowable expenses		(2,496,514)	(39,776,377)
Tax effect on income from other sources and exempt income		(12,052,894)	(1,222,210)
Tax effect on deferred service income received during the year		38,397,689	(6,270,628)
Tax (Over) / under provision for the last year		19,829,559	(9,026,259)
Origination / (reversal) of deferred tax assets		(52,856,374)	(21,621,185)
Origination / (reversal) of deferred tax liabilities		(1,092,579)	(10,924,005)
Assessable income		214,754,804	131,260,634
Less: Deductions		-	-
Total current tax		**214,754,804**	**131,260,634**

Deferred Tax for the year was calculated at 30% (2024- 30%)

10. Earnings per share - basic/ diluted

Basic earning per share is calculated based on the profit after taxation attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year.

	2025 Rs.	2024 Rs.
Amount used as the numerator		
Profit attributable to ordinary shareholders	500,159,228	438,720,434
Amount used as the denominator		
Weighted average number of shares	5,110,560	5,110,560
Earnings per share - Basic / diluted	**97.87**	**85.85**

11. Dividend per share

	2025	2024
Dividend per share (paid)	**10.00**	**5.00**

	Note	31.03.2025 Rs.	31.03.2024 Rs.
12. Property, plant and equipment			
Net book value of freehold assets	12.1	1,391,654,210	1,275,558,780
Capital work in progress	12.1	2,879,499	22,362,455
		1,394,533,709	**1,297,921,235**

12.1 Freehold assets

	As at 01.04.2023 Rs.	Additions during the year Rs.	Disposals during the year Rs.	As at 31.03.2024 Rs.
Cost / revaluation				
Land and land development	737,879,503	-	(45,016,003)	692,863,500
Buildings	296,056,597	-	(46,083,997)	249,972,600
Plant and machinery	638,162,749	25,402,172	(30,616)	663,534,305
Furniture and fittings	19,863,846	-	(1,230,091)	18,633,755
Fixtures and fittings	149,390,202	1,025,195	-	150,415,397
Office equipment	23,765,474	815,400	(472,138)	24,108,736
Tools	66,847,732	7,266,333	(28,013,430)	46,100,635
Computer equipment	83,324,496	6,630,774	(7,032,856)	82,922,414
Motor vehicles	104,425,953	-	(10,576,907)	93,849,046
On loan assets	1,927,677	-	-	1,927,677
Total	**2,121,644,229**	**41,139,874**	**(138,456,038)**	**2,024,328,065**
Capital work in progress	22,362,455	-	-	22,362,455
Total gross carrying amount	**2,144,006,684**	**41,139,874**	**(138,456,038)**	**2,046,690,520**

	As at 01.04.2024 Rs.	Additions during the year Rs.	Disposals during the year Rs.	As at 31.03.2025 Rs.
Cost / revaluation				
Land and land development	692,863,500	-	-	692,863,500
Buildings	249,972,600	22,362,455	-	272,335,055
Plant and machinery	663,534,305	115,330,926	-	778,865,231
Furniture and fittings	18,633,755	3,140,597	-	21,774,352
Fixtures and fittings	150,415,397	1,070,374	-	151,485,771
Office equipment	24,108,736	789,502	-	24,898,238
Tools	46,100,635	19,591,699	(36,100)	65,656,234
Computer equipment	82,922,414	25,920,522	-	108,842,936
Motor vehicles	93,849,046	4,449,999	(16,985,682)	81,313,363
On loan assets	1,927,677	-	-	1,927,677
Building/Property improvements	-	6,330,058	-	6,330,058
Total	**2,024,328,065**	**198,986,132**	**(17,021,782)**	**2,206,292,415**
Capital work in progress	22,362,455	2,879,499	(22,362,455)	2,879,499
Total gross carrying amount	**2,046,690,520**	**201,865,631**	**(39,384,237)**	**2,209,171,914**

12.1 Freehold assets (Contd…)

	As at 01.04.2023 Rs.	Depreciation during the year Rs.	Disposals during the year Rs.	As at 31.03.2024 Rs.
Depreciation				
Buildings	-	9,375,304	(1,051,370)	8,323,934
Plant and machinery	396,544,058	38,966,017	(28,695)	435,481,380
Furniture and fittings	15,979,947	1,135,933	(1,230,091)	15,885,789
Fixtures and fittings	56,848,733	19,002,670	-	75,851,403
Office equipment	17,259,597	1,206,025	(472,138)	17,993,484
Tools	48,969,860	4,110,278	(26,397,135)	26,683,003
Computer equipment	76,773,624	3,839,678	(7,032,856)	73,580,446
Motor vehicles	100,957,443	2,661,632	(10,576,907)	93,042,168
On loan assets	1,927,678	-	-	1,927,678
	715,260,940	**80,297,537**	**(46,789,192)**	**748,769,285**

	As at 01.04.2024 Rs.	Depreciation during the year Rs.	Disposals during the year Rs.	As at 31.03.2025 Rs.
Depreciation				
Buildings	8,323,934	8,626,020	-	16,949,954
Plant and machinery	435,481,380	41,525,643	-	477,007,023
Furniture and fittings	15,885,789	892,836	-	16,778,625
Fixtures and fittings	75,851,403	19,018,684	-	94,870,087
Office equipment	17,993,484	1,073,332	-	19,066,816
Tools	26,683,003	3,989,404	(4,742)	30,667,665
Computer equipment	73,580,446	6,514,755	-	80,095,201
Motor vehicles	93,042,168	999,309	(16,985,682)	77,055,795
On loan assets	1,927,678	-	-	1,927,678
Building/property improvements	-	219,361	-	219,361
	748,769,285	**82,859,344**	**(16,990,424)**	**814,638,205**

12.2 Revaluation on land and buildings

All Freehold land and buildings of the entity was valued by Mr. Lochana I. Silva, an independent professional valuer on 31 March 2023 and the excess of Rs.71,004,954/- over the net book value as at 31 March 2023 has been credited to the revaluation reserve.

The fair value of the freehold land was determined based on the market comparable approach that reflects recent transaction prices for similar properties. The fair value measurement for all the lands has been categorised as a Level 3 fair value based on the inputs to the valuation technique used. A significant increase in the market value per perch used in arriving at fair value would result in a significant increase in fair value, and vice versa.

As at 31 March	Land extent	Building area	No of buildings	Date of valuation	Fair value (Rs.)
Property, plant and equipment					
Property at Kandy	Perches 18.7	Sq.ft 5,081	1	31.03.2023	92,000,000
Land at Boralesgamuwa	Perches 83.1	-	-	31.03.2023	75,800,000
Property at Negombo	Perches 31.1	Sq.ft 1,500	1	31.03.2023	46,100,000
Property at Colombo 06	Perches 39.58	Sq.ft 31,713	1	31.03.2023	484,000,000
Property at Rathmalana 1	Perches 83.41	Sq.ft 29,198	2	31.03.2023	223,974,300
Property at Rathmalana 2	Perches 11.80	Sq.ft 3,654	1	31.03.2023	20,961,800
					942,836,100

Fair value hierarchy

The table below analyse non financial instruments measured at fair value at the end of the reporting period, by the level of the fair value hierarchy.

Land and Buildings	Level 1 (Rs.)	Level 2 (Rs.)	Level 3 (Rs.)	Total (Rs.)
31 March 2025	-	-	942,836,100	942,836,100

The fair value measurement has been categorised as level 3 fair value based on the inputs to the valuation techniques used.

Valuation techniques and significant unobservable inputs

The following table shows the valuation techniques used in measuring the fair value of land and buildings, as well as the significant unobservable input used.

Location	Valuation technique	Significant unobservable inputs	Significant unobservable inputs - Valued at
Property at Kandy	Open market	Price per perch and sq.ft	3,750,000/- per perch and 4,305 per Sq.ft
Land at Boralasgamuwa	Open market	Price per perch	912,154/- per perch
Property at Negombo	Open market	Price per perch and sq.ft	1,448,553/- per perch and 700 per Sq.ft
Property at Colombo 06	Open market	Price per perch and sq.ft	9,700,000/- per perch and 3,156 per Sq.ft
Property at Rathmalana 1	Open market	Price per perch and sq.ft	1,250,000/- per perch and 4,100 per Sq.ft
Property at Rathmalana 2	Open market	Price per perch and sq.ft	1,250,000/- per perch and 1,700 per Sq.ft

Increase/decrease in price per perch/Sq.ft have a positive correlation with the fair value of the land and buildings.

The carrying amount of revalued land and buildings at cost less depreciation and impairment, would be as follows:

	2025 Rs.	2024 Rs.
Land and land development		
Cost	150,789,665	177,269,665
Disposals	-	(26,480,000)
Carrying value	**150,789,665**	**150,789,665**
Buildings		
Cost	226,992,811	259,319,180
Additions	22,362,455	-
Disposals	-	(32,326,369)
Accumulated depreciation and impairment	(83,742,039)	(75,889,576)
Carrying value	**165,613,227**	**151,103,235**

13. Right of use assets - buildings

	2025 Rs.	2024 Rs.
Cost		
Balance at the beginning of the year	116,058,355	116,058,355
Additions during the year	17,635,235	-
Terminated during the year	(503,317)	-
Balance at the end of year	**133,190,273**	**116,058,355**
Accumulated amortisation		
Balance at the beginning of the year	101,240,050	95,960,500
Amortisation for the year	11,992,218	5,279,550
Balance at the end of the year	**113,232,268**	**101,240,050**
Net book value of the right of use of assets	**19,958,005**	**14,818,305**

14. Investment property - market value

	2025 Rs.	2024 Rs.
Balance at the beginning of the year	49,300,000	47,000,000
Net gain / (loss) from fair value adjustment	2,450,000	2,300,000
Balance at the end of the year	**51,750,000**	**49,300,000**
Amount recognised in profit or loss for investment properties		
Direct operating expense from property that did not generate rental income	-	84,000
Fair value gain recognized in other income	2,450,000	2,300,000

Fair value investment property
Investment property at Panadura was valued by Mr.Lochana I. Silva, a independent professional valuer on 31 March 2025 and the excess of Rs.2,450,000 over the net book value as at 31 March 2025 has been credited to statement of profit or loss.

As at 31 March	Land extent	Date of valuation	Fair value (Rs.)
Investment property			
Land at Panadura	Perches 44.9	31.03.2025	51,750,000

The fair value measurement has been categorised as level 3 fair value based on open market valuation technique.

Valuation techniques and significant unobservable inputs
The following table shows the valuation techniques used in measuring the fair value of investment property, as well as the significant unobservable input used.

Location	Valuation technique	Significant unobservable inputs	Significant unobservable inputs - Valued at
Land at Panadura	Open market	Price per perch	1,152,561/- per perch

Increase/decrease in price per perch have a positive correlation with the fair value of the land.

	Note	2025 Rs.	2024 Rs.
15.Intangible assets - computer software			
Cost			
Balance at the beginning of the year		14,457,433	14,457,433
Additions during the year		-	-
Disposals during the year		-	-
Balance at the end of the year		**14,457,433**	**14,457,433**
Amortization			
Balance at the beginning of the year		14,457,433	14,457,433
Additions during the year		-	-
Disposals during the year		-	-
Balance at the end of the year		**14,457,433**	**14,457,433**
Net book value		-	-
16.Financial investments			
16.1Current financial investments			
Bank deposits at amortised cost		361,183,286	364,693,439
		361,183,286	**364,693,439**
17.Inventories			
Raw materials		960,564,802	1,038,013,301
Work-in-progress		510,278,643	436,800,182
Finished goods - manufactured		11,291,643	47,847,110
Goods in transit		104,518,280	109,022,801
		1,586,653,368	**1,631,683,394**
Less: Provision for slow moving inventory	17.1	(149,163,050)	(128,430,905)
		1,437,490,318	**1,503,252,489**
17.1Movement for the provision for slow moving inventory ;			
Balance at the beginning of the year		128,430,905	90,561,380
Provisions made		20,732,145	37,869,525
Balance at the end of the year		**149,163,050**	**128,430,905**

18. Trade and other receivables

	Note	2025 Rs.	2024 Rs.
Financial assets			
Trade debtors		388,945,921	690,645,685
Less: Allowance for impairment of debtors	18.1	(73,964,819)	(26,697,806)
		314,981,102	**663,947,879**
Retention and installment receivables		1,062,435	1,273,180
Loans to employees		1,264,067	106,963
		317,307,604	**665,328,022**
Non financial assets			
Other receivables		46,011,842	55,501,882
		363,319,446	**720,829,904**

18.1 Movement of the allowance for impairment of debtors ;

	2025 Rs.	2024 Rs.
Balance at the beginning of the year	26,697,806	18,772,662
(Reversal of impairment) / impairment loss recognized during the year	47,267,013	7,925,144
Balance at the end of the year	**73,964,819**	**26,697,806**

As at 31 March, the ageing analysis of trade receivables are, as follows ;

	Total	Neither due nor impaired	Past due but not impaired				
			0 - 30 days	31 - 60 days	61 - 90 days	91-120 days	Over 120 days
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
2025	**388,945,921**	**146,136,803**	**69,929,098**	**71,356,555**	**45,485,573**	**5,527,292**	**50,510,600**
2024	690,645,685	601,360,507	6,875,467	30,166,412	3,047,385	23,390,830	25,805,084

Refer Note 36 on credit risk of trade receivables, which explains how the Company manages and measures credit quality of trade receivables.

	Note	2025 Rs.	2024 Rs.
19. Advances, deposits and prepayments			
Advances		403,268,587	235,354,704
Deposits		13,992,199	19,600,869
Prepayments		27,573,725	11,305,173
		444,834,511	**266,260,746**
20. Amounts due from related parties			
Related Party - trade receivables		571,189,963	785,667,950
Related Party - non-trade receivables		591,501	5,683,535
		571,781,464	**791,351,485**

Due from related parties balances are receivable on demand and carry no interest, also does not hold any collateral.

21. Cash at bank and in hand			
Cash in hand		8,945,375	4,516,735
Cash at bank		351,475,475	135,324,071
		360,420,850	**139,840,806**

22. Stated capital	**No. of Shares**	**Value. of Shares**
At 31 March 2025	**5,110,560**	**186,732,000**
At 31 March 2024	5,110,560	186,732,000

	Note	2025 Rs.	2024 Rs.
22.1 Revaluation reserve			
Balance at the beginning of the year		467,759,623	490,365,165
Deferred tax on revaluation surplus		-	9,688,089
Transfer of reserve on disposal		-	(32,293,631)
Balance at the end of the year		**467,759,623**	**467,759,623**
23. Interest bearing loans and borrowings			
23.1 Long term borrowings			
Term loan	23.3	5,000,000	20,000,000
Lease liability	23.4	15,612,610	10,176,067
		20,612,610	**30,176,067**
23.2 Short term borrowings			
Lease liability	23.4	7,502,820	11,768,430
Term loans	23.3	15,000,000	15,000,000
Import loans		24,706,179	710,621,021
Short term loans		64,221,583	107,265,315
Accrued for interest		306,192	3,151,819
Bank overdrafts		-	8,900,482
		111,736,774	**856,707,067**
23.3 Term loans from banks			
Balance at the beginning of the year		35,000,000	76,850,000
Payment made during the year		(15,000,000)	(41,850,000)
Balance at the end of the year		**20,000,000**	**35,000,000**
Amounts re-payable within 1 year		15,000,000	15,000,000
Amounts re-payable after 1 year		5,000,000	20,000,000
23.4 Lease liability			
Balance at the beginning of the year		21,944,497	35,261,282
Additions during the year		16,208,562	-
Interest cost		3,536,049	3,682,596
Terminated during the year		(627,683)	-
Payment made during the year		(17,945,995)	(16,999,381)
Balance at the end of the year		**23,115,430**	**21,944,497**
Amounts re-payable within 1 year		7,502,820	11,768,430
Amounts re-payable after 1 year		15,612,610	10,176,067

23.5 Terms and conditions of borrowing facilities

Facility		Security
Import and hypothecation loans		
People's Bank	-	LKR 250.0 Mn mortgage over trade receivables and undertaking of Abans PLC to settle invoices within 60days
Hatton National Bank PLC	-	Primary floating mortgage bond for LKR 400.0 Mn over stocks and book debts
Sampath Bank PLC	-	Floating hypothecation bond for LKR 362.0 Mn over stocks and book debts
Commercial Bank of Ceylon PLC	-	Floating Primary Mortgage for LKR 550.0 Mn over Stocks and Book Debts
DFCC Bank PLC	-	LKR 350.0 Mn mortgage over stocks and book debts
Nation Trust Bank PLC	-	LKR 150.0 Mn mortgage over stock and book debts
Term loan facilities		
Commercial Bank of Ceylon PLC	-	Floating Primary Mortgage for LKR 550.0 Mn over Stocks and Book Debts
Short term loan facilities		
DFCC Bank PLC	-	LKR 350.0 Mn mortgage over stocks and book debts
Overdraft Facilities		
Hatton National Bank PLC	-	Primary floating mortgage bond for LKR 60.0 Mn over land and buildings situated at No. 126, Airport Road, Ratmalana
Sampath Bank PLC	-	Floating hypothecation bond for LKR 362.0Mn over stocks and book debts, LKR 20.0 Mn over the company trading Stock
Bank of Ceylon	-	LKR 10.0 Mn over the company trading Stock
People's Bank	-	LKR 30.0 Mn mortgage over stocks
Union Bank of Colombo PLC	-	LKR 30.0 Mn over the company trading Stock
Commercial Bank of Ceylon PLC	-	Floating primary mortgage for LKR 550.0 Mn over stocks and book debts
DFCC Bank PLC	-	LKR 350.0 Mn mortgage over stocks and book debts
Nation Trust Bank PLC	-	LKR 10.0 Mn mortgage over stocks and book debts
Lease Facility		
Commercial Bank of Ceylon PLC	-	Mortgage over leased assets
Letter of Guarantee Facility		
Sampath Bank PLC	-	Master counter indemnity of the company for LKR 5.0 Mn
DFCC Bank PLC	-	LKR 350.0 Mn mortgage over stocks and book debts
Nation Trust Bank PLC	-	LKR 150.0 Mn mortgage over stocks and book debts.
Forward Exchange Contract		
Hatton National Bank PLC	-	Forward Exchange Contract

Unutilised banking facilities are amounting to Rs. 235 Mn overdraft facilities and
Rs. 2,290 Mn import / short term loan facilities as at 31 March 2025.

24. Retirement benefit obligation

	2025 Rs.	2024 Rs.
Balance at the beginning of the year	106,204,862	94,638,446
Interest cost	12,744,583	16,088,535
Current service cost	12,413,669	9,935,020
Actuarial (gain) / loss	7,447,759	5,899,194
	138,810,873	**126,561,195**
Less : payments made during the year	(10,023,509)	(20,356,333)
Balance at the end of the year	**128,787,364**	**106,204,862**

The retirement benefit liability of the company is based on the actuarial valuation carried out by Actuarial & Management Consultant (Pvt) Ltd. The valuation method used by the actuary was "Projected Unit Credit Method".

The principal assumptions used in determining the cost of retirement benefits were:

	2025	2024
Discount rate	10.0%	12.0%
Expected rate of salary increase	12.0%	12.0%
Retirement age	60	60
The amounts recognised in the comprehensive income are as follows:		
Current service cost	12,413,669	9,935,020
Interest cost	12,744,583	16,088,535
The amount recognised in the other comprehensive income is as follows:		
Actuarial (gain) / loss	7,447,759	5,899,194

Sensitivity Analysis

Reasonable possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant would have affected the defined benefit obligation and defined benefit obligation would be ;

	2025	2024
+1% point increase on discount rate	124,553,367	103,064,011
-1% point decrease on discount rate	133,342,155	109,564,033
+1% point increase on salary increment rate	133,856,301	110,012,539
-1% point decrease on salary increment rate	123,992,418	102,582,928

Maturity analysis of the payments

The following payments are expected on employee benefit plan - gratuity in future years.

	2025	2024
Within the next 12 months	28,832,734	25,980,374
Between 1 and 2 years	41,297,913	35,590,718
Between 2 and 5 years	33,309,529	28,356,337
Between 5 and 10 years	19,692,401	12,628,187
Beyond 10 years	5,654,787	3,649,246
Total expected payments	**128,787,364**	**106,204,862**

Weighted average duration (years) of defined benefit obligation

	2025	2024
Manufacturing department	4.5	4.0
Service department	3.2	3.0

25. Deferred tax liability

	2025 Rs.	2024 Rs.
Balance at the beginning of the year	164,403,113	198,718,062
Amount originated / (reversed) during the year		
- Statement of profit or loss	(53,948,953)	(32,545,190)
- Statement of other comprehensive income	(2,234,328)	(1,769,758)
Balance at the end of the year	**108,219,832**	**164,403,113**

Net deferred tax asset / liability are attributed to the following as at the year end;

	Deferred tax liability			Deferred tax asset			
Temporary differences	Property, plant and equipment Rs.	Intangible assets Rs.	Investment properties Rs.	Right to use assets Rs.	Provisions Rs.	Retirement benefit obligation Rs.	Total Rs.
Balance at 1st April 2023	306,886,901	95,855	8,052,000	(693,476)	(86,267,440)	(29,355,778)	198,718,062
Recognised in profit or loss	(11,614,005)	-	690,000	565,549	(20,633,377)	(1,553,357)	(32,545,190)
Recognised in other comprehensive income	-	-	-			(1,769,758)	(1,769,758)
Balance at 1st April 2024	**295,272,896**	**95,855**	**8,742,000**	**(127,927)**	**(106,900,817)**	**(32,678,893)**	**164,403,113**
Recognised in profit or loss	(1,827,579)	-	735,000	(371,176)	(46,933,284)	(5,551,914)	(53,948,953)
Recognised in other comprehensive income	-	-	-	-	-	(2,234,328)	(2,234,328)
Balance at 31st March 2025	**293,445,317**	**95,855**	**9,477,000**	**(499,103)**	**(153,834,101)**	**(40,465,135)**	**108,219,832**

26. Trade and other payables

	Note	2025 Rs.	2024 Rs.
Financial liability			
Trade creditors		220,406,849	214,197,694
Foreign supplier payable		126,839,001	244,294,165
Accrued charges		62,677,199	417,557,780
Other payables		204,389,695	161,349,040
		614,312,744	**1,037,398,679**
Non financial liability			
Provisions		169,593,217	43,831,563
Advances from customers		575,201,292	258,680,227
Social security contribution levy payable		13,775,670	8,668,391
Value added tax payable		-	1,951,093
		758,570,179	**313,131,274**
		1,372,882,923	**1,350,529,953**

27. Income tax payable / (receivable)

	Note	2025 Rs.	2024 Rs.
Balance at the beginning of the year		132,612,595	34,812,225
Income tax for the year	9.1	268,703,757	163,805,824
		401,316,352	198,618,049
Income tax paid		(185,452,434)	(66,005,454)
Balance at the end of the year		**215,863,918**	**132,612,595**

28. Contract liabilities

28.1 Deferred service income

	Note	2025 Rs.	2024 Rs.
Balance as at the beginning of the year		157,092,083	177,994,175
Service income contracts initiated during the year		232,501,952	185,974,182
Revenue recognised from contracts initiated during the year		(53,171,932)	(79,858,954)
Revenue recognised from contracts initiated during previous years		(115,185,538)	(127,017,320)
Balance at the end of the year		**221,236,565**	**157,092,083**
Deferred revenue to be recognised within 1 year		174,902,280	115,185,538
Deferred revenue to be recognised after 1 year		46,334,285	41,906,545

Deferred service income consists of the income received for under - warranty charges for selected products and customer advances received for future maintenance services to be performed.

29. Amounts due to related parties

	Note	2025 Rs.	2024 Rs.
Related party - trade payables		51,470,772	69,481,156
Related party - non-trade payables		64,166,667	14,607,546
		115,637,439	**84,088,702**

Dues to related parties are payable on demand bears no interest, further there was no collateral issued.

30. Related party disclosures

30.1 Details of transactions carried out with related companies

Company	Relationship	Nature of Transaction	2025 Received/ (Paid) Rs.	2024 Received/ (Paid) Rs.
Abans PLC	Significant Shareholder	Sales of goods/ services	2,417,365,441	2,807,273,663
		Rent income	-	1,555,950
		Wharf expenses	(7,511,046)	(9,082,084)
		Purchases/Services	(61,453,095)	(221,664,749)
Abans Marketing (Pvt) Ltd	Affiliate	Rent expenses	(4,200,000)	(4,200,000)
Crown City Developers (Pvt) Ltd	Affiliate	Logistic expense	(398,339)	(140,900)
Abans Engineering (Pvt) Ltd	Affiliate	Purchases/Services	(2,045,467)	(43,201,814)
		Sales of goods/ services	5,394,920	6,009,853
ABS Courier (Pvt) Ltd	Affiliate	Courier charges	(3,927,131)	(7,012,484)
Abans Finance PLC	Affiliate	Sales of goods/ services	292,837	-
AB Securitas (Pvt) Ltd	Affiliate	Security charges	(15,303,550)	(36,466,286)
Abans Environmental (Pvt) Ltd	Affiliate	Cleaning charges	(4,213,491)	(5,555,431)
Abans Auto (Pvt) Ltd	Affiliate	Motor vehicle maintenance		(79,868)
		Sales of goods/ services		366,816
Abans Logistic (Pvt) Ltd	Affiliate	Purchases/ services	(17,412,814)	(24,852,898)
		Sales of goods/ services	-	385,079
Sirius Technologies Services (Pvt) Ltd	Affiliate	Network maintenance expenses	(32,089,129)	(55,087,981)
ABS Gardiner Dixon Hall international (Pvt) Ltd	Affiliate	Printing and advertisement, building maintenance expenses	(5,013,194)	(13,454,438)
A B Manufacturing (Pvt) Ltd	Affiliate	Sales of goods / services	419,738,772	589,513,999
		Purchases/Services	(113,877,588)	(95,204,121)
Facility Management Intergrated (Pvt) Ltd	Affiliate	Cleaning Expenses	(67,979)	-
Cleantech (Pvt) Ltd	Affiliate	Sales	132,288	-

The balance outstanding as at the reporting date disclosed under note 20 and 29.

The above transactions have been carried out in normal commercial terms.

30.2 Recurrent transaction with related parties

Name of the related party	Relationship	Nature of transaction	Aggregate value of the related party transactions entered into during the financial year	Aggregate value of the related party transactions as a % of net revenue/income	Terms and conditions of the related party transactions
Abans PLC	Significant shareholder	Sales of goods and services	2,417,365,441	36%	Normal commercial terms

Other than above transaction, There were no recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of gross revenue/income.

30.3 Non-recurrent transaction with related parties

There were no non recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of equity or 5% of total assets which ever is lower.

31. Transactions with Key Management Personal (KMPs)

According to LKAS 24, KMPs are those having authority and responsibility for planning, directing and controlling the activities of the entity. Such KMPs include the board of directors and chief executive officer of the company.

	2025 Rs.	2024 Rs.
Post employee benefits	4,346,496	3,326,400
Short term employee benefits	17,289,456	15,670,000
	21,635,952	**18,996,400**

32. Commitments

There are no material commitments outstanding as at the reporting date.

33. Events after the reporting period

There have been no material events occurring after the reporting date that require adjustments to or disclosure in the Financial Statements except for below.

33.1 First and final dividends declared

On 28th August 2025, the board of directors of the Company via a board resolution decided to declare first and final dividend for the financial year ended 31 March 2025 amounting to Rs. 76,658,400/- (Rs. 15/- per share).

34. Contingent liabilities

There were no contingent liabilities as at the end of the reporting date other than Letter of Credit opened with banks favoring suppliers amounting to LKR 435.76 Mn

35. Business segmental information

The company comprises the following three business segments.

Segment	**Products and services**
Manufacturing and assembling	Manufacturing, assembling and sale of selected range of consumer durable products and design,installation, maintenance & servicing of rooftop Solar PV systems.
Service	Installation, repairs and maintenance, including all after sales services, of electrical and household appliances sold by Abans PLC.

Segmentation analysis is as below ;

Business segment	2025			2024		
	Manufacturing	Services	Total	Manufacturing	Services	Total
Turnover and results						
Revenue						
- Manufacturing and assembling	2,047,027,567	-	2,047,027,567	1,956,271,806	-	1,956,271,806
- Services	388,880,980	1,835,084,246	2,223,965,226	358,554,113	1,287,637,428	1,646,191,541
- Trading	-	-	-	291,550,787	-	291,550,787
- Solar installation	2,436,220,800	-	2,436,220,800	2,229,791,499	-	2,229,791,499
Total	**4,872,129,347**	**1,835,084,246**	**6,707,213,593**	**4,836,168,205**	**1,287,637,428**	**6,123,805,633**
Profit for the year-before taxation	555,411,273	159,502,759	714,914,032	435,884,603	134,096,466	569,981,068
Operating assets and liabilities						
Segment assets	3,126,965,469	1,878,306,120	5,005,271,589	3,521,134,267	1,627,134,142	5,148,268,409
Segment liabilities	1,570,759,825	724,217,600	2,294,977,425	2,302,281,901	579,532,541	2,881,814,442
Other information						
Capital expenditure	131,352,220	70,513,411	201,865,631	32,254,801	8,885,073	41,139,874
Recognition of right of use assets	-	17,635,235	17,635,235	-	-	-
Depreciation and amortization	70,974,124	11,885,220	82,859,344	68,200,702	12,096,835	80,297,537
Amortization of right of use asset	-	11,992,218	11,992,218	-	5,279,550	5,279,550
Provision for retirement benefit obligation	10,066,613	15,091,639	25,158,252	10,257,590	15,765,965	26,023,555

Segment information is presented in respect of the company's business segments. Segment results, assets and liabilities include those items directly attributable to a segment.

36. Financial risk management

Financial risk comprises the potential loss to earnings and /or the capital position arising from Liquidity Risk, Currency Risk and Interest Rate Risk. So, Management is in the position to mitigate the risk by monitoring of liquidity position and assessment of future cash requirements through rolling forecast, keeping long outstanding relationships with correspondent banks and also maintaining diversified funding systems. Company has entered into a fixed term interest rate contracts for long term borrowings and there by interest rate risk can be reduced. Short term borrowings are exposed to fluctuation of interest rates due to contracted floating rates. Management continuously monitors fluctuations for proactive actions to mitigate the possible losses. The foreign supplier payables shown under the trade payable are exposed to exchange rate fluctuations.

The Company's management monitors regularly and manages the financial risks relating to the operations of the Company by analysing exposures by degree and magnitude of risks. These risks include market risk (including currency risk, interest rate risk and equity price risk), credit risk and liquidity risk.

1. Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The company`s activities expose it primarily to the financial risks of changes in foreign currency exchange rates, interest rates and equity prices.

a) Interest rate risk

Interest rate risk is the sensitivity of the Company's financial condition to future movements in interest rates. The Company is exposed to interest rate risk as a result of mismatches or 'gaps' in the amounts of assets and liabilities that mature or reprice in a given period.

Based on the Company's financial assets and liabilities held at the year end, an assumed 50 basis points increase in interest rate, with all other variables held constant, would impact the Company's profit as follows:

Movements in basis points	Effect on profit and equity 2025 Rs.	2024 Rs.
+50	1,259,747	(2,574,264)
-50	(1,259,747)	2,574,264

b) Equity price risk

Equity price risk is the risk that the value of a financial instrument will fluctuate as a result of changes in market prices, whether those changes are caused by factors specific to the individual security, or its issuer, or factors affecting all securities traded in the market.

The Company is not exposed to equity risk as they do not have equity investments.

c) Foreign currency risk

The company undertakes certain transactions denominated in foreign currencies. Hence, exposures to exchange rate fluctuations arise. Exchange rate exposures are managed within approved policy parameters.

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company has exposure to foreign currency risk where it has foreign currency transactions which are affected by foreign exchange movements.

The company imports considerable amount of its total product offerings which are subject to the risk of foreign exchange rate increase that would adversely affect cost of purchases.

36. Financial risk management (Contd...)

c) Foreign currency risk (Contd...)

As explained above, the company exposed to foreign currency risk mainly from foreign supplier payables.

Sensitivity analysis of the exchange rate risk on foreign supplier payables.

	Foreign exchange value	Currency	Exchange rate	Rupee value as at 31 March	Exchange rate increase in Rs.1/-	Exchange rate increase in Rs.2/-	Exchange rate increase in Rs.3/-	Exchange rate increase in Rs.4/-
31 March 2025	71,968	Dollars	305.52	21,987,737	22,059,705	22,131,673	22,203,641	22,275,610
31 March 2024	409,679	Dollars	305.00	124,951,943	125,361,621	125,771,300	126,180,978	126,590,657
	Potential loss compared to 31 March 2025				**71,968**	**143,936**	**215,905**	**287,873**
	% of loss				0.33%	0.65%	0.98%	1.31%
	Potential loss compared to 31 March 2024				409,679	819,357	1,229,036	1,638,714
	% of loss				0.33%	0.66%	0.98%	1.31%
31 March 2025	-	Euros	326.16	-	-	-	-	-
31 March 2024	53,450	Euros	332.00	17,745,400	17,798,850	17,852,300	17,905,750	17,959,200
	Potential loss compared to 31 March 2025				-	-	-	-
	% of loss				0.00%	0.00%	0.00%	0.00%
	Potential loss compared to 31 March 2024				53,450	106,900	160,350	213,800
	% of loss				0.30%	0.60%	0.90%	1.20%
31 March 2025	-	CNY	39.90	-	-	-	-	-
31 March 2024	3,188	CNY	41.68	132,880	136,068	139,256	142,444	145,632
	Potential loss compared to 31 March 2025				-	-	-	-
	% of loss				0.00%	0.00%	0.00%	0.00%
	Potential loss compared to 31 March 2024				3,188	6,376	9,564	12,752
	% of loss				2.40%	4.80%	7.20%	9.60%

2) Credit risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from Company's Cash at bank, trade receivables and amount due from related parties, financial investments at amortised cost.

A review of age analysis of trade receivables and follow-up meetings are carried out by the Finance division with respective business unit managers on weekly basis.

The Company has taken necessary steps to monitor creditors more closely and frequently to ensure that the payables are settled on time.

Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

	Gross Exposure		Net Exposure	
	As at 31.03.2025	As at 31.03.2024	As at 31.03.2025	As at 31.03.2024
Cash at bank	351,475,475	135,324,071	351,475,475	135,324,071
Amounts due from related parties	571,781,464	791,351,485	571,781,464	791,351,485
Trade and other receivables	391,272,423	692,025,828	391,272,423	692,025,828
Financial instruments at amortized cost	361,183,286	364,693,439	361,183,286	364,693,439

Financial asset and financial liabilities carrying value approximate to its fair value.

3) Liquidity risk

This is the risk that the Company will encounter in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. In the management of liquidity risk, the Company monitors and maintains a level of cash and cash equivalents deemed adequate by the management to finance the Company's operations and to mitigate the effects of fluctuations in cash flows. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of bank overdrafts, finance leases and bank loans. Access to sources of funding is sufficiently available.

In order to minimize the impact on the liquidity position, the company has taken several initiatives which include applying for refinancing and rescheduling arrangements of banking facilities and curtailing of non-essential capital and revenue expenditures and deferment of some capital expenditures and recruitments. The company also taking measures to expedite the debtor recovery process and proactively engaging with suppliers to renegotiate of payment terms to manage the liquidity position.

Following table represents undiscounted contractual maturity analysis

	Less than 3 months	3-6 months	6-12 months	Total
Current liabilities				
31 March 2025				
Current liabilities, other than lease liability and contract Liabilities	1,437,784,735	296,215,797	74,617,702	1,808,618,234
Lease liability	1,679,695	1,823,457	3,999,668	7,502,820
	1,439,464,430	**298,039,254**	**78,617,370**	**1,816,121,054**
31 March 2024				
Current liabilities, other than lease liability and contract liabilities	2,283,654,825	29,739,381	98,775,682	2,412,169,887
Lease liability	2,855,633	2,968,242	5,944,554	11,768,430
	2,286,510,458	**32,707,623**	**104,720,236**	**2,423,938,317**

	1-3 Years	More Than 3 Years	Total
Non current liabilities			
31 March 2025			
Borrowings	5,000,000	-	5,000,000
Lease liability	15,612,610	-	15,612,610
	20,612,610	**-**	**20,612,610**
31 March 2024			
Borrowings	20,000,000	-	20,000,000
Lease liability	6,416,746	3,759,321	10,176,067
	26,416,746	**3,759,321**	**30,176,067**

SHAREHOLDER & INVESTOR INFORMATION

01. Stated Capital

As at 31st March	2025 No. of Shares	2025 Value in LKR	2024 No. of Shares	2024 Value in LKR
Ordinary Voting Shares	5,110,560	186,732,000	5,110,560	186,732,000

* Voting Rights - One vote per Ordinary Share

02. Stock Exchange Listing

This issued shares of the Company are listed with the Colombo Stock Exchange.

03. Market Value Per Share

The transacted values of an Ordinary Share of Abans Electricals PLC are as follows;

As at 31st March	2025 LKR	2024 LKR
Highest Price	500.00	177.50
Lowest Price	160.00	125.00
As at Balance Sheet Date	386.75	159.50

04. Market Capitalization

As at 31st March	2025 LKR	2024 LKR
Market Capitalization Value	1,976,509,080	815,134,320
Float Adjusted Market Capitalization	743,979,759	319,532,653

* The Company has complied with the minimum public holding requirement under Option 05.

05. Public Holding

As at 31st March	2025	2024
Total number of shares Issued	5,110,560	5,110,560
No of Shares held by the Public	1,923,671	2,003,340
Percentage of Shares held by the Public	37.64%	39.20%
No of public shareholders	1,567	1,353

06. Distribution of Shareholding

	31st March 2025			31st March 2024		
Shareholding	No of Shareholders	No of Shares	%	No of Shareholders	No of Shares	%
1-1,000	1,405	179,373	3.51	1,203	152,273	2.98
1,001-10,000	138	434,635	8.50	122	390,393	7.64
10,001-100,000	24	794,308	15.54	27	784,183	15.34
100,001-1,000,000	5	1,249,177	24.44	5	1,330,644	26.04
Over 1,000,000	1	2,453,067	48.00	1	2,453,067	48.00
Grand Total	1,573	5,110,560	100.00	1,358	5,110,560	100.00

07. Composition of Shareholding

	31st March 2025			31st March 2024		
Category	No of Shareholders	No of Shares	%	No of Shareholders	No of Shares	%
Individual	1,509	2,263,600	44.29	1,301	2,321,615	45.43
Institutional	64	2,846,960	55.71	57	2,788,945	54.57
Grand Total	1,573	5,110,560	100.00	1,358	5,110,560	100.00

08. Analysis of Shareholders

	31st March 2025			31st March 2024		
Category	No of Shareholders	No of Shares	%	No of Shareholders	No of Shares	%
Resident	1,561	5,031,296	98.45	1,343	5,013,932	98.11
Non-Resident	12	79,264	1.55	15	96,628	1.89
Grand Total	1,573	5,110,560	100.00	1,358	5,110,560	100.00

09. Twenty Major Shareholders Of The Company

Name	31st March 2025		31st March 2024	
	No. of Shares	% of issued Capital	No. of Shares	% of issued Capital
1 Abans PLC	2,453,067	48.00	2,453,067	48.00
2 Mrs S. Dubash	334,628	6.55	334,628	6.55
3 Mr R. Pestonjee	316,636	6.20	396,073	7.75
4 Mrs A. Pestonjee	293,438	5.74	293,438	5.74
5 Mr. B. Pestonjee (Deceased)	171,475	3.36	171,505	3.36
6 Mr A.J.M. Jinadasa	133,000	2.60	135,000	2.64
7 People's Leasing & Finance PLC/L.P.Hapangama	94,895	1.86	56,839	1.11
8 Cleantech Pvt Ltd	79,437	1.55	-	-
9 Dr K. Poologasundram	72,076	1.41	72,076	1.41
10 Macksons Holdings (Pvt) Ltd	71,200	1.39	-	-
11 Mr S. Abishek	51,436	1.01	51,436	1.01
12 Mr G.C. Goonetilleke	46,475	0.91	46,475	0.91
13 Mrs B.S. Rasanayagam	43,680	0.85	43,680	0.85
14 Mr A. Sithampalam	38,281	0.75	31,809	0.62
15 Tranz Dominion,L.L.C.	31,611	0.62	31,611	0.62
16 Seylan Bank Plc/Karagoda Loku Gamage Udayananda	27,876	0.55	55,019	1.08
17 Mr T. Liyanage	23,868	0.47	23,868	0.47
18 Mr J.D. Jorge Calderon	23,344	0.46	23,344	0.46
19 Mr G.C.W. De Silva (Deceased)	21,960	0.43	21,960	0.43
20 Mr S.S. Sithambaranathan	21,732	0.43	21,732	0.43
Others	760,445	14.88	739,115	14.46
Total	**5,110,560**	**100.00**	**5,110,560**	**100.00**

VALUE ADDED STATEMENT

For the Year Ended 31st March

	2025			2024		
	Manufacturing	Service	Total	Manufacturing	Service	Total
Economic Value Generated						
Revenue	4,872,129,347	1,835,084,246	6,707,213,593	4,836,168,205	1,287,637,428	6,123,805,633
Finance Income	4,188,178	30,307,304	34,495,482	1,785,338	51,519,428	53,304,766
Profit on Sale of Assets	7,102,161	618,642	7,720,803	-	1,716,786	1,716,786
Other Income	26,152,499	46,496,411	72,648,910	23,040,157	22,124,838	45,164,995
Valuation Gain from Investment Property	-	2,450,000	2,450,000	-	2,300,000	2,300,000
	4,909,572,185	**1,914,956,603**	**6,824,528,788**	**4,860,993,700**	**1,365,298,480**	**6,226,292,180**
Economic Value Distributed						
Operating Cost	3,911,294,752	1,167,718,188	5,079,012,939	3,945,238,954	811,561,312	4,756,800,266
Employee Wages and Benefits	357,290,342	552,323,640	909,613,982	290,396,194	386,055,466	676,451,660
Payments to Providers of Funds - Equity	51,105,600	-	51,105,600	25,552,800	-	25,552,800
Payments to Providers of Funds - Debt	45,015,527	10,423,114	55,438,641	175,700,742	27,036,538	202,737,280
Payments to Government	137,706,980	47,745,454	185,452,434	62,034,815	3,970,639	66,005,454
	4,502,413,201	**1,778,210,396**	**6,280,623,596**	**4,498,923,505**	**1,228,623,955**	**5,727,547,460**
Economic Value Retained						
Depreciation & Amortization	70,974,124	23,877,439	94,851,564	68,200,702	17,376,385	85,577,087
Profits after Dividends	336,184,860	112,868,768	449,053,628	293,869,493	119,298,141	413,167,634
	407,158,984	**136,746,207**	**543,905,192**	**362,070,195**	**136,674,526**	**498,744,721**

TEN YEAR SUMMARY

31 March		2025	2024	2023	2022
Operating Results In LKR '000					
Revenue		6,707,214	6,123,806	5,246,866	4,329,171
Gross Profit		1,605,269	1,376,778	876,335	548,665
EBIT		770,354	772,748	482,011	216,058
Finance Cost		55,440	202,767	297,154	81,569
Profit before Tax		714,914	569,981	184,857	134,488
Tax Expense/(Reversal)		214,755	131,261	51,338	30,273
Profit after Tax		500,159	438,720	133,520	104,215
Financial Position In LKR '000					
Property Plant & Equipment (PPE)		1,394,534	1,297,921	1,428,746	1,393,954
Non Current Assets other than PPE		71,708	64,118	119,502	141,774
Current Assets		3,539,030	3,786,229	3,348,990	3,801,972
Current Liabilities		1,991,023	2,539,124	2,648,679	3,232,819
Non Current Liabilities		303,954	342,691	391,143	346,280
Shareholders' Fund		2,710,294	2,266,454	1,857,416	1,758,602
Total Debt		132,349	886,883	1,713,174	1,224,789
Cash Flows In LKR '000					
Net cash flows from / (used in) Operating Activities		1,179,082	773,287	(550,557)	(46,994)
Net cash flows from / (used in) investing activities		(133,745)	150,313	(47,632)	(179,624)
Net cash flows from / (used in) financing activities		(815,856)	(628,265)	394,807	199,066
Net increase / (decrease) in cash and cash equivalents		229,481	295,335	(203,383)	(27,552)
Key Indicators					
Basic Earnings per Share	LKR	97.87	85.85	26.13	20.39
Dividend per Share (Paid)	LKR	10.00	5.00	5.00	3.00
Interest Coverage	No. Times	13.90	3.81	1.62	2.65
Current Ratio	No. Times	1.78	1.49	1.26	1.18
Gearing (D/D+E)	%	4.66	28.13	47.98	41.05
Net Asset per Share	LKR	530.33	443.48	363.45	344.11
Market Price per Share	LKR	386.75	159.50	158.00	161.75
Return on Equity	%	18.45	19.36	7.19	5.93
Dividend Payout Ratio	%	10.22	5.82	19.14	14.71

2021	2020	2019	2018	2017	2016
3,129,718	2,986,136	2,870,558	3,492,566	4,028,610	3,506,809
473,355	441,348	397,554	392,845	434,017	479,398
232,733	202,539	144,017	154,356	159,937	180,957
69,118	77,278	67,470	62,417	79,298	40,609
163,615	125,261	76,546	91,939	80,639	140,348
(1,673)	38,688	2,202	48,237	25,239	41,525
165,288	86,573	74,344	43,701	55,400	98,823
1,299,223	1,290,046	1,220,449	966,037	608,224	572,881
450,739	429,759	339,385	202,279	147,586	131,375
2,043,286	1,476,782	1,234,689	1,424,676	1,724,440	1,313,034
1,782,387	1,326,524	1,062,520	1,161,260	1,507,926	1,066,761
354,072	438,588	382,352	252,467	132,065	172,556
1,656,789	1,431,475	1,349,651	1,179,265	840,259	777,973
821,295	623,412	632,088	413,040	723,228	559,996
(125,531)	226,503	55,249	100,903	(37,201)	179,723
(9,331)	(127,667)	(273,419)	(16,327)	(109,015)	(134,255)
188,685	(122,970)	195,772	(29,051)	118,875	(31,232)
53,822	(24,135)	(22,398)	55,525	(27,341)	14,236
32.34	16.94	14.55	8.55	10.84	19.34
1.50	3.00	2.00	3.00	3.00	3.00
3.37	2.62	2.13	2.47	2.02	4.46
1.15	1.11	1.16	1.23	1.14	1.23
33.14	30.34	31.90	25.94	46.26	41.85
324.19	280.10	264.09	230.75	164.42	152.23
159.50	60.30	52.00	84.30	88.20	111.10
9.98	6.05	5.51	3.71	5.56	12.70
4.64	17.71	13.75	35.09	27.68	15.51

NOTICE OF MEETING

Dear Shareholders,

The Board of Directors of Abans Electricals PLC has decided to hold its 43rd Annual General Meeting (AGM) by way of a Virtual Meeting on **25th September 2025, at 10.30 a.m.** following the issuance of guidelines by the Colombo Stock Exchange (CSE) and Legal advice received thereon for hosting of Virtual AGMs for the following purposes:

1. To receive and adopt the Report of the Directors, the Audited Statement of Accounts of the Company for the year ended 31st March 2025 and Report of the Auditors thereon.

2. To declare first and final dividend of Rs 15/- per share for the year ended 31st March 2025 as recommended by the Directors.

3. To re-elect Mr. Rajaratnam Selvaskandan, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Rajaratnam Selvaskandan, as a Director of the Company.

4. To re-elect Mrs. Aban Pestonjee, Chairperson of the company who being over seventy years of age retires in accordance with Section 210 of the Companies Act No.07 of 2007. A notice has been received from a shareholder of the intention to move a resolution in compliance with Section 211 of the Companies Act (Refer to Note 1). The Directors recommend the re-election of Mrs. Aban Pestonjee as a Director of the Company.

5. To re-appoint M/S Ernst & Young, Chartered Accountants, as auditors and to authorize the Directors to determine their remuneration.

By order of the Board

Varners International (Private) Limited
Company Secretaries
Level 14, West Tower, World Trade Center,
Echelon Square, Colombo 01.
29th August 2025

Notes :

1. A Notice was received from a shareholder of the Company giving notice of the intention to move the following as Ordinary Resolution at the forthcoming Annual General Meeting of the Company with regard to the re-election of Mrs. Aban Pestonjee who retires at the above General Meeting.

   " RESOLVED that Mrs Aban Pestonjee who is over seventy years of age be and is hereby re-elected as a Director of the Company and it is further specifically declared that the age limit of seventy years referred to in the section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Mrs. Aban Pestonjee"

2. A member entitled to attend and vote at the meeting, is entitled to appoint a proxy to attend and vote on behalf of his/her and Form of Proxy is attached (Page No 112) to this Report for this purpose. A Proxy need not to be a member of the Company.

3. The instrument appointing a proxy is required to be deposited at the Office of the Secretaries at Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01 or No. 05, Bethesda Place, Colombo 04 not less than forty eight (48) hours before the time fixed for the meeting.

METHOD OF HOLDING THE AGM / ELECTRONIC PLATFORM

Only the key officials who are essential for the administration of the formalities of the meeting will be physically present in the venue and all others including shareholders will participate via an online meeting platform in line with the guidelines issued by the Colombo Stock Exchange (CSE) for conducting of virtual AGMs.

REGISTRATION PROCEDURE

Those Shareholders and Proxy holders, who wish to participate via the Online Meeting Platform, should notify the Company of such intention by completing the attached **Registration of Shareholder Details Form.**

Registration of Shareholder Details Form will also be made available on the website of the Colombo Stock Exchange **(https://www.cse.lk/pages/company-profile/company-profile.component.html?symbol=ABAN.N0000)**. Arrangements will be made for shareholders who wish to participate in the AGM via an online meeting platform, with login information being forwarded to shareholders in advance of the meeting.

In order to enable such facilities, shareholders who wish to participate in the AGM via the online meeting platform are requested to forward us their details, by duly completing the Annexure **1 – Registration of Shareholder Details Form** by way of emailing it to the Company to the emailing address **aelagm2025@abansgroup.com** or send the duly completed form, by post to reach the Company secretaries, **48 hours prior to the time fixed for the meeting** to the below address;

Varners International (Private) Limited, Level 14, West Tower, World Trade Center, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04.

APPOINTMENT OF PROXY HOLDERS

The shareholders may vote by Proxy through the appointment of a Proxy to present, speak and vote at the meeting on his/her behalf in line with instructions contained herein.

The Form of Proxy will also be made available on the corporate website of the Company and the website of the CSE and those shareholders who wish to submit their Form of Proxy should duly complete the same as per the instructions given herein.

The duly completed **Form of Proxy** should be forwarded to the Company by way emailing it to the Company emailing address **aelagm2025@abansgroup.com** or send the duly completed form, by post to reach the Company Secretaries, **Varners International (Private) Limited, Level 14, West Tower, World Trade Center, Echelon Square, Colombo 01, or No. 5, Bethesda Place, Colombo 04, 48 hours prior to the time fixed for the meeting.**

QUERIES OF SHAREHOLDERS

Shareholders who are unable to participate at the virtual meeting via the designated online meeting platform are invited to forward their suggestions, questions & concerns (if any) relating to items on the agenda, to the following email address **aelagm2025@abansgroup.com** to reach the Company **48 hours prior to the time fixed for the meeting**, the Board will ensure that they are discussed and addressed at the AGM, if relevant.

FORM OF PROXY

I/We * ……

of ……………………………………………………………………………… being a shareholder / shareholders of Abans Electricals PLC, hereby

appoint; ………………………………………………………………………………of………………………………………………………………………………

bearing NIC No. / Passport No. ……………………………………………………………………………………………… or failing him/ her*

Mrs. Aban Pestonjee ……………………………………………………………………………………………… of Colombo or failing her

Mrs. Saroshi Dubash ……………………………………………………………………………………………… of Colombo or failing her

Mr. Kumar De Silva ……………………………………………………………………………………………… of Colombo or failing him

Mr. Dinal Mario Rex Phillips ……………………………………………………………………………………… of Colombo or failing him

Mr. Rajaratnam Selvaskandan ……………………………………………………………………………………………… of Colombo

as my/our proxy to represent me/us on my/our behalf at the Forty Third Annual General Meeting of the Company to be held on 25th September 2025 at 10.30 a.m by means of audio or audio and visual technology, and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Resolution	For	Against
1. To receive and adopt the Report of the Directors, the Audited Statement of Accounts of the Company for the year ended 31st March 2025 and Report of the Auditors thereon		
2. To declare first and final dividend of Rs. 15/- per share for the year ended 31st March 2025 as recommended by the Directors		
3. To re-elect Mr. Rajaratnam Selvaskandan, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Rajaratnam Selvaskandan, as a Director of the Company.		
4. To re-appoint Mrs. Aban Pestonjee, who is over 70 years of age as a Director of the Company by adopting the ordinary resolution set out in the notice of the meeting		
5. To re-appoint M/S Ernst & Young, Chartered Accountants, as Auditors of the Company and to authorize the Directors to determine their remuneration		

Signed this ………………………… day of ………………………… 2025

Signature/s …………………………………….

Note:

* Please delete the inappropriate words.

Please refer the instructions to complete the form on the next page.

INSTRUCTIONS ON PROXY

INSTRUCTIONS FOR COMPLETION OF THE PROXY FORM

1. To be valid, the completed Form of Proxy should be deposited at Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04 or electronic document with e-signature or scan of the signed document emailed to **aelagm2025@abansgroup.com** with the subject title **Abans Electricals PLC AGM** not less than **48 hours before the time appointed for the holding of the Meeting.**

2. In perfecting the form, please ensure that all details are legible. If you wish to appoint a person other than the Board members as your Proxy, please fill in your full name and address, the name, address and email address of the Proxy holder and sign in the space provided and fill in the date of signature.

3. The instrument appointing a Proxy shall, in the case of an individual, be signed by the appointer or by his Attorney and in the case of a Corporation must be executed under its Common Seal or in such other manner prescribed by its Articles of Association or other constitutional documents.

4. If the Proxy Form is signed by an Attorney, the relevant Power of Attorney or a notarially certified copy thereof, should also accompany the completed Form of Proxy, if it has not already been registered with the Company.

5. In the case of joint holders, only one need to be signed. The votes of the senior holder who tenders a vote will alone be counted.

6. In the case of non-resident Shareholders, the stamping will be attended to upon return of the completed Form of Proxy to Sri Lanka.

GUIDELINES AND REGISTRATION PROCESS

ABANS ELECTRICALS PLC
GUIDELINES AND REGISTRATION PROCESS FOR THE ANNUAL GENERAL MEETING (AGM) VIA ONLINE MEETING PLATFORM

Shareholders/Proxy holders who wish to participate in the Annual General Meeting of ABANS ELECTRICALS PLC to be held via an Online Meeting Platform (Virtual AGM), could do so by using a smart phone or a desktop computer.

If a Shareholder/Proxy holder intends to join the Virtual AGM via a smart device, it is necessary for him/her to download the **"Zoom Mobile App"** onto his /her smart device.

Similarly, if a Shareholder/Proxy holder wishes to attend the Virtual AGM via a Laptop/Desktop computer, the link can be opened by downloading the **"Zoom Desktop App"** to the respective Laptop/Desktop computer (compatible web browser: **Google Chrome**).

1. Shareholders who wish to participate in the Virtual AGM of ABANS ELECTRICALS PLC either by themselves or through their Proxies are requested to forward their details to the Company Secretaries as per the attached **REGISTRATION FORM**.

2. The duly completed and signed **REGISTRATION FORM** should be delivered to the Company Secretaries, Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04 / E-mail address **aelagm2025@abansgroup.com** to be received by the Secretaries by 10.30 a.m. on or before 23rd September 2025. If participation in the meeting through a Proxy, the duly completed and signed **FORM OF PROXY** should accompany the **REGISTRATION FORM**.

   Note:

   If a Proxy is appointed, the information set out in the **REGISTRATION FORM** pertaining to the Proxy holder should tally with the information indicated in the duly completed **FORM OF PROXY** submitted by the Shareholder.

3. The Company will verify all registration requests and identification details received as aforesaid, against the details of Shareholders set out in the Shareholders' Register and accept the registrations for the Virtual AGM if it is satisfied with the request and supporting documents (if any).

   Shareholders whose registration requests are accepted will receive an email confirmation from the Company acknowledging the acceptance of their request.

4. The Shareholders whose registration requests have been accepted will receive a further email from the Company 24 hours prior to the commencement of the AGM. This email will provide a web link for online registration referred to as **"Virtual AGM Registration"**. If the Shareholder has appointed a valid Proxy this email will be forwarded to the relevant Proxy holder.

5. (i) The Shareholders/Proxy holders are requested to use the web link, which will be forwarded by the Company as referred to in 4 above and click on the **"Virtual AGM Registration"** in order to complete online registration for the Virtual AGM.

   (ii) On clicking the link **"Virtual AGM Registration"**, Shareholders/Proxy holders will be redirected to an interface where they will be requested to enter their **first name, last name, email address, re-enter email address and NIC No. / Passport No. / Co. Reg. No** (In entering these details the participants are required to ensure that correct details as included in the **REGISTRATION FORM** referred to in 2 above are entered in the said online registration process, since any mismatch will be considered as an unsuccessful login)

   (iii) After successful completion of entering of the details as referred to in 5 (ii) above, the participants are requested to click on **"REGISTER"** which will be prompted on their screens enabling them to receive the meeting link.

6. The Shareholders who successfully complete their online registration as set out in 5 above, will receive the login link for participation in the meeting referred to as "Click here to Join the Virtual Meeting" and credentials.

7. In order to join the Virtual AGM, participants are required to click on **"Click here to Join the Virtual Meeting"**. In some instances, the system call for the credentials and if that is required, please enter the credentials to gain access to the Virtual AGM.

8. On completion of this process, you will be directed to the Virtual AGM Zoom Platform, where you can participate in the Virtual AGM.

It is recommended that the Shareholders/Proxy holders complete the process outlined in 5, 6, 7 and 8 above and join the AGM at least ten (10) minutes before the start of the AGM. The Online Meeting Platform will be active thirty (30) minutes before the time appointed for the commencement of the meeting.

9. Shareholders/Proxy holders may use the Q & A tab or the **Hand Raise** (✋) icon appearing on the screen respectively, to submit their questions or concerns in typed format or verbally. The system will allow a pop-up message to **unmute the microphones and to allow video options**.

10. After completion of the process outlined in 7 above in respect of all eligible Shareholders and Proxy holders, the Company will forward a separate email to the Shareholders/Proxy holders or representatives (as applicable) who are entitled to vote, providing a separate link to vote on all resolutions included in the Notice of Annual General Meeting dated **25th September 2025**.

11. Shareholders/Proxy holders who intend participating in the meeting are requested to open the said link and be prepared to cast their vote when each resolution is taken up for voting by the Chairman. Participants are advised to **"REFRESH"** the voting page and cast the vote as per their discretion in the given space and click **"SUBMIT"** enabling the Company to receive the responses.

12. When declaring the voting on a resolution, Chairman will take into account the voting of the Shareholders/ Proxy holders participating virtually.

13. **60 seconds** will be allocated for Shareholders/ Proxy holders to cast their vote in respect of each resolution.

14. The results will be processed and announced by the Chairman **30 seconds** after the end of the time slot allocated for voting.

15. In a situation where a Poll is demanded and Shareholders are required to vote on the Poll, a mechanism similar to that referred to for voting, will be applicable. This will be moderated by the Chairman of the meeting.

It is advised to check the online AGM access at least 3 hours prior and also ensure that your devices have an audible sound system so that you could participate in the AGM comfortably.

Note:

1. Shareholders are requested to provide their email address in the space provided in order to forward the Virtual AGM Zoom link & necessary instruction, if they wish to attend the AGM through the online platform.

2. In case of a Company/Corporation, the Shareholder Details Form must be under its Common Seal which should be affixed and attested in the manner prescribed by its Articles of Association.

3. In case of a Power of Attorney, the Shareholder Details Form signed by the Power of Attorney must be deposited at the Registered Office of the Company for registration.

All documents relating to the AGM must be forwarded to the Company Secretaries by post, **Varners International (Private) Limited, Level 14, West Tower, Echelon Square, Colombo 01 or No. 5, Bethesda Place, Colombo 04** or by way emailing it to the Company emailing address **aelagm2025@abansgroup.com 48 hours prior to the time fixed for the meeting.**

The Notice of meeting, Form of Proxy, and other related documents will also made available on the website of the Colombo Stock Exchange (https://www.cse.lk/home/market). The Company will endeavor to dispatch the aforementioned documents by ordinary post to the shareholders in due course.

DOCUMENTS ATTACHED

The following documents are attached to this circular to shareholders:

- Notice of Meeting
- Form of Proxy
- Circular to Shareholders giving Guidelines & Registration Process for the Annual General Meeting
- Online Meeting Registration Form

By Order of the Board of ABANS ELECTRICALS PLC
Varners International (Private) Limited
Company Secretaries
Level 14, West Tower, World Trade Center,
Echelon Square, Colombo 01.

29th August 2025

Annexure 01

ONLINE MEETING REGISTRATION FORM

ABANS ELECTRICALS PLC
ANNUAL GENERAL MEETING 2025
REGISTRATION OF SHAREHOLDER DETAILS FOR ONLINE VIRTUAL MEETING

To: (Company Name & Address)

1. Full Name of the Shareholder: ....

....

2. Shareholder's Address: ....

....

3. Shareholder's NIC No. / Passport No. / Co. Reg No.: ....

4. Shareholder's Contact No.: (Residence) .... (Mobile) ....

5. Name of the Proxy Holder: ....

6. Proxy Holder's NIC No. / Passport No. / Co. Reg. No.: ....

7. Proxy Holder's Contact No.: (Residence) .... (Mobile) ....

8. Shareholder's/ Proxy holder's E-mail: ....

9. Participation at the AGM via an online platform: YES /NO

10. Name of Joint Holder/s (If any): (i) ....

(ii) ....

11. National Identity Card Number/s of Joint Holder/s: (i) ....

(ii) ....

....	....	....
Shareholder's signature	1st Joint holder's signature	2nd Joint holder's signature
Date:	Date:	Date:

Notes

CORPORATE INFORMATION

NAME OF THE COMPANY	Abans Electricals PLC
LEGAL FORM	Public Quoted Company
COMPANY INCORPORATION	Incorporated in Sri Lanka under the Companies Ordinance No. 51 of 1938 (Chapter 145 of the Legislative Enactment of Sri Lanka 1956 Revised Edition) as a Private Liability Company on 25th November 1981.
REGISTRATION NO	PQ 188 (Former Registration No. PVS 7974) The Company was re-registered in accordance with Companies Act No. 7 of 2007 on 18th August 2008.
STOCK EXCHANGE LISTING	Ordinary Shares of the Company were listed with Colombo Stock Exchange on 7th March 1983.
REGISTERED OFFICE	No.498, Galle Road, Colombo 03, Sri Lanka.
WEBSITE	www.abansgroup.com
DIRECTORATE	Mrs. Aban Pestonjee (Chairperson) Mrs. Saroshi Dubash Mr. Kumar De Silva Mr. D. M. R. Phillips Mr. R. Selvaskandan
BANKERS	Hatton National Bank PLC People's Bank Bank of Ceylon Sampath Bank PLC Hongkong and Shanghai Banking Corporation Limited Seylan Bank PLC Union Bank of Colombo PLC Commercial Bank of Ceylon PLC DFCC Bank PLC Nations Trust Bank PLC National Development Bank PLC Pan Asia Banking Corporation PLC
LAWYERS	Varners, Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01, Sri Lanka.
AUDITORS	Ernst & Young, Chartered Accountants, Rotunda Towers, No.109, Galle Road, P. O. Box 101, Colombo 03, Sri Lanka.
SECRETARIES	Varners International (Pvt) Ltd, Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01, Sri Lanka.
TELEPHONE NO	011-201 9244 / 49

This Annual Report is conceptualised, designed and produced by ABS GDH

GARDNER DIXON HALL INTERNATIONAL
ABANS GROUP AFFILIATE

abansgroup.com